

What's News

Business & Finance

- ◆ **A continuing global bond selloff** is hammering governments, businesses and families, and while stocks hover near record highs U.S. indexes wobbled on Tuesday, with the S&P 500, Nasdaq and Dow falling 0.7%, 1.3% and 0.2%, respectively. **A1**
- ◆ **Trump said he** would pause a new 50% tariff set to go into effect on \$20 billion worth of goods from Canada as the two countries seek an agreement. **A2**
- ◆ **KKR recently bid** for UGI, offering roughly \$9 billion to take over the Pennsylvania-based natural-gas and electricity distributor. **B1**
- ◆ **OpenAI's** second-quarter sales showed tepid growth compared with Anthropic's, disappointing some shareholders who had hoped for evidence the gap was closing. **B1**
- ◆ **Costco plans** a limited roll-out of Costco-branded Medicare plans, working with non-profit insurer SCAN Group. **B1**
- ◆ **Homeowners took on** smaller spring maintenance projects in the recent quarter, lifting Home Depot's sales and encouraging the company to back its full-year outlook. **B3**
- ◆ **Individuals and firms** criticized a Trump administration plan to ax a longstanding rule meant to ensure that investors get the best price when trading stocks. **B10**
- ◆ **Payments company** Klarna cut its outlook for a key metric as it expects softness in consumer spending to continue. **B4**
- ◆ **Baidu's financial** performance continued to deteriorate in the second quarter as the company works to remake itself as an AI enterprise. **B4**

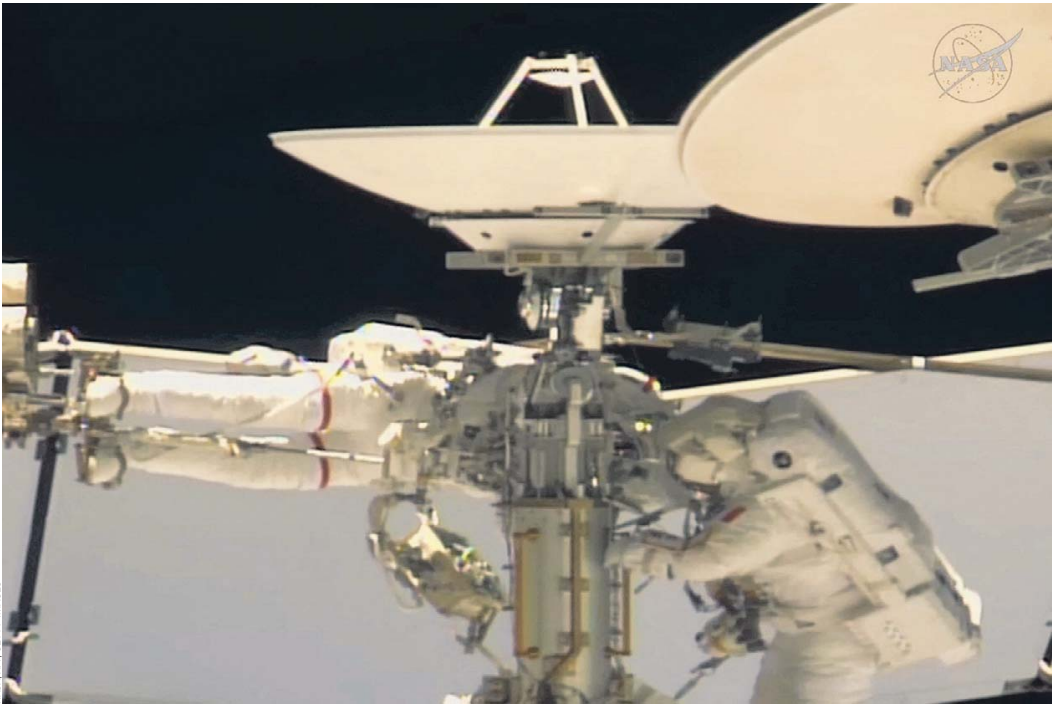
Worldwide

- ◆ **Iranian attacks on** shipping in the Strait of Hormuz are piling up without a U.S. military response, raising the risks of crossing the waterway and frustrating some Arab allies who worry the U.S. doesn't have a strategy to wind down the conflict. **A1**
- ◆ **Trump is pushing aides** for a meeting as soon as this fall with North Korea's leader, seeking to again attempt to persuade Kim Jong Un to abandon his nuclear-arms program. **A7**
- ◆ **Trump ally Rep. Byron Donalds** won the GOP nod for governor in Florida, while Democratic socialist Angie Nixon scored an upset win in the Democrats' Senate primary, and scandal-plagued Republican Rep. Cory Mills lost his primary. **A4**
- ◆ **Walt Disney's ABC** sued the FCC, alleging the agency's efforts to challenge its broadcast licenses and regulate content are illegal and an offense against free speech. **A2**
- ◆ **Opening statements** in a child-safety trial against Meta Platforms began in what could be the most consequential social-media harm case yet. **A3**
- ◆ **Trump has selected** one of his top White House health aides, Dr. Heidi Overton, to lead the FDA, people familiar with the matter said. **A3**
- ◆ **The U.S. Forest Service** aims to open more than 44 million acres of national forest land to logging and road construction, reversing a policy that protected wildlife habitats for decades. **A3**
- ◆ **Died: Bill Rasmussen**, 93, ESPN co-founder. **B3** ... **Frank Beard**, 77, ZZ Top drummer. **A5**

CONTENTS	
Arts in Review.....	A13-15
Business & Finance.....	A12
Business News.....	B2
Crossword.....	B3
Heard on Street.....	B11
Markets.....	B10
Opinion.....	A13-15
Personal Journal.....	A9-10
Property Report.....	B6
Sports.....	A16
Technology.....	B4
U.S. News.....	A2-5
World News.....	A6-7



Spacewalkers Take On a Historic DIY Job



OUT THERE: Sophie Adenot, right, became the first Frenchwoman to go on a spacewalk Tuesday. In a NASA image, she and the U.S.'s Anil Menon remove a faulty antenna on the International Space Station. A return spacewalk is needed to complete the fix.

Iranian Ship Attacks Frustrate Gulf Nations as U.S. Holds Fire

U.A.E. says Tehran hit 7 of its ships this month as Trump raises economic heat

DUBAI—Iranian attacks on shipping in the Strait of Hormuz are piling up without a U.S. military response, raising the risks of crossing the strategic waterway and frustrating some Arab allies who worry the U.S. doesn't have a strategy to wind down the conflict. Iran fired two ballistic missiles toward the strait on Tuesday, triggering air defenses in the United Arab

Emirates, according to that country's Ministry of Defense, which said the missiles were targeting maritime traffic but fell into the sea. Earlier Tuesday, an Iranian attack hit the engine room of a bulk carrier in the strait east of Oman, leaving the chief engineer dead, maritime security firms said. The U.A.E. said Iran has attacked seven of its ships this month. So far, August accounts for 20% of all attacks on shipping in the war, which is approaching its six-month mark. Abu Dhabi halted trade, commercial exchanges and financial transactions with Teh-

By Summer Said, Rebecca Feng and Shelby Holliday

ran in light of regional escalations, U.A.E. foreign-ministry spokeswoman Afra Al Hameli said on X on Tuesday. U.S. Central Command, which oversees U.S. forces in the Middle East, hasn't announced retaliatory strikes on targets in Iran since late July. The U.S. has continued to prevent ships from visiting Iranian ports, however, including firing Hellfire missiles to stop vessels trying to breach its blockade. The restraint reflects Presi-

dent Trump's current strategy to back off military action in favor of tightening economic pressure on Tehran. Earlier in the summer, the U.S. repeatedly launched punishing strikes after Iran attacked ships, prompting Iran to lob missiles and drones across the Persian Gulf. Until Tuesday, the U.A.E.'s air defenses hadn't been triggered since mid-July. The skirmishes forced the U.S. and their regional allies to use more of their shrinking supply of defensive interceptors and Please turn to page A6

◆ **Heard on the Street: What's next for Big Oil?**..... **B11**

INSIDE



PERSONAL JOURNAL Baby boomers are wealthy, healthy—and splurging on global travel. **A9**



BUSINESS & FINANCE Costco is rolling out something new for its members: its own Medicare plan. **B1**

Inside the Hidden Deals That Snared Dodgers Owner

Under pressure from federal investigators, billionaire Mark Walter is racing to save his sports-and-finance empire

Mark Walter stunned the sports world in 2012 with a deal that left his wealthy rivals wondering how the chief executive of Guggenheim Partners, little-known outside Wall Street, had funded the purchase of the Los Angeles Dodgers, one of the premier teams in Major League Baseball. Few moguls can now claim they aren't fa-

miliar with Walter and his international sports kingdom, which spans every season. His playbook, using loans from insurance companies he controls to finance his other investments, is now under scrutiny. In the years after the Dodgers deal, Walter bought stakes in the WNBA's L.A. Sparks, England's Chelsea FC and a Formula One racing team, as well as financing the Professional Women's Hockey League. He also accumulated trophy properties, including mu-

Please turn to page A8

British Pubgoers vs. 'Fun Police'

Country up in arms over plans to curb sidewalk drinking

BY JULIA AMANN

LONDON—In Britain, a night at the pub doesn't require a table, a chair or even indoor shelter. It just needs a pint and somewhere to stand. On summer evenings here, the streets are thronged with people spilling out onto the sidewalk to enjoy a pint and take a rare break from complaining about the weather. It's a fixture of British life—and, for many, an essential right. "The minute it's bright and sunny, people just lose their minds," said Harriet Stansell, 35. "Everyone's standing outside to enjoy the sunshine while it's there, together." Please turn to page A10

'Kids in Chips' Startup, Valued at \$21 Billion, Poaches Nvidia Talent

BY ROBBIE WHELAN

SAN JOSE, Calif.—On paper, Etched sounds like a lot of hot artificial-intelligence startups: Co-founded by three Harvard dropouts in their early 20s, it has quickly raised nearly \$2 billion on the strength of a product that was just an idea four months ago. Unlike most of those other startups, however, Etched doesn't make software but semiconductors, a product category whose high capital costs and long development cycles have relegated it to a corner of Silicon Valley where experience still trumps youthful ambition. Among tech investors, the prevailing wisdom was "don't back the kids in chips," said Sonya Huang, a general partner at Sequoia Capital, which led the company's \$300 million Series C round. "There was a

sense that these kids think they can do anything, and maybe on the internet, they can, but that in chips, startups are guilty until proven innocent." Now, after a mad rush that included building a mini data center in its offices here for testing, Etched has reached a key milestone: signing up its first customer—Jane Street, the secretive Wall Street quantitative-trading giant—for its product, a server rack filled with AI processors optimized for rapid inference computing. The startup has booked more than \$1 billion in orders and already started shipping chips. In parallel, Jane Street is leading a new \$700 million funding round that values Etched at \$21 billion, the two firms said. That valuation puts it above the \$20 billion price Nvidia paid to license the Please turn to page A5

ORACLE Fusion Cloud Applications

AI that runs the world's business

- Finance
- HR
- Supply chain
- Manufacturing
- Sales
- Service
- Marketing

Only with Oracle Fusion

Discover how oracle.com/apps

U.S. NEWS



Vice President JD Vance on 'The View' in June. ABC's suit said the program has been 'more circumspect' about booking politicians because of the FCC inquiry.

ABC Sues FCC Over License Review

Network says agency is illegally quashing speech in wake of criticism of Trump

By JOE FLINT

Walt Disney's ABC has sued the Federal Communications Commission alleging the agency's efforts to challenge its broadcast licenses and regulate its talk show "The View" are illegal and an effort to quash speech the Trump administration finds objectionable.

In a suit filed in federal court in Washington, D.C., on Tuesday, ABC said, "Again and again, the Administration has attacked ABC's speech—the stories its journalists report and the viewpoints its network programs air. Over time, those attacks have escalated into express demands that ABC be stripped of its broadcast licenses because of its speech."

ABC is asking the court for a temporary restraining order, a preliminary injunction to halt the FCC's license-renewal process, and a hearing from the D.C. Circuit Court.

Last year, FCC Chairman Brendan Carr launched a probe into Disney's diversity, equity and inclusion initiatives to determine whether they violated the agency's prohibition on unlawful discrimination. Inside ABC, executives felt that the DEI probe was re-

ally a response to commentary on some of the network's shows, including its late night program "Jimmy Kimmel Live" and daytime show "The View," both of which have been harsh critics of the Trump administration.

Those suspicions escalated this past April when, shortly after Kimmel made disparaging remarks about Trump and the president called for the host to be fired, the FCC said it was launching an early license renewal for ABC's eight local broadcast stations.

"Acting through the Federal Communications Commission, the Administration has waged a retaliatory campaign against ABC for a single reason: it disapproves of what ABC broadcasts," Disney said in its suit.

Carr has said the license-renewal review isn't about speech, but rather about the company's DEI initiatives.

Disney said it had no other option than sue "with no alternative means to eliminate these ongoing and immediate threats other than total capitulation to the Administration's demands," the suit said.

ABC said that if the FCC were to go forward with a license-renewal hearing inside the agency, "an adverse outcome is all but guaranteed."

The FCC issued a statement that said it would continue to follow the facts and law.

"All broadcasters have a legal obligation to operate in the public interest—even Disney. The FCC has been exam-

ining claims that Disney engaged in illegal DEI discrimination for over a year. Disney is obviously very concerned about the FCC's proceeding, as evidenced by their ongoing campaign of disinformation as well as their decision to ask a court to stop the FCC from further pursuing matters," the FCC statement said.

Daniel Suhr, president of the Center for American Rights and an influential conservative activist who has the ear of the FCC's Carr, said, "Disney's lawsuit is a desperate attempt to short circuit the FCC's investigation into its unlawful and discriminatory employment practices."

Such reviews and license revocations are rare. The last time the FCC revoked a broadcast license related to a station's programming was in 1969, when a Jackson, Miss., station lost its license for defending segregation on the air. In 1980, the FCC revoked the broadcast licenses of media company RKO for business misconduct and lack of candor.

The FCC this year launched a separate inquiry into whether "The View" qualifies for an exemption from equal-time rules because it is con-

sidered a bona fide news program. The rules apply to radio and broadcast television and require non-news shows that have political candidates on during elections to also bring on their opponents.

"The View" received its exemption ruling from the FCC in 2002. In the past, the FCC has been flexible with the exemption for news programs, granting them to "The Tonight Show with Jay Leno" and "Entertainment Tonight." Candidate appearances on nonexempt shows have occasionally triggered the equal-time rule. In 2024, when Democratic presidential nominee Kamala Harris appeared in a sketch on NBC's "Saturday Night Live," the network then provided Donald Trump with a similar amount of airtime during some of its sports programming.

If the exemption for "The View" were revoked, it could make it more challenging for a broadcast-network show to have candidates on their programs since it would have to provide equal time to all opponents no matter how viable their campaign is.

ABC has said Carr's FCC is trying to control who the network can have on its shows. Carr countered the agency

isn't trying to control who appears on shows but is "enforcing the provisions" passed by Congress.

In its filing, ABC said the FCC's actions are already influencing editorial decisions and having a chilling effect on its news operations. It cited the network's decision to livestream a July 16 address by President Trump on election security as a result of the FCC's actions.

"ABC was aware that the President wanted the address to be broadcast live, and considered the risk of resulting Administration retaliation. ABC ultimately decided to livestream the speech on ABC News LIVE, which it ordinarily would not have done," the suit said.

ABC hasn't had a political candidate on "The View" since the FCC started its inquiry, the suit said. Because of what it called the FCC's "pressure campaign," the network has been "more circumspect in booking political candidates, and has resulted in passing on further consideration of booking several political candidates."

In its request for a temporary restraining order, ABC said, "Each time an ABC journalist publishes a story or an ABC host interviews a political guest, they must wonder whether that speech might lead the Administration to follow through on its threat of license revocation or to impose some other sanction."

Trump Pauses 50% Tariff On Canada

By GAVIN BADE AND AMANDA COLETTA

President Trump said he would pause a 50% tariff on certain goods from Canada for three days while the two countries seek to finalize an agreement.

"I have paused the 50% Tariffs against Canada, that were scheduled to kick in [Wednesday] morning for a three day period, based on the fact that Canada and the U.S.A., subject to the finalization of documents, have a DEAL!" Trump said on social media Tuesday night. The president didn't give details about the deal.

The new 50% tariff was set to cover \$20 billion worth of Canadian goods—about 5% of Canada's annual exports to the U.S.—ranging from hockey sticks and electronics to plastics and building materials.

In a separate post, the Office of the U.S. Trade Representative said the deal would include improved market access for U.S. goods in Canada, along with "economic security commitments" and "alignment" on digital trade issues that have long divided the two countries.

The new tariffs, announced a month ago, would have risked escalation into a trade war between the North American neighbors. Canadian Prime Minister Mark Carney, who came to power last year by promising to stand up to Trump's economic aggression, has said that Canada could retaliate. His country has been one of the few—along with China—to strike back at past U.S. levies with tariffs of its own.

Carney's office didn't respond to a request for comment.

The Trump administration first threatened the latest round of tariffs last month, saying they would be imposed in response to Canada's provincial bans on American alcohol, protections for its domestic dairy industry and quotas and tariffs on some U.S. vehicles. Canada imposed many of those measures last year in retaliation for other tariffs that Trump imposed on the country.

Import Prices Decreased Last Month

U.S. import prices decreased in July, driven by lower prices for fuel imports, according to data from the Bureau of Labor Statistics.

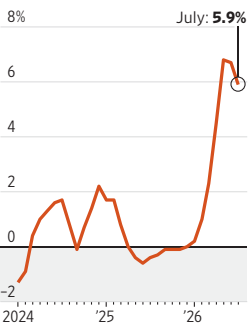
Overall import prices fell 0.4% in July following a downwardly revised 0.3% decline in June, the data showed. A consensus of economists polled by The Wall Street Journal had been projecting a 0.1% increase. Year-to-year prices were up 5.9%, the BLS said.

Import prices exclude duties, such as tariffs imposed on imports by the Trump administration, as well as transportation costs.

Petroleum import prices fell 7.5%, offering some relief after the war in Iran drove crude-oil prices sharply higher earlier this year. Prices for nonpetroleum imports were up 0.3%. Lower prices for fuel imports more than offset higher prices for nonfuel imports in July, the BLS said.

—Jessica Coacci

Import prices, change from a year earlier



Note: No data for Oct. 2025
Source: Labor Department

Treasury Yields Soar

Continued from Page One

chief investment strategist and head of global bonds at PGIM Credit.

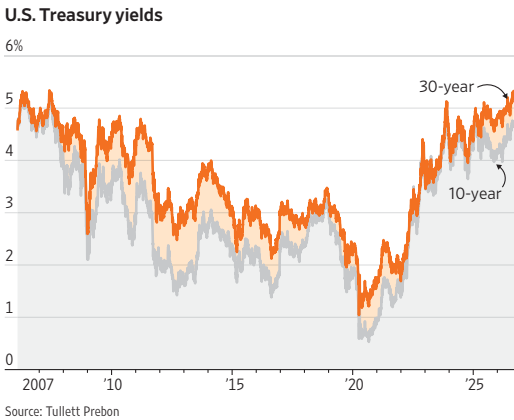
Yields on government bonds, which rise when bond prices fall, have reached multi-year highs in recent days, with the 30-year U.S. Treasury bond topping 5.3% for the first time since 2007. The 10-year yield, the premier benchmark for borrowing costs, has also come close to its highest level since early 2025.

So far, the selloff has been limited to bonds. Stocks are hovering near record highs and corporate earnings are still robust—signs that higher interest payments aren't squeezing economic growth.

Still, a sustained move higher in yields will have consequences well beyond Wall Street. One of the most direct victims is the government itself, which will be forced to pay higher interest rates on its growing pile of debt as older bonds mature and are replaced by new ones.

Even before this year's run-up, interest on the debt was consuming a bigger slice of the federal budget. Now, nearly \$1 in \$5 of revenue goes to interest payments.

Over the past half-century, federal interest costs averaged



2.1% of GDP. That figure is slated to hit 3.3% this year on its way to 4.6% in 2036, according to the Congressional Budget Office. But it could easily be worse than that.

The CBO's forecast earlier this year assumed the yield on the 10-year Treasury note would be 4.1%. That is well below its current level at around 4.7%. If the 10-year remains elevated, the government might factor in higher borrowing costs in future forecasts.

Publicly held U.S. debt is now at about 100% of GDP, nearing records set after World War II. That debt load makes the country more sensitive to rate moves. A mere 0.1 percentage-point rate move above forecasts in all rates would add \$379 billion in net interest expenses, according to the CBO.

"The issue is not so much the rising interest rates," said Michael Strain, director of economic policy studies at the conservative-leaning American Enterprise Institute. "The issue is the deficit. If we can only be concerned

about one thing, that one thing should be the 10-year deficit outlook."

Higher yields also have political implications. Treasuries play a major role in determining borrowing costs across the economy, including 30-year mortgages.

Elected based in large part on voters' concerns about affordability, President Trump has repeatedly promised to lower mortgage rates. Treasury Secretary Scott Bessent also said early in Trump's second term that the administration would try to push down the 10-year yield, in part by reducing the deficit, which would reduce the supply of bonds entering the market.

Those efforts, though, haven't born fruit, and polls suggest that voters' dissatisfaction with the economy remains high—hurting Republicans' chances in the midterm elections this fall.

In recent weeks, Bessent has taken steps that some analysts have seen as connected to his effort to at least prevent a further rise in Treas-

CORRECTIONS & AMPLIFICATIONS

Readers can alert The Wall Street Journal to any errors in news articles by emailing wsjcontact@wsj.com or by calling 888-762-5450.

THE WALL STREET JOURNAL

(USPS 664-880) (Eastern Edition ISSN 0099-9660)
(Central Edition ISSN 1092-0935) (Western Edition ISSN 0193-2241)

Editorial and publication headquarters: 1211 Avenue of the Americas, New York, N.Y. 10036

Published daily except Sundays and general legal holidays.
Periodicals postage paid at New York, N.Y., and other mailing offices.

Postmaster: Send address changes to The Wall Street Journal,
200 Burnett Rd., Chicago, MA 01020.

All Advertising published in The Wall Street Journal is subject to the applicable rate card,
copies of which are available from the Advertising Services Department, Dow Jones & Co.
Inc., 1211 Avenue of the Americas, New York, N.Y. 10036. The Journal reserves the right
not to accept an advertiser's order. Only publication of an advertisement shall constitute
final acceptance of the advertiser's order.

Letters to the Editor: Fax: 212-416-2891; email: wsj.letters@wsj.com

Need assistance with your subscription?
By web: customercenter@wsj.com; By email: support@wsj.com
By phone: 1-800-JOURNAL (1-800-568-7625)

Reprints & licensing:
By email: customreprints@dowjones.com
By phone: 1-800-843-0008

WSJ back issues and framed pages: wsjshop.com

Our newspapers are 100% sourced from sustainably certified mills.

GOT A TIP FOR US? SUBMIT IT AT WSJ.COM/TIPS

U.S. NEWS

Trump Proposes Opening Forests To Logging, Roads

By ALYSSA LUKPAT

The U.S. Forest Service is aiming to open more than 44 million acres of national-forest land to logging and road construction, a reversal of a policy that protected wildlife habitats for decades.

The agency intends to rescind a 2001 rule that blocked most development and timber harvesting in certain national forests, Agriculture Secretary Brooke Rollins said Tuesday. The new proposal would give local forest managers authority to develop the land, she said.

“For too long, outdated restrictions have kept tens of millions of forested acres off-limits to the very treatments that improve forest health and reduce wildfire risk to our communities,” Rollins said.

The U.S. Department of Agriculture said it would open the roadless-rule reversal to public comments until Sept. 21 before making the proposal official.

Supporters of the so-called roadless rule say it has preserved clean water supply, outdoor recreation spaces and habitats for endangered species in national forests. The government’s proposal would

remove the roadless-area designation.

Three-quarters of the public supported the roadless rule in a 2019 survey by the non-profit Pew Charitable Trusts.

“For 25 years, the Roadless Rule has kept our wildest forests intact. The benefits have been incalculable for people, for water, for wildlife, and for the climate,” said Abigail Dillen, president of Earthjustice, a nonprofit environmental law organization.

President Trump has moved to revive the lumber industry and called for more logging in national forests. Domestic lumber producers have a limited log supply, in part because of the roadless rule, and have faced competition from cheap Canadian lumber. The Trump administration has reversed multiple climate-related policies.

The Clinton administration first proposed the roadless rule, which was challenged in court multiple times. The USDA, which oversees national forests, said last year that it was planning to rescind the rule.

Democrats in Congress have moved to codify the roadless rule into law, but it has sputtered in the Republican-controlled legislature.

Explosions, Fire Engulf Ohio Business, Killing 2



SMOLDERING: Firefighters worked to put out a blaze at a Toledo industrial recycling business Tuesday that killed two workers.

Case Alleging Harm to Children Opens Against Meta Platforms

By MEGHAN BOBROWSKY

OAKLAND, Calif.—Opening arguments in a child-safety trial against **Meta Platforms** began on Tuesday in what could be the most consequential social-media harm case yet.

The case, brought by the state attorneys general of California, Kentucky, Colorado and New Jersey, will explore whether Meta violated state consumer protection laws and the federal Children’s Online Privacy Protection Act of 1998, commonly known as COPPA, by knowingly making its platforms addictive and going after young users.

The trial, taking place at a federal courthouse in Oakland, comes on the heels of Meta’s nearly \$1 billion loss in New Mexico state court and could cost the tech company 200 times as much money if it loses, according to a recent filing.

Meta is facing thousands of lawsuits from more than 40 state attorneys general, school districts and individual social-media users that allege the company prioritized growth over the safety of its underage users and could force it to change the ways its platforms operate.

“What you’re going to hear in this trial is how Meta hooked children on its plat-

forms,” Megan O’Neill, a deputy attorney general for the California Department of Justice, said during opening arguments in the Oakland case. “It designed platforms so that children would keep coming back.”

O’Neill previewed internal documents she said the plaintiffs intended to show the eight-person jury during the trial. One of them was a conversation between two Meta employees, in which one said: “oh my gosh y’all IG is a drug.” The co-worker responded: “Lol, I mean, all social media. We’re basically pushers.”

Another was an internal document in which Meta said its product “exploits weaknesses in the human psychology.”

Paul Schmidt, a lawyer for Meta, called the drug-pushing conversation “loose language” and told the jury they would hear from one of the people in that conversation about what she really meant.

During his opening arguments, he showed a sampling of the measures he said Meta has taken to prevent children

from using its platforms in an unsafe way. He also said there are some facts the company won’t be disputing, such as the idea that some teens struggle to manage their time.

Schmidt took aim at the specific statements and features that the AGs said demonstrated unfair and deceptive business practices.

He asked the jury to keep the following question in mind at the end of the trial: “Does this actually prove what they have to prove?”

A Meta spokeswoman said the AGs’ financial demands are “vastly disproportionate” and that the plaintiffs are attempting to penalize the company for industrywide challenges like age verification.

So far, Meta lost the first two such civil cases that went to trial, the one in New Mexico and another in Los Angeles brought by a 20-year-old woman.

The company has said it disagrees with the rulings and will appeal both verdicts. In the Los Angeles case, the woman won \$6 million from Meta and YouTube.

Meta settled another case with a Kentucky school district. And a Florida teen dropped his case last month without receiving payment.

A similar trial, brought by Tennessee’s attorney general, is also playing out in that state, the results of which could cause ripple effects across the country. Losing several state AG cases would make it more difficult for Meta to say the verdicts are isolated incidents and could create significant problems for its business model.

As part of remedies for the New Mexico trial, a judge ordered Meta to create a \$567 billion abatement fund and to limit the amount of time that young people can spend on its apps. The company must turn off push notifications on teens’ accounts overnight and by default hide the number of “likes” on photos, the judge said in his order.

On its most recent earnings call in July, Meta’s finance chief, Susan Li, said Meta is facing a number of youth-related trials that could ultimately result in a material loss. The company spent \$2.4 billion on legal proceedings in the second quarter. It brought in \$60.8 billion in revenue.

◆ What to know about ChatGPT for Teens..... A9

Watch a Video: New York City Tries to Fix Its \$500 Million Trash Problem



The city handles nearly 3 million tons of municipal waste every year. The majority of that gets shipped to outside landfills. Can the Sanitation Department modernize the system? Scan this code to watch the video.

Trump Selects Overton To Run Drug Agency

By LIZ ESSLEY WHYTE

President Trump has selected one of his top White House health aides, Dr. Heidi Overton, as his next choice to lead the Food and Drug Administration, people familiar with the matter said.

Overton, who helps lead the Domestic Policy Council, has guided many of the key health policies of Trump’s second term and was by the president’s side earlier this month when he signed an executive order to pare back the list of recommended childhood vaccines and tied immunization to autism—a connection scientists say doesn’t exist.

Trump ousted his last FDA commissioner, Dr. Marty Makary, in May, after a string of management headaches for the White House and disagreement over vaping policy. The White House didn’t respond to a request for comment.

Overton previously trained under Makary at Johns Hopkins University School of Medicine and was a defender of him in the administration. She will need Senate confirmation and will face a hear-

ing before the Senate’s health committee, led by Sen. Bill Cassidy (R., La.), who has blasted Trump’s recent moves on vaccines.

Health Secretary Robert F. Kennedy Jr. has praised Overton, but some of his allies have blamed her for slowing down some of his preferred Make America Healthy Again policies. She also didn’t favor moves to loosen regulation on marijuana and boost psychedelics, though she ultimately worked to rush out Trump’s executive order on psychedelics, people familiar with the matter said.

Overton previously worked at America First Policy Institute, the think tank that was helmed by Brooke Rollins, now agriculture secretary. Bloomberg earlier reported Overton’s selection.

Advisers earlier this summer submitted to Trump names for three possible choices to head the FDA, which is being led on an acting basis by its former food division head, attorney Kyle Diamantas. The three candidates were Overton, New York oncologist Dr. Jeff Vacirca and Dr. Stephen Ferrara, a health official in the Defense Department.

Some in the pharmaceutical industry who viewed Overton as too closely tied to Makary voiced their opposition to her nomination, people familiar with the matter said.

Rep. Buddy Carter (R., Ga.), a pharmacist, was also discussed by officials as a possible nominee, people familiar with the matter said. Carter was interested in the position, a person familiar with the matter said.

Overton obtained her medical degree from the University of New Mexico School of Medicine and a doctorate in clinical investigation from Johns Hopkins Bloomberg School of Public Health.



Dr. Heidi Overton

Serpentine



PAUL MORELLI

Serpentine Midi Cuff

U.S. NEWS

Trump Ally Donalds Wins Florida Race

Congressman is GOP pick for governor; Democratic socialist records Senate upset

ORLANDO, Fla.—Rep. Byron Donalds, President Trump’s staunch ally, cruised to victory in the Republican contest in Florida to succeed Gov. Ron DeSantis, while a Democratic socialist scored an upset win in the Democrats’ Senate primary.

By Ken Thomas, Alex Leary and Anthony DeBarros

In a key House race, scandal-plagued Republican Rep. Cory Mills was defeated by Ryan Elijah, a former TV newscaster, in his primary in a district outside of Orlando. Trump and Republicans had distanced themselves from the congressman.

Donalds, 47 years old, who has represented southwest Florida in Congress since 2021, would become Florida’s first Black governor if he wins in November. He will face former Rep. David Jolly, who won the Democratic nomination.

Backed by the president, Donalds dominated a large GOP primary field that included Lt. Gov. Jay Collins and James Fishback, a far-right provocateur who drew criticism for racial attacks on



Rep. Byron Donalds, left, celebrated his victory Tuesday in the GOP governor’s primary in Orlando. The Democratic Senate candidate will be Angie Nixon, right.



Donalds. With about 84% of the expected vote counted, Donalds had 49%, with 25% for Collins and 10% for Fishback, according to the Associated Press.

Hundreds of Donalds supporters, gathered in Orlando, cheered as Donalds called for Republican unity and said he would work to make the state more affordable.

Florida’s Tuesday primary offered a full slate of races for governor, the House and the Senate, providing a look at the impact of the Republicans’ mid-decade redistricting plan and the president’s influence

in the state. Democrats have sought to make Florida more competitive as shifting population trends put a premium on boosting their performance in the nation’s Sunbelt.

Sen. Ashley Moody, who was appointed to the seat of Secretary of State Marco Rubio, won the GOP primary as she seeks to serve out the two years remaining in Rubio’s term.

In the Democratic race, state Rep. Angie Nixon of Jacksonville, who is a member of the Democratic Socialists of America, upset Alex Vindman, a former Trump administration national security official

who figured in the president’s first impeachment and was a strong fundraiser.

Once the country’s most prized battleground and twice carried by former President Barack Obama, Florida has turned into a reliable Republican stronghold under Trump, who has made frequent visits to Mar-a-Lago in Palm Beach as president. Republicans approved a mid-decade redistricting proposal in the spring in hopes of capturing up to four additional seats in Congress.

The GOP currently holds a 20-7 edge in the Florida U.S. House delegation with one va-

cancy in a seat previously held by a Democrat.

In the Democratic governor’s primary, Jolly, a former Republican congressman who broke with Trump in 2018, routed a field of lesser-known candidates after joining the party last year ahead of his campaign.

DeSantis, who unsuccessfully challenged Trump for the GOP presidential nomination in 2024, is serving his second and final term.

DeSantis declined to endorse Donalds during the primary, saying he hadn’t been part of the state’s recent success. Casey DeSantis, the gov-

ernor’s wife, had considered running, but Trump endorsed Donalds in February 2025. Donalds had backed Trump in the 2024 presidential primary.

In the House, Mills has faced allegations of profiting from federal contracts, campaign finance misdeeds and physical violence. He has denied wrongdoing and requested a House Ethics Committee review to clear his name even as his candidacy made Republicans nervous.

With 97% of the expected vote counted, Elijah had 47% to 34% for Mills, according to the AP.

Pennsylvania Moves to Restrict Data-Center Projects

By VICTORIA ALBERT

Pennsylvania Gov. Josh Shapiro signed an executive order Tuesday placing strict guardrails on new data centers, joining several states that are moving to limit the facilities fueling artificial intelligence’s rise.

Shapiro said the order follows reports from Pennsylva-

nians that a flood of developers have been harassing and strong-arming residents. Prospective builders will have to agree to several requirements to win state approval, the Democrat said, including an energy plan that won’t shift costs to Pennsylvania households and securing local buy-in.

“I’m here to say today that we will not be bullied by these

developers,” the governor said. “We will not be bullied by the lawyers for these big tech companies.”

Shapiro, a possible 2028 presidential contender, said there are reports of more than 100 data-center proposals under discussion in Pennsylvania, many of which he called “completely speculative.” There are no centers

currently operating in the state, he said, and only five have the permits they would need to move forward.

Communities across the country have grappled with the rapid spread of data centers, which house the equipment powering AI and computing systems. New York Gov. Kathy Hochul, a Democrat, ordered a temporary ban on

large data-center construction last month to give the state time to craft proper regulations. Maine Gov. Janet Mills, also a Democrat, vetoed a bill earlier this year that would have halted new data-center construction.

Supporters of the projects say that they will bring in thousands of jobs and potential windfalls for local land-

owners.

Critics of the centers say that they consume tremendous amounts of electricity and water, cause noise and air pollution and won’t deliver on promised local benefits.

Dozens of cities and counties have temporarily paused new construction, and many states are weighing similar bans.

No More Surprises
No More Emergencies
No More Disruptions

Factiva Sentiment Signals

POWERED BY OLIVER WYMAN

An unforeseen corporate credit event can leave your business exposed to risk. Utilizing Factiva’s renowned news content collection and cutting edge, AI based models, Dow Jones and Oliver Wyman have partnered on a solution that offers early warning signals of potential corporate risk events that you can add to your own workflow via an API.

Get the critical insights you need, now.

For more information visit dowjones.com/fss or email fss@dowjones.com.

DOW JONES
FACTIVA

LEARN MORE

© 2026 Dow Jones & Co., Inc. All Rights Reserved. 6DJ1101

U.S. NEWS

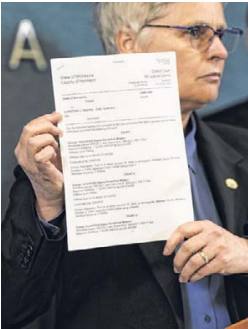
Minnesota Suit Alleges Texas Refuses to Extradite ICE Agent

Officer is wanted on assault charges tied to an immigration operation in January

By MARIAH TIMMS

Texas Gov. Greg Abbott is refusing to extradite a federal officer wanted in Minnesota on assault charges tied to an on-duty shooting during January’s immigration crackdown in the Twin Cities, a new lawsuit claims.

In the suit filed in Texas federal court Tuesday, Minnesota Gov. Tim Walz alleges Abbott has stalled on approving the extradition of the Immigration and Customs Enforcement officer from a county jail on the southern border for nearly three months. During



Hennepin County Attorney Mary Moriarty

that stretch, Texas has approved several other extradition requests from Minnesota and sent several of its own, the lawsuit says.

Texas hasn’t yet responded in court to the allegations. Ab-

bott’s office said the governor wouldn’t comment on pending extradition, and the Department of Homeland Security didn’t respond to a request for comment.

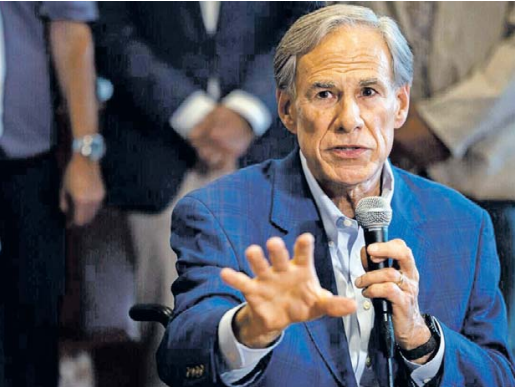
ICE officer Christian Castro, 52 years old, was charged in May with four counts of assault in the second degree and one count of falsely reporting a crime. The shooting occurred during the massive immigration enforcement operation in Minnesota known as Operation Metro Surge that also led to the fatal shootings of Renee Good and Alex Pretti by immigration officials.

The allegations stem from a January shooting where prosecutors say Castro fired a bullet through the front door of a home, which struck Venezuelan immigrant Julio Sosa-Celis in the thigh before tearing

through a wall in a child’s bedroom. Hennepin County Attorney Mary Moriarty, leading the prosecution, said Castro had lied about being attacked before the shooting.

A nationwide warrant was issued for Castro’s arrest, and he was taken into custody by Texas officials soon after the charges were announced. The suit also names Sheriff Manuel Trevino, who oversees the jail where Castro is being held, as a defendant.

Two other immigration officials involved in the shooting were placed on administrative leave after video evidence showed their sworn testimony was “untruthful.” Sosa-Celis had been charged with assault after the shooting, but the Minnesota U.S. Attorney’s Office dropped the charges, saying, “Newly discovered evi-



Texas Gov. Greg Abbott is accused of stalling on an extradition.

dence in this matter is materially inconsistent with the allegations,” according to court documents.

Time is running out to bring Castro to Minnesota and begin the legal process against him, Minnesota said in the lawsuit. Under Texas law limiting the detention of fugitives, Castro may be eligible for release from jail as soon as next week, the lawsuit said. Minnesota said in the lawsuit that officials fear he may try

to flee if released, given his ties to nearby Mexico and fluency in Spanish.

Castro’s case was the second time local prosecutors have leveled criminal charges against federal officers for their conduct in the city this winter. It is rare for state officials to prosecute federal agents for actions related to their official duties. Federal agents have legal protections that can make it challenging to convict them.

U.S. WATCH



ART IN THE PARK: Statues and sculptures are displayed as people visit Elizabeth Street Garden in New York. The European-style public green space won its 13-year legal battle last week when developers filed a notice of discontinuance and the court dismissed the case.

Raid on Nvidia’s Talent

Continued from Page One technology and hire the leadership of Groq, a similar startup, in December. The round also includes Kleiner Perkins, Sequoia, Andreessen Horowitz, Tiger Global, Bain Capital Ventures, Neo and Blackstone.

The startup said it took just 44 days after getting its test chips back from Taiwan Semiconductor Manufacturing to have them up and running inference workloads—the computing processes that allow AI models to respond to user queries—a process that usually takes six months or more.

“We may be the only AI chip that was built by a startup that was successful on the first try,” said Robert Wachen, co-founder and president of Etched.

Although its co-founders might be newcomers, it has plenty of chip-industry expertise in its ranks. Around 15% of Etched’s roughly 400 employees previously worked at Nvidia, and it has recruited aggressively from the market leader, as well as from other established semiconductor firms. Jimmy Daley, a former VP of data-center systems engineering at Nvidia until he retired in July, is an investor, the startup said.

Systems engineer Anthony Gamberman joined the procession from Nvidia to Etched in April, in part because so many of the people he most admired had already jumped ship. “One leaves, and then another one, you hear a couple weeks later, and you go, ‘Whoa, I can’t believe so-and-so is heading over to Etched,’” he said.

Etched has its origins at Harvard, where its two other founders, Gavin Uberti and Chris Zhu, met in Math 55, the famously difficult undergraduate course in theoretical mathematics, in which less than half of students get a passing grade. All three founders are 24 years old.

Wachen, a coder who lived on the same floor as Uberti, was running an education-technology company. He would later go on to run Prod, a Cambridge, Mass.-based, student-run nonprofit startup accelera-

tor that produced the coding agent Cursor and the AI hiring platform Mercor, before co-founding Etched.

The startup struggled to raise funds initially because potential investors and customers reckoned that the founders were too inexperienced to succeed in a field as complex as AI computing hardware.

In response, the company adopted the motto “Production is the product” and settled on a capital-intensive approach to developing chips aimed at bringing them to market as fast as possible.

That meant buying tens of millions of dollars’ worth of diagnostic equipment, writing a software and designing custom server racks before the first batch of silicon wafers had been fabricated, and pulling all-nighters for two months over the spring.

Then there is the 2-megawatt in-office data center. Lined with refrigerator-sized server systems, the room emits a low roar from its cooling systems and allows potential customers to remotely access and try out Etched’s chips.

Another way in which Etched is atypical is in how much of its supply chain it owns and controls. The company has a team of 20 in Taiwan, where it owns a factory that builds server components. Most chip startups outsource much of the testing of their finished products, while Etched does almost all of it in house.

Company executives said they design their chips using a

distinctive design approach called “cluster-scale memory,” a way of allowing multiple chips inside a server to communicate more quickly and thus act as one processor. They said communications tasks that take about 4,000 nanoseconds for an Nvidia Blackwell processor to perform can be done by Etched’s chips in 700 nanoseconds because of the chip’s architecture and custom interconnections.

In 2023, the company recruited Saptadeep Pal to be its chief silicon architect. Pal researched multi-GPU parallelization, or ways of stitching many chips together, at Nvidia, and later co-founded Auradine, a bitcoin miner, where he designed what he described as the lowest-voltage chip ever shipped.

When Etched needed help designing servers and racks to integrate its chips into one big system, the company, the com-

pany in 2024 recruited Brian Loiler, a top systems engineer who spent nearly 23 years at Nvidia. Loiler has since recruited to Etched about a dozen engineers from Nvidia who, in some cases, turned down attractive counteroffers, he said.

The startup has targeted the quantitative trading industry as a pool of both customers and investors. Around the beginning of 2025, it poached Tim Pervezchikov, a former quant trader at the Wall Street firm Two Sigma, to head up Etched’s finance efforts.

Quant trading firms typically want the most powerful processors available, to quickly run their investing models and give them even a tiny fraction of a second’s trading advantage, Pervezchikov said.

Patrick O’Shaughnessy, an Etched board member and founder and CEO of Positive Sum, a venture firm that has backed the startup since its earliest funding rounds, said Etched is the first semiconductor startup founded after the release of ChatGPT to recognize the importance of inference.

“They move faster than anyone I’ve ever dealt with, especially moves really slowly,” O’Shaughnessy said.



Nvidia CEO Jensen Huang

MINNESOTA

State to Slow Down Mining Projects

Minnesota Gov. Tim Walz on Tuesday said the state wouldn’t review or process permits on proposed mining projects in the Boundary Waters Canoe Area Wilderness, four months after Congress and the Trump administration lifted a federal ban.

The wild area stretches for about 150 miles in the Superior National Forest along Minnesota’s border with Canada. “It’s our duty as Minnesotans to ensure the sacred place remains wild, pristine and unharmed,” said Walz, a Democrat. Under state law, Walz’s executive order would expire next April.

In April, President Trump signed a resolution approved by Congress that lifts a 2023 moratorium on mining in the forest. He said it would create jobs and boost the mining industry.

—Associated Press

TEXAS

Baseball Coach in Immigration Arrest

A Venezuelan former baseball player working for the San Diego Padres was detained by U.S. immigration officers after arriving in Texas on a work trip, his family said Tuesday.

Oswaldo Pirela, a catching coach in the Padres’ minor league system, was being held in a detention center in El Paso, federal records show.

He was on a work trip when he was arrested Sunday at an airport in El Paso, according to Daniela Pirela, his sister. She said her brother has lived in the U.S. for 12 years and he applied for asylum in 2015.

The Department of Homeland Security said Oswaldo Pirela entered the country illegally in 2014 and was granted permission to stay until 2018. He then “overstayed his welcome,” DHS said.

—Associated Press

OBITUARY

Frank Beard, 77, ZZ Top Drummer

Frank Beard, the drummer for the Texas boogie-rock trio ZZ Top who kept the tempo for the band’s biggest hits like “Sharp Dressed Man,” “Legs” and “Gimme All Your Lovin,” has died. He was 77 years old.

Beard was in hospice care when he died Tuesday at his ranch in Richmond, Texas, with family members at his side, according to publicist Bob Merlis.

ZZ Top sold more than 50 million records and had six singles that reached No. 1 on Billboard’s Mainstream Rock Airplay chart.

“I’ve found the people I was meant to play with,” Beard says in the 2019 documentary “ZZ Top: That Little Ol’ Band from Texas.”

“I never wanted to quit, and never wanted to get fired,” he said.

—Associated Press



GLOWING GREEN RAYMOND YARD PERIDOT RING

Vibrant color. Legendary origin. Impressive size.

Among the finest examples of its kind, this monumental 20.28-carat Burma peridot exemplifies the exceptional gemstones for which Raymond Yard is renowned. Set in platinum with diamond accents. GIA certified. #31-5610



View a video of this ring

M.S. Rau
FINE ART • ANTIQUES • JEWELS

ws@msrau.com • msrau.com

NEW ORLEANS 622 Royal Street • 877-677-2801 | ASPEN 307 S. Galena Street • 970-499-7720

Since 1912, M.S. Rau has specialized in the world’s finest art, antiques and jewelry. Backed by our unprecedented 125% Guarantee, we stand behind each and every piece.

WORLD NEWS

Syria Takes Steps To Come Clean On Nuclear Past

Inspectors visited a recently disclosed site containing Assad-era material

By Laurence Norman and Jared Malsin

Syria took a major step in clearing up its one-time suspected nuclear-weapons program, allowing U.N. atomic inspectors to verify nuclear material believed to have been stored in the country for at least two decades.

Rafael Grossi, head of the International Atomic Energy Agency, led a team on Tuesday that checked the presence of uranium metal at a site that Damascus disclosed just last month. Syria's new leadership agreed to put the material under future agency oversight. Uranium metal can be used as fuel in a reactor or as a key component of a nuclear warhead.

In the early 2000s, in the first months of former leader Bashar al-Assad's reign, North Korea helped Syria secretly build a gas-cooled, graphite-moderated nuclear reactor. In September 2007, Israeli airstrikes destroyed the still incomplete reactor, known as Al Kibar.

It isn't clear if the natural uranium metal verified this week was supplied by Pyongyang. Syria also procured large amounts of graphite needed to keep the nuclear reactions in the reactor steady. The U.S. and its Western allies have long accused Pyongyang of proliferating nuclear and chemical-weapons technology to allies to help gain hard currency for its ailing economy.

Washington provided information on the Israeli attack in 2008, but Israel only confirmed it years later.

In a statement with the Syrian government, the IAEA called Tuesday's visit "the most significant advance to date" in cooperation between Damascus and the agency. Grossi also visited a previously undisclosed site for storing graphite and the location where the reactor stood in eastern Syria, where excavation work is taking place.

Washington was involved in helping the IAEA get access to

the recently disclosed site, said one person familiar with talks.

A U.S. official said President Trump is committed to supporting a stable Syria that poses no threat to its neighbors. "We are in ongoing discussions with the Syrian government and will continue to work with both them and the IAEA to resolve all holdover issues in the nuclear file that they inherited from the Assad regime," the official said.

The regime, toppled from power in late 2024, denied it was engaged in nuclear-weapons work, and refused to answer IAEA questions.

In a bid to win support from the U.S. and other Western countries, President Ahmed al-Sharaa pledged soon after taking power in late 2024 to cooperate with Grossi's agency to clarify Syria's past nuclear work.

There are still several questions around the scope of Syria's past nuclear activities. In particular, experts say, it remains unclear how much of a domestic uranium fuel cycle Assad built out. It also is unclear how far the Assad regime got in assembling a capability to separate plutonium and turn it into a form that can be used in a nuclear weapon.

Syrian officials said Tuesday the material would remain in the country albeit under IAEA monitoring. Some experts said the IAEA and Washington should push for the nuclear material to be removed.

Syria's nuclear work was one plank of the Assad regime's production of weapons of mass destruction, which dated back decades to Bashar al-Assad's father, Hafez. The Assad regime's use of chemical weapons against its own people was one of the worst atrocities committed by the government in its long and brutal campaign to remain in power after a 2011 popular uprising that spiraled into armed rebellion. In 2013, government forces carried out a sarin gas attack that the U.S. assessed killed more than 1,400 people. The regime also used chlorine gas in its long war against rebel groups that would ultimately push Assad from power.

In 2025, the Organization for the Prevention of the Use of Chemical Weapons helped locate and destroy the stockpiles.



Supporters of Zambian President Hakainde Hichilema celebrate his victory for a second five-year term in the capital, Lusaka.

Zambia President Wins Re-Election

By Nicholas Bariyo

KAMPALA, Uganda—Zambian President Hakainde Hichilema, the pro-business leader of Africa's No. 2 copper producer, won a second five-year term in a vote marred by opposition allegations of fraud and repression.

The 64-year-old economist and rancher, who entered the race widely expected to win, secured 61.4% of five million votes cast, well ahead of his closest rival, Brian Mundubile, who garnered 38%, the Electoral Commission of Zambia said Tuesday.

"Hichilema intends to position Zambia as a leading producer of one of the world's key critical minerals, capitalizing on increasing industrial demand," said Edward Bach, Africa analyst at Verisk Maplecroft, a U.K. risk-intelligence firm. "Hichilema is also well-respected and supported by

international investors, with his first term broadly restoring economic stability following a debt default in 2020."

Zambia had the dubious distinction of being Africa's first pandemic-era sovereign defaulter when he assumed office in 2021. Hichilema quickly implemented economic overhauls that helped pull the country out of default, winning credit from investors and economists.

During his term, investors committed some \$10 billion to Zambia's mining industry, helping transform an industry that was on a downward spiral last decade, said Pangea-Risk, a U.K. risk advisory firm.

The U.S. has been among those eyeing Zambia's mineral wealth. The Trump administration has been negotiating a critical-minerals deal it hopes will favor U.S. companies, say Zambian and U.S. officials.

The U.S. push marks a di-

rect challenge to China's long dominance in Zambia, but Beijing's reputation in the country took a hit recently after a toxic spill at a Chinese copper mine.

In May, Zambia's then-foreign minister, Mulambo Haimbe, announced the government rejected a \$2 billion health-aid deal with the U.S. because Washington was insisting on securing an advantageous minerals deal as a precondition for the funding. Washington's former ambassador to Zambia, Michael Gonzales, denied the allegations.

Hichilema's main rival, Mundubile, of the National Reconciliation Party for Unity and Prosperity, promised voters he would address worsening living conditions and poverty in the capital, Lusaka, and Copperbelt Province, where his party beat the president's and won dozens of parliamentary seats.

"Opposition gains in Copper-

belt constituencies point to increased pressure on the incoming administration to ensure that mining growth delivers jobs and visible benefits for mineral-rich communities," said Zaynab Hoosen, head of Africa Risk Forecasting at Pangea-Risk.

European Union election observers said the government tilted the playing field in the ruling party's favor. The observers noted that state media was "heavily biased" toward the president's party, while opposition candidates weren't allowed to campaign freely.

Mundubile's party said police stormed his home in Lusaka on voting day and shot two of his supporters. The government said police entered the opposition leader's residence to arrest suspected militia fighters connected to "illegal military training camps" that posed a threat to national security.

Iran Attacks Frustrate Gulf Nations

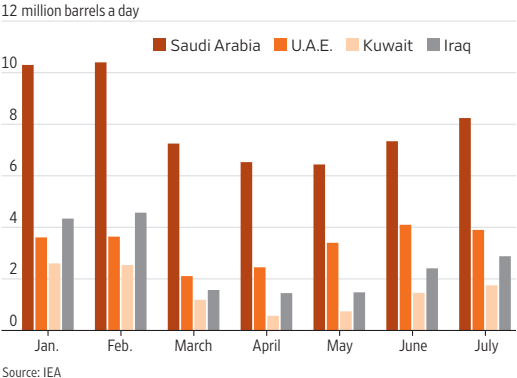
Continued from Page One

carried high risks to Gulf energy infrastructure. The White House's change in approach ended a significant escalation in fighting. But it also hasn't persuaded Iran to back down and is raising concerns in the region of an extended throttling of Hormuz amid a drawn-out standoff.

The U.S.'s Arab allies feel caught in the middle, Gulf officials said. While they don't want to see a resumption of higher-intensity conflict, they believe the lack of U.S. response is encouraging Iran to increase its attacks. Gulf states think Iran ultimately will respond militarily to rising economic pressure, bringing the conflict back to a boil regardless, the officials said.

Last month, the U.S. surged forces to the Middle East to give Trump more options to expand the war, and Trump warned that the U.S. would bomb one bridge or power plant every time Iran hits a ship in the strait. But Trump backed off the military option

Crude production of selected Middle East countries



Source: IEA

in favor of economic pressure.

Trump's top aides have argued recently that choking off Iran's ability to trade with the world could be more effective than military or diplomatic efforts. The administration is betting the combination of tough sanctions and the Navy's blockade will push Iran's spiraling economy into free fall and force concessions.

The U.S. military has redirected 64 commercial vessels, disabled three, and boarded two to enforce its blockade of Iranian ports since it was reimposed in July.

Iran's attacks on ships have killed a number of crew members and deterred crossings, but many haven't done

the sort of catastrophic damage that would force a military response. The U.S. military said it continues to help ships transit the strait, reducing the pressure on world energy markets.

Global benchmark Brent crude oil futures were little changed on Tuesday at \$91 a barrel, well off their highs from earlier in the war but still elevated.

Meanwhile, Iran has refused to back down and is insisting on controlling ship traffic through Hormuz.

The latest attack marks the 14th vessel hit in August near the Hormuz or the Bab al-Mandeb Strait on the other side of the Arabian Peninsula that

links the Red Sea to global markets, according to maritime-risk company Marisks.

No one claimed responsibility for the latest attack. But it shows the risks for ships operating in or close to Omani waters in lanes the U.S. said it has cleared of mines, angering Iran, which wants ships to use the northern route administered by Tehran and close to its coast.

"The threat is not limited to superficial damage or coercive signaling but now carries a direct and substantial risk to seafarers," said Dimitris Maniatis, Marisks's founder and chief executive.

There have been 70 attacks on commercial vessels transiting the strait and the Bab al-Mandeb during the war, causing 24 deaths and 45 injuries, according to ship tracker Kpler.

Ships continue to ply the strait, though in much lower volumes than in June and July, when a ceasefire prevailed for part of the two months. There were 10 crossings on Monday compared with an average of 15 a day this month, Kpler said.

Ships are mostly transiting the southern route with their transponders turned off or moving through the northern route administered by Iran. Only two out of the 255 crossings this month have openly used the U.S.-backed route along Oman's coast.

PAKISTAN

Imprisoned Khan Sent to Hospital

Pakistan's Supreme Court on Tuesday ordered authorities to take imprisoned former Prime Minister Imran Khan to Shifa International Hospital in Islamabad for a medical examination, following months of concerns from his family and personal physicians about his health and access to medical care, his lawyers and party officials said.

A three-judge panel ordered that Khan be taken to the hospital in the coming days and examined by a medical board that will include specialists and one of his personal physicians.

The court said Khan's health was at stake and access to medical care is protected under Pakistan's constitution, said Khan's lawyer, Salman Akram Raja.

—Associated Press

AFGHANISTAN

Grenade Attack Injures Children

A hand-grenade attack near a school in the capital, Kabul, on Monday afternoon wounded multiple children, authorities said.

Kabul police spokesman Khalid Zadran said an investigation was under way.

Richard Bennett, the United Nations' special rapporteur for Afghanistan, on Tuesday condemned "the heinous attack harming numerous children near a school."

Afghan media reported that around 50 children were hurt in the blast, which occurred in a part of the capital populated mainly by the Hazara ethnic minority. Hazaras, who make up around 9% of the Afghan population, have long suffered attacks and persecution in Afghanistan.

—Associated Press

RUSSIA-UKRAINE WAR

Combatants Trade Massive Airstrikes

Ukrainian forces launched one of their biggest drone attacks on Russia since Moscow's invasion, firing almost 800 drones two days after a similar salvo, officials said on Tuesday.

Meanwhile, a Russian missile strike on a village in northeastern Ukraine's Kharkiv region killed at least 10 people and wounded 17 others as the barrage demolished homes, officials said.

Russian air defenses overnight intercepted 791 Ukrainian drones over a number of regions, as well as annexed Crimea and the Black and the Azov seas, the Defense Ministry in Moscow said, in the second-largest drone attack since January 2025, according to an Associated Press tally.

—Associated Press

WORLD WATCH



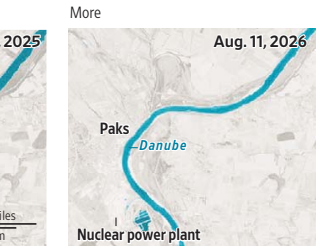
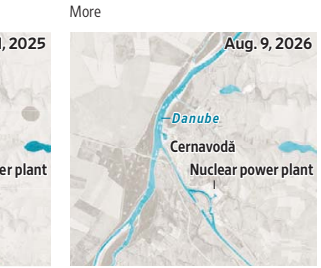
Paramedics and police officers in Pechenihi, Ukraine, inspect victims of Russian drone strikes.

WORLD NEWS

European Droughts Sink Economies

Continent—including the Rhine, Danube and Po—are now at record-low levels, disrupting freight transportation, forcing nuclear-power plants to shut reactors and eroding agricultural productivity.

The Wall Street Journal analyzed European rivers using satellite imagery to calculate a water index that highlights surface water. The below maps show the change in surface water from this time last year: The less water, the lighter the colors seen.



anube at the only the Roma-plant, which Roma-shut her the military's attempts to divert more water toward the plant using explosives didn't pay off.

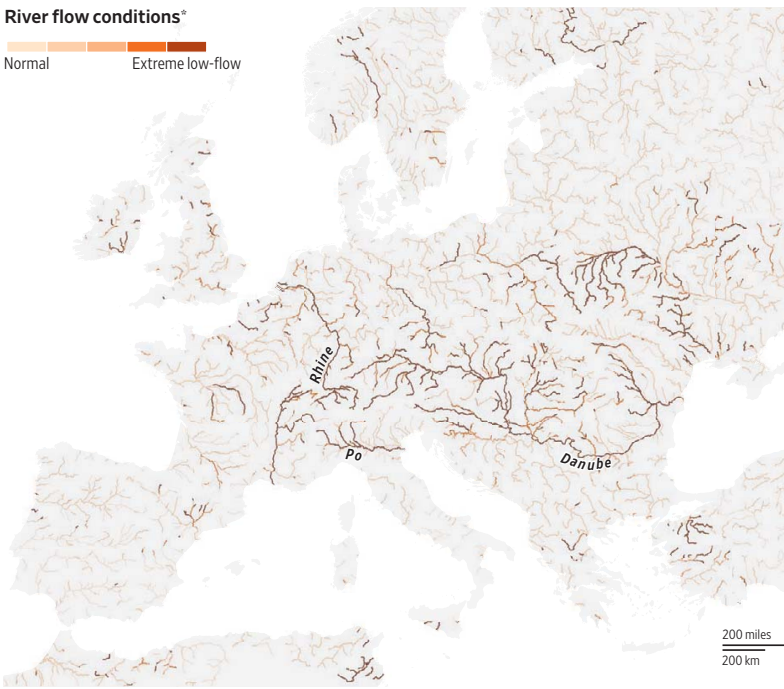
At Hungary's Paks plant, which generates about 40% of the country's electricity, water shortages have put the facility on the threshold of a shut-down.



Rhine, principal cities carry loads as little as 20% of normal capacity, raising shipping costs and disrupting the supply chain.

the Po, farm-makes it vulnerable to the incursion of seawater from the Adriatic, posing a threat to crops.

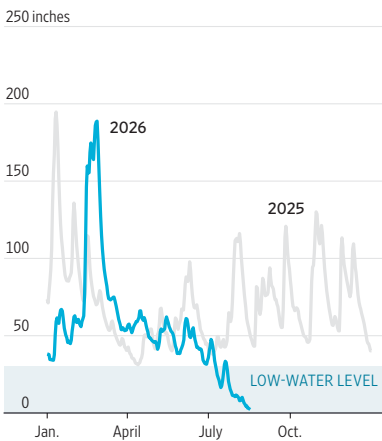
gate, but with much smaller loads, making the transits less economically viable. Meanwhile, falling levels in the Danube—Europe's second-longest river—have disrupted navigation and power generation, while placing additional stress on regional



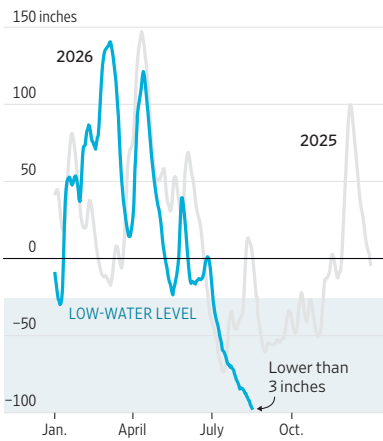
European Rivers Are Running Dry†

Low-water levels restrict navigation, forcing vessels to reduce their cargo loads.

Daily water level in the Rhine at Kaub



Daily water level in the Danube at Cernavodă



*As of Aug. 1
†Gauge levels measured relative to fixed reference point. 2026 data through Aug. 17.
Sources: European Drought Observatory (flow conditions); Copernicus Sentinel-2 (surface water); Planet-Labs (Rhine River); Germany's Federal Waterways and Shipping Administration (Kaub); eDelta.ro (Cernavodă)

Trump Pushes for Summit With Kim This Year

By ALEXANDER WARD
AND ROBBIE GRAMER

WASHINGTON—President Trump is pushing aides for a meeting as soon as this fall with North Korean leader Kim Jong Un, U.S. officials said, seeking to revive a dramatic diplomatic quest from his first term to convince Kim to abandon his country's nuclear weapons program.

Trump has privately discussed setting up an in-person discussion with Kim during the president's next trip to Asia, the officials said, which could happen in November when world leaders gather at the Asia-Pacific Economic Cooperation in Shenzhen, China.

While no planning is officially under way, the president's desire for another high-stakes meeting with Kim suggests Trump is searching for a crowning foreign policy achievement as victory in Iran remains elusive. Most presidents have declined to meet Kim without preconditions.

While Trump sees another one-on-one meeting as a chance to reopen a dialogue with North Korea, analysts and some U.S. officials said they wouldn't expect much progress. Kim wields a nuclear arsenal that has only grown stronger and more capable of striking the U.S. since Trump and Kim's previous three summits.

Seoul supports engagement between Washington and Pyongyang. But the analysts and U.S. officials said a bad deal could ultimately prove harmful to relationships with regional allies like South Korea.

"It appeases yet another despotic dictator based on a misperception that a personal relationship will actually achieve U.S. foreign policy objectives," said Bruce Klingner, a former senior CIA officer who oversaw intelligence for the Koreans.

A White House official said Trump and Kim would meet at an appropriate time. North Korea's mission to the United Nations didn't respond to a request for comment.

Trump tried to meet with Kim during an Asia tour last year, asking reporters on Air Force One to "put out the word" of his hopes for a chat. Pyongyang quietly signaled its openness, U.S. officials said, but the logistics were too tough on short notice.

On Sunday, Trump made an order to shrink a joint U.S.-South Korea military drill partly "based on my very good relationship with Kim Jong Un."

re d

n mas- were Brazil- armed recov- aid, which oughly the art- print es of a among covered n they ne São ardo a man ver the d the and was

an art- that st are l. the theft armed rrio de



Henri Matisse works were recovered during a police raid in a suburban São Paulo apartment.

Andrade public library just after 10 a.m. on Dec. 7. They lifted their shirts to show the security guard they had guns and threatened an elderly couple before stealing the art off the library's walls and escaping on foot minutes later.

Security footage showed one of the men staggering down the cobblestone sidewalks of São Paulo's historic center under the weight of the framed prints as people strolled by, seemingly unaware of the

heist. The works were part of an exhibition of the library's rare books and art prints.

In the spring, federal police in Rio de Janeiro arrested two suspects in a different art-related robbery, accusing one of them to be the alleged ring-leader of the library art theft. A woman under investigation for involvement in the crime also was arrested then. That led investigators to last Thursday's raid, where the missing Matisses were held.

Police said they feared the Portinari works might have been resold on the black market. The Matisses were returned to the library last Thursday.

São Paulo's Municipal Secretariat of Culture and Creative Economy said it would oversee the works' conservation to ascertain whether any were damaged before getting stored again in the library's collection or put back on view. The city said it had strengthened security at the library.

China Mourns Former Premier 'Boss Zhu'

By LINGLING WEI

China sent off Zhu Rongji, the former premier who helped drive the country's economic opening in the 1990s, with all the trappings of state grief: Flags at half-staff over Tiananmen Square, and leader Xi Jinping and other members of the top echelon of power bowing three times before a bier draped in the Communist Party flag.

The party was eager to claim Zhu's legacy of economic reform. What it didn't want was for his funeral to revive memories of an era when Chinese leaders were more willing to tolerate candor, debate and a measure of independence from the party line. In the run-up to the state funeral Tuesday for the man known as "Boss Zhu," who died last week at age 97, security tightened across the country. Zhu, who had long been out of the public eye, died after two years in a coma, said people familiar with his medical care.

Grief did surface, in coded form. Tributes on Chinese social media revived Zhu's most quotable lines, including his vow that he had prepared "100 coffins, 99 for corrupt of-



Zhu helped drive China's economic opening in the 1990s.

ficials and one for myself."

Chinese people have long harbored affection for their premiers, a habit of pinning hopes on the country's No. 2 official even as the true seat of power lies elsewhere. But the room for that affection to breathe in public has narrowed under Xi, the supreme leader who has made political control the organizing principle of his rule.

The party's official obituary credited Zhu with negotiating China's entry into the World Trade Organization, a deal he clinched in 2001. But it treated the milestone as closed history rather than as a legacy still shaping China.

FROM PAGE ONE

U.S. Probes Dodgers Owner

Continued from Page One

sic impresario David Geffen's \$85 million Malibu beach house, and a roster of business partners that includes former Los Angeles Lakers superstar Earvin "Magic" Johnson and Mubadala Capital, an Abu Dhabi investment fund.

Walter in June 2025 added the Lakers to his sports stable, in a record-breaking deal that valued the team at \$10 billion.

Exactly three months later, when Walter arrived on his private plane in Chicago, federal agents served a search warrant, taking Walter's phone and laptop, along with devices from others aboard.

The seizures marked a turning point in a federal investigation of Walter's business empire. Authorities have focused on entities that served as intermediaries between the Walter-controlled insurance companies that made the loans and the Walter-controlled businesses that received them. The government wants to determine whether Walter and his businesses committed fraud and concealed those connections.

It couldn't be learned what investments Walter financed with insurers' money in the deals under examination by the government, including the Securities and Exchange Commission and the U.S. Attorney's Office in Manhattan. Tapping loans from his insurers had been a calling card of the 66-year-old billionaire's conglomerate for years.

The government hasn't charged Walter or his businesses with any crimes or found them liable for any civil penalties. The U.S. Attorney's Office declined to comment.

"We have always acted in good faith, and insinuations that we have in any way attempted to circumvent our obligations is simply false," said a spokesman for TWG Global, Walter's conglomerate.

Regulators allow lending to so-called affiliate entities—those with ties to the insurer's owner—as long as the loans are disclosed and don't exceed certain limits. In Walter's case, questions from federal authorities spurred an internal review at the insurers that found about \$20 billion worth of such deals weren't disclosed to regulators in Delaware, where Walter's two primary insurers are based.

He is now racing to sell or unwind many of those loans to head off ratings downgrades that would scare off policy buyers. By last week, he needed billions of dollars.

Josh Kushner, an investor and the brother of President Trump's son-in-law, and retired Disney CEO Bob Iger came to the rescue. They had been fishing around for an NBA team and made an out-of-the-blue offer for the Lakers last week that valued the team at \$12.5 billion. Walter quickly agreed. Other sales, including his stake in Chelsea, are on the table.

Walter's big squeeze reflects the risks in an opaque corner of Wall Street where some of the financial world's titans make large bets. Walter helped pioneer a lucrative trade: Capital from insurance companies, which invest policyholders' money, is used for direct loans to businesses. Around \$1 trillion of insurer money is now invested in such private credit.

The federal investigations and Walter's surprise exit from the Lakers franchise have reverberated through Wall Street and professional sports—concentric circles of money and power that share a coterie of billionaire investors with one foot in each.

Play ball

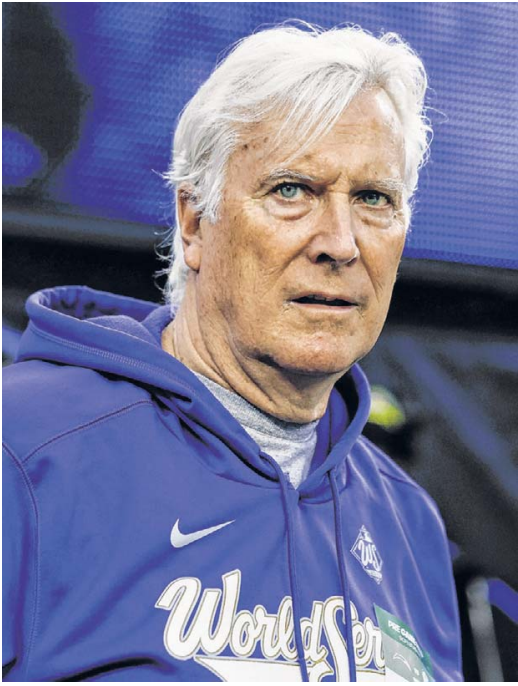
In the closing days of 1999, Walter co-founded Guggenheim Partners, which grew to include asset management, investment banking and insurance services.

Guggenheim acquired insurance companies weakened in the 2008-2009 financial crisis and shifted their plain-vanilla bond portfolios into higher-yielding debt. The investment firm started Guggenheim Life and Annuity, now called Clear Spring, and helped some of its executives buy Security Benefit, Delaware Life and EquiTrust.

In 2012, Walter bought the Dodgers with Todd Boehly, a business partner at Guggenheim; baseball executive Stan Kasten; Hollywood producer Peter Guber; Bobby Patton, a Walter family friend; and Johnson, the former NBA star and Lakers great. The \$2.15 billion record price raised questions among other bidders about the financing.

Walter's group had tapped the Guggenheim-tied insurers, and another owned by Patton but initially operated by Guggenheim, to help pay for the Dodgers. Unsuccessful bidders, including hedge-fund manager Steven Cohen, raised objections to the practice. Insurance regulators in several states investigated deals but found no violations.

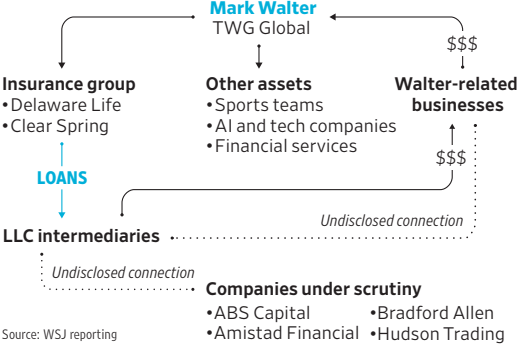
In 2014, two policyholders at Security Benefit sued Guggenheim and other related insurance companies in federal court, alleging that Walter and his associates treated the insurance companies like a cash machine to buy the Dodgers. Guggenheim denied the allegations. After a day,



Los Angeles Dodgers owner Mark Walter in November 2025.

The Walter Empire

Investigators are probing how money flowed between businesses Mark Walter controlled and what was disclosed about those connections.



the complaint was withdrawn.

Walter drew on loans from insurers to invest in startups, including food-maker Beyond Meat and online used-car dealer Carvana, according to insurance filings and people familiar with the matter.

At Guggenheim, Walter's outside investments raised questions for compliance personnel responsible for reviewing potential conflicts of interest across Guggenheim units, clients and employees. Boehly left the firm in 2015 and took control of Security Benefit.

Malibu mansion

In 2016, a Guggenheim compliance lawyer noticed that some of Walter's personal investments appeared to be financed through ABS Capital, which was founded by two former Guggenheim executives. The compliance lawyer found a maze of corporate entities, known as LLCs, that appeared to be vehicles for Walter. Those corporate entities

had been represented within Guggenheim as belonging to people who were friendly with or in business with Walter, the Journal reported.

That year, ABS set up LLCs to buy two Los Angeles homes in the city's pricey Pacific Palisades. One of the houses was to be temporarily used by an executive at Guggenheim, who had a personal relationship with Walter. The following spring, ABS and Walter bought an \$85 million home on Malibu's Carbon Beach from Geffen, a Guggenheim client. he watched \$7,200 evaporate in a week.

A whistleblower filed a report with the SEC alleging self-dealing and other breaches by Walter and Guggenheim. The report listed ABS deals and the houses among the examples.

By 2018, another Guggenheim employee filed a separate whistleblower complaint, alleging that three of the Walter-tied insurers were trading corporate bonds between one

another—often at prices above what they might fetch on Wall Street, the Journal reported. The SEC reviewed the allegations, but never filed a complaint. In 2019, the SEC dropped its probe into Guggenheim and ABS.

Representatives for Walter and Guggenheim have previously told the Journal, most recently in 2020, that all insurance-company lending to affiliates was lawful and disclosed.

The current probe burst into public view after June filings by Delaware Life and Clear Spring revealed the companies had been subpoenaed by federal authorities.

Authorities have zeroed in on ABS Capital, as well as Amistad Financial, Bradford Allen and Hudson Trading, the Journal reported. Proceeds from the loans made by the insurers passed through entities purportedly controlled by each of these firms and went to other Walter-linked businesses.

Amistad, chaired by former McDonald's CEO Don Thompson, is connected to Walter's empire through its purchase of life-insurer EquiTrust from Magic Johnson Enterprises. Johnson's company had earlier acquired the insurer from Guggenheim and others.

Entities controlled by Amistad, including Amistad Merchant Funding, Amistad STP II and Amistad Debt Warehouse 1, were among the recipients of loans from Walter's insurers Delaware Life and Clear Spring, according to their recent filings.

Earlier this year, EquiTrust lent \$500 million to 10 companies, with names including Harborcrest, Alder Ridge and Cedarpoint, the insurance filings show. Those companies were established by Federico Hermida, a principal at ABS, according to corporate filings.

Amistad executives didn't respond to requests for comment, and EquiTrust's chief lawyer said EquiTrust is aware of reports of a federal inquiry involving TWG and it is monitoring the situation closely.

Another firm that investigators are probing, Bradford Allen, is a commercial real-estate broker founded by Jeffrey Bernstein and Laurence Elbaum that has worked on a series of Walter deals, including the renewal of Guggenheim's lease on its Midtown Manhattan offices and the development of a headquarters in Indiana for the F1 racing team Walter backs. Bernstein formerly was on the board at EquiTrust.

Revelation

The recent government scrutiny of deals by Walter's insurance companies seemed to come by chance. It began with a whistleblower inside

Guggenheim Investments, the firm's asset management arm, about possible accounting fraud in a Middle East financing deal.

In April 2025, Walter's conglomerate, TWG Global, announced that Mubadala, the Abu Dhabi fund, would help it raise \$10 billion in fresh equity. Based on the whistleblower's account, authorities began to explore whether Guggenheim Investments, partly owned by TWG, might have used misleading contracts to inflate its revenue and secure a better deal.

A spokesman for Guggenheim Investments said the firm received a whistleblower report in the spring of 2025 about the accounting of "certain advisory contracts" of Guggenheim Private Investments, an investment adviser. The firm shared the report with its independent auditor, which issued "unqualified audit opinions" giving the company's 2024 and 2025 financials a clean bill of health, he said.

Payments related to the contracts led federal investigators to ABS, Amistad, Bradford Allen and Hudson Trading, said people familiar with the matter. Authorities later discovered the connection between the four firms and entities that passed loans from the Walter-controlled insurers to his other investments, according to people familiar with the matter.

Walter's insurers have crafted plans to move a big chunk of affiliated loans off their balance sheets by the end of the year. The misclassification of such loans could spark lawsuits by policyholders, analysts said, or draw civil corrective orders from regulators. Delaware's insurance department hasn't commented. Ratings firms have said the companies could be downgraded if they don't meet their remediation plans.

The jewel of Walter's portfolio is widely seen as the Dodgers. Since Walter took over, the team has spent lavishly to acquire superstar talent such as Japanese superstar Shohei Ohtani, and the club has deferred some of the biggest contract payments deep into the future.

Midway through the Dodgers' World Series in 2024, the first of two back-to-back MLB championships, Walter suffered a stroke. He struggled for months to speak clearly, saying some words when he meant something else, according to people who interacted with him, the Journal reported. Some investors and employees question his decision-making. TWG has said Walter "has the business acumen and judgment required."

Walter's stroke has been discussed by his defense team in talks with federal prosecutors.



Todd Boehly, third from left, and Mark Walter, second from right, with Chelsea FC members; from left, Robert Patton, Stan Kasten, Mark Walter, Magic Johnson, Peter Guber, Todd Boehly.



ROBERT GAUTHIER/LOS ANGELES TIMES VIA GETTY IMAGES

It's always been easier for me to help others than to help myself

As a Veteran, when someone raises their hand for help, you're often one of the first ones to respond. But it's also okay to get help for yourself. Maybe you want or need assistance with employment, stress, finances, mental health or finding the right resources. No matter what it is, you earned it. And there's no better time than right now to ask for it. Don't wait.

Reach out.

Find resources at [VA.GOV/REACH](https://www.va.gov/reach)

ad COUNCIL

VA

U.S. Department of Veterans Affairs



Jean Chow at Stonehenge, left. Above, Leon and Leanne Ryland at Machu Picchu, in Peru.

Wealthy and Healthy, Boomers Hit the Road

As older Americans decide to explore the world, the travel industry responds with nicer accommodations, easier hikes and luggage delivery



TURNING POINTS
CLARE ANSBERRY

After Jean Chow's husband and mother died within six months of each other, she needed to get away. The retired mother and grandmother booked a 21-day tour on a private plane and visited six countries. She rode camels in Egypt, cruised the Nile River and hugged the stones at Avebury in England. The trip, one of two private-plane trips offered by Road Scholar, cost \$93,000. Chow, 69, has booked another private plane trip to visit six countries in Africa. "I want to do it now while I'm still able," says Chow, adding that she is fortunate to be able to afford such trips. Baby boomers collectively have more wealth than any other living generation, and they are splurging on travel. They are living longer, have more free time and are in better shape than their parents and grandparents. As the first of the boomers hit their 80s, there is also a greater urgency to see as much of the world as they can. That is reshaping travel on several fronts. This generation, who as young adults hitchhiked across the country and backpacked through Europe, now is going on safaris and hiking in the Serengeti on guided tours that offer "easy" as well as "challenging" options.



Splurge or save Boomers want adventure, but also want nice accommodations, good food, smooth connections and fewer baggage hassles. And while many will splurge on travel, there are also plenty of bargain hunters among their ranks. David Porter, co-founder with his wife, Carol, of Roaming Boomer Travel Services, said bookings are up 20% this year, with most for cruises on small luxury ships. His biggest question is how to keep up with it. "Do I need to hire more people? Is this going to slow down at all?" says Porter, who attributes

Mark and Susan Dennen at Mont Blanc in the Alps in 2023.

the surge in part to stock-market gains padding boomers' retirement savings. Many of his clients are what he calls middle-class millionaires—business owners and professionals who have between \$1 million and \$10 million. His average booking for all cruises is about \$25,000. Higher-end world cruises can top \$300,000 for a couple. Boomers tend to take longer trips and pack more bags—and don't want to deal with schlepping

them through airports and on and off cruises. Many are willing to pay outfits like Luggage Forward \$144 to ship a 50-pound bag within the U.S., and \$374 to get it from the U.S. to the United Kingdom.

Audrey Kohout, the company's co-CEO, says its core client is 65 years and older. They value ease and also put a premium on customer service, which is why the company is hiring more people to answer phones. "They don't want to talk to a bot," Kohout says.

Bargain hunting

A recent survey by AARP found that older Americans planned to take four trips in 2026. The biggest spenders are those in their 60s. The survey also found that, regardless of income, boomers shop for bargains. Many use AI to find the best travel deals and use loyalty discounts.

Mark Dennen, 72, was on a plane every other week for his sales job. He figures he traveled four million miles, while his wife, Susan, cared for their two kids. He often told her that when he retired, they would travel together.

They have used almost all of his work-related mileage points on their many trips to Europe, where they cruised down the Rhine, and across the U.S. to visit national parks. They take about four big trips a year, with occasional three-day trips in between to places like Nashville. While they are comfortable, they stick to a monthly budget and put discretionary money aside each month for future trips.

See the world

Victor Medina, founder of Palante Wealth Advisors, works with his clients to create buckets of funds, including a "great life" bucket for

things like travel. He says clients are increasingly intentional about travel, weighing which trips are worth taking.

"If I have a certain number of trips left in me, which ones matter and how can I maximize that experience," he says. Rather than spend a week in a nice hotel in Europe, they book an Airbnb in a more remote area to immerse themselves in a country and culture.

Leanne and Leon Ryland say their financial adviser urged them to see the world. "You did the right things. You saved. You paid off loans. You've got the money," Leanne recalls.

They took his advice and retired in their mid-50s. In the six years since, the couple has visited every continent, the Great Wall of China, Machu Picchu and all of Disney's parks around the world. Next year's plans include Vietnam, Morocco and Portugal.

The Rylands, who live in Australia and never bought a new car until they retired, travel 20 weeks a year and spend an average of \$40,000 annually. They want to keep traveling as long as they are able, and stretch their budgets by finding airfare deals, staying in mid-range hotels and using carry-on luggage.

Leanne, 61, shares tips with fellow retirees on her facebook page, SKIClub, which stands for "spending kids inheritance."

Plenty of boomers are happy to indulge. For them, Road Scholar now offers stays in four- and five-star hotels on some trips.

"Boomers have really changed the way we contract for accommodations," says James Moses, president of Road Scholar. The non-profit began 50 years ago as Elderhostel, offering travel and classes to those 60 and older who didn't mind staying in unused college dorms.

About 80% of Road Scholar travelers are boomers. They are also a big reason Road Scholar began its private-plane trips in 2019, allowing people to see several of the world's wonders in one trip.

"The boomer ethos is how much time do I have left and what is important to me," says Moses. "They want to do as much as they can in a reasonable time frame."

What to Know About ChatGPT for Teens



FAMILY & TECH
JULIE JARGON

As parents and teachers grow increasingly anxious about students' use of chatbots, OpenAI started rolling out ChatGPT for Teens Tuesday. The company intends for it to help students think through problems, rather than just spitting out answers. It is increasing the guardrails against emotional dependence, too. Globally, nine out of 10 teens who use ChatGPT do so for learning, productivity and skill-building, Ann O'Leary, OpenAI's vice president of global policy, told me. The experience combines new and existing features such as the homework-helper "study mode." The chatbot will help students come up with a thesis but won't write an essay for them, and it will walk them through how to solve an equation instead of jumping to the answer. If the teen tries a shortcut, "responsi-

ble homework reminders" will redirect teens. And the chatbot will offer quizzes to help students deepen their understanding of a particular subject.

The best part, at least for the parents and teachers: Teens will have a hard time finding workarounds.

Even if they already have a ChatGPT account, the platform will automatically place teens in the new under-18 experience. OpenAI is

using an age-prediction model that relies on some 2,000 signals including chat content and times of day.

If the account is associated with a birth date that puts the user's age at 13 to 17, the experience will shift without any action. The changes

will also work for teens who signed up for an account with a false birth date or who use ChatGPT without logging in. If ChatGPT mistakes an adult for a teen, the adult can appeal and verify his or her age.

More teens are turning to chatbots for emotional support as well as research. Parents who link their ChatGPT



account with their teen's can set up parental controls and implement additional settings such as off-limit hours. Now, some of those settings will also be automatic.

ChatGPT for Teens will include stronger safety settings by default, such as interventions when teens talk about self-harm, eating disorders or violence. New model specs for teens are designed to avoid the use of romantic language, to discourage emotional dependence and to avoid any implication that the chatbot has feelings or consciousness.

Whether teens are using ChatGPT for homework help or anything else, they will be prompted every 90 minutes to take a break and

Globally, nine out of 10 teens who use ChatGPT do so for learning, productivity and skill-building.

they will receive a reminder that they are interacting with artificial intelligence.

OpenAI's creation of a teen experience comes at a time when Meta Platforms, owner of Instagram and Facebook, is being accused in court of contributing to the youth mental health crisis. Four states that are suing Meta are seeking up to \$1.4 trillion in damages from Meta in a trial that started on Tuesday. Meta has denied wrongdoing in lawsuits. Some elements of ChatGPT for

Teens appear to be borrowed from Meta's play-book. The social-media giant has made numerous changes to create a safer environment for teens since lawmakers and lawyers began complaining that its features contributed to mental-health issues including eating disorders and self harm. Meta has taken steps to ban and filter content that could be harmful to teens, to provide recommendations for reaching out to crisis lines when teens seek out certain kinds of content and to remind teens to take breaks when they have been on Instagram for too long.

Even setting restrictions as the default for this age group is a shift from traditional opt-in parental controls that were largely underused, and caused headaches for parents with many social-media accounts. Instagram added teen accounts with restrictive default settings in 2024. TikTok also has automatic defaults for teen accounts.

OpenAI's move is welcome news for parents who feel overwhelmed by trying to oversee everything their kids are doing online—especially if ChatGPT for Teens is as hard to fool as the company says.

News Corp, owner of The Wall Street Journal, has a content-licensing partnership with OpenAI.

PERSONAL JOURNAL.

Job Seekers Scramble To Add AI to Résumés

Applicants dress up their career backstories with new skills, buzzwords

By Te-Ping Chen

Artificial intelligence is suddenly everywhere. Including on résumés.

The technology that is transforming the economy and prompting billions in spending on data centers is also pushing millions of job seekers to give their work history an AI makeover. In some cases, they are seeking to add new skills, obtaining certifications to demonstrate their fluency in the technology. In others, they are dressing up their résumés with AI buzzwords in hopes of gaining employer attention.

“Everybody’s keyword dumping,” said Denise Bitler, an executive career coach in Tampa, Fla. The percentage of LinkedIn users in the U.S. who have added AI-related terms to their profiles rose 70% last year, according to LinkedIn data. With more companies eager to hire workers with related skills, she says, they aren’t alone: “Employers are doing the same thing.”

Among all titles employers are hiring for on the jobs site Indeed in the U.S., 8% mentioned AI in the first quarter of 2026. That is up from 3% in 2022. Many of them are jobs that wouldn’t traditionally have involved many technological skills, such as “AI Autonomous Truck Test Driver” or “Physical Therapist (AI Documentation).”

The impact of AI on the workforce is a critical, and so far, unresolved question. Some economists predict the technology will wipe out jobs, while others say it

will make employees more productive and eliminate grunt work. That leaves job seekers trying to find their place in an uncertain market.

Earlier this year, after a year and a half of challenges finding work, self-employed management consultant Grace Gravestock decided to both seek and promote some AI bona fides.

She has had misgivings, but decided it was finally time to embrace the technology. She began experimenting intensively with AI and added “AI adoption leader” to her LinkedIn profile. She is currently pursuing a certification to demonstrate her AI fluency. Such certifications can take anywhere from hours to months to obtain, ranging in price from free to thousands of dollars in tuition.

“There’s a lot of big change happening now, there’s no way to fight it,” Gravestock said, adding that she empathizes with fears AI will ultimately replace many workers.

A new analysis by Stanford University economists Nick Bloom and Gideon Moore compared current LinkedIn profiles to archived versions of such profiles that existed before 2023. They found that users have been going back to retroactively add AI terms to job titles where the technology hadn’t previously been mentioned.

Overall, compared with historic versions of such job descriptions, there are 30% more references to AI on user profiles today.

AI has been around for a while, and in some cases, people might be choosing to correct the

record, said Bloom, who also co-authored the study alongside Lisa Simon and Caelan Wilkie-Rogers at workforce analytics company Revelio Labs. Given the prevalence of such changes, though, others are likely exaggerating their experience, he said: “A lot of it looks like AI washing.”

Job seekers are also taking steps to edit terms out of their profiles that might be less enticing to employers today than just a few years ago. For example, Bloom’s study found that references to remote work and diversity, equity and inclusion have dropped in recent years.

“There’s a lot of uncertainty in the labor market,” said Balaji Padmanabhan, who directs the Center for Artificial Intelligence in Business at the University of Maryland.

Last May, Padmanabhan and his peers launched a free AI-training course, expecting it to reach perhaps 500 people. Instead, to date, some 62,000 have signed up, ranging from laid-off tech workers to former civil servants trying to make a career pivot.

Among them is Elizabeth Meek, who worked for the federal government for two decades, helping oversee biomedical research and track global infectious-disease spread in animal populations. But after President Trump ordered



workers back to their offices, she was forced to commute more than four hours a day, and felt demoralized. She took early retirement.

“It was a devastating career moment,” Meek recalled. Then a colleague sent her a link to the University of Maryland’s training course, and she decided to go for it.

Since then, the 53-year-old has found a new job at West Virginia University that includes using AI to analyze data and vibe-code apps. “It’s changed my life trajectory,” she said.

People touting their AI skills remain a minority: To date, 1.2% of LinkedIn’s 1.5 billion global users have added such skills to their profiles, according to the company. But in some areas, it has become more of a norm. Among product managers, 13% say they

have such skills, 10% of researchers do, and 7% of consultants do as well.

“It’s the new buzzword,” said Art Davis, who recently added the term “AI-powered automation” to his LinkedIn profile. An AI system he has been using to help craft résumés and cover letters suggested the move. Davis said he started using AI last year in his work as a systems analyst, but hadn’t previously thought to single it out.

So far, it hasn’t yielded dividends. Davis, who was laid off from his job this spring, has applied for 100 jobs and has yet to receive an interview.

Given the technology’s newness and rapid evolution, job seekers don’t always know how to show aptitude, said Dina Taylor, who works for the AI hiring platform Hirevue and has the title chief evangelist. Still, Taylor said she encourages people to add AI skills to their résumés to demonstrate their potential, even if they are still in the process of developing them.

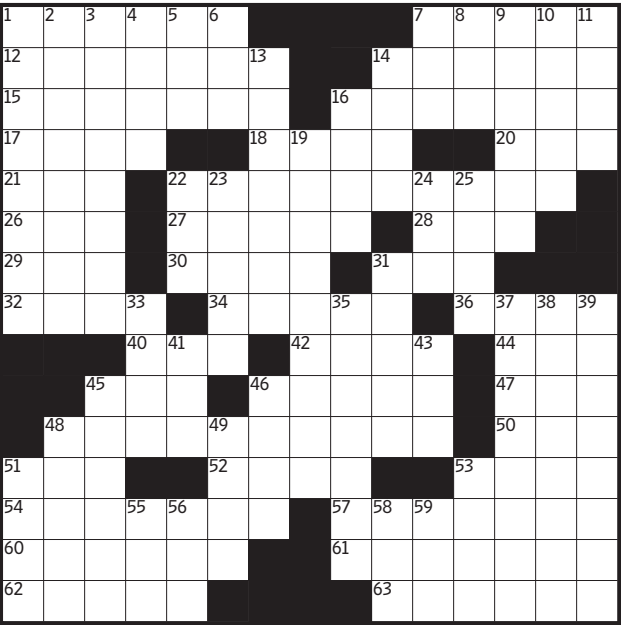


► Grace Gravestock added ‘AI adoption leader’ to her LinkedIn.



► Art Davis says he started using AI last year in his work.

The WSJ Daily Crossword | Edited by Mike Shenk



- 14 Surname of a musical barber
- 16 Hodgepodge
- 19 Watches, with “on”
- 22 Coffee container
- 23 Mayor Mamdani’s faith
- 24 Back
- 25 “—-voom!”
- 31 World’s third-smallest nation
- 33 Vivacity
- 35 Like space
- 37 Paul of “The Holdovers”
- 38 Home of the Oilers
- 39 Stone used for the tip of some phonograph needles

ON THE CORNER | By Kelly Richardson

- Across**

 - 1 Snow for skiing
 - 7 Indian, e.g.
 - 12 Like a sunset silhouette
 - 14 Numero di giorni di settembre
 - 15 Releases with a pop
 - 16 Potent cocktail name
 - 17 Neighborhood near Canal Street
 - 18 Just managed, with “out”
 - 20 Golden Globe winner Poehler
 - 21 —-mo
 - 22 Legendary jazz trumpeter whose albums include “On the Corner” and 48-Across
 - 26 Payment promise
 - 27 Group selfies

28 Gadot of “Justice League”

29 Sales dept. worker

30 Oatmeal gone wrong, say

31 Veterans Day mo.

32 Wall St. institution

34 Bewildered

36 So long

40 Hasty flight

42 Woodworking fastener

44 Civil rights leader —B. Wells

45 Furious

46 Miembro de la familia

47 Fender attachment

48 Moody title of an iconic album by 22-Across, and a description of the corner answers in this puzzle

50 Unruly head of hair

51 More than most

52 Prescription info

53 ___mi (Vietnamese sandwich)

54 Like a library vis-à-vis an amusement park

57 Fugue sections

60 Development site

61 House guest, perhaps?

62 Microsoft cloud computing platform

63 “Oorah!” speaker

Down

 - 1 Immanuel Kant, for one
 - 2 Sommelier’s field
 - 3 Disappointing failures
 - 4 SPECTRE member on Crab Key
 - 5 She, in São Paulo
 - 6 Dangerous current
 - 7 Letters on a Kia Center scoreboard
 - 8 Bus. bigwig
 - 9 Involve
 - 10 Molecule parts
 - 11 Sails force?
 - 13 “Not with a bang but a whimper” poet
 - 41 Put two and two together
 - 43 Summery top
 - 45 Social scene
 - 46 Hitchcock’s “Dial ___ Murder”
 - 48 Bad customer for a china shop
 - 49 Horace works
 - 51 “Barbie Girl” band
 - 53 Tolerate
 - 55 Screw up
 - 56 Wed. precursor
 - 58 Pro ___ (for now)
 - 59 Modern vaccine component
- Solve this puzzle online and discuss it at [WSJ.com/Puzzles](https://www.wsj.com/puzzles).
-
- ## Brits Unite Against ‘Fun Police’
- Continued from Page One
- Pity the politicians who appeared to threaten the tradition at the very heart of British summertime.

Westminster City Council, hoping to reduce noise and disorder at closing time in Soho and the West End, took aim at what bureaucrats term “high-volume vertical drinking” with new proposed licensing rules.

The draft plan, which largely applies to new venues, seeks to “reduce the extent of or remove opportunities for vertical drinking.” Some venues would be subject to strict table-to-chair ratios and only be able to serve drinks as a table service. Venues could also be barred from serving alcohol to anyone not sitting down with a substantial meal. New applicants for licenses should aim for “a predominantly seated operation,” the proposal suggests.

Londoners aren’t taking the changes lying down. Drinkers, politicians and the national press have all rallied behind the fundamental right of all Brits to get sloshed while standing up.

“You can’t run a world-famous nightlife district with a village-hall mindset,” Mayor
- of London Sadiq Khan wrote on X. He instructed the council to rewrite its draft policy, which he termed “overly onerous and archaic.”

The council’s leader, Paul Swaddle, accused Khan of “an attack on Westminster orchestrated by the mayor in his quest to take control of licensing.”

Once a red-light district rife with strip clubs and prostitution, Soho is now the destination of choice for a night on the town. Its narrow, winding streets are brimming with theaters, restaurants and the highest concentration of pubs in the city.

Pint-holding crowds standing outside “adds to the buzz of the area,” said George O’Mahoney, 27, who regularly enjoys an after-work pint. Ending that could kill Soho’s culture, he said. “Look how small this pub is! Imagine everyone on a Thursday just standing inside. You couldn’t do that.”

At the Duke of Wellington, Ryan McDowell, 33, a bartender who lives above the establishment, estimates about 60 customers congregate outside on a busy night. Life on Wardour Street can be chaotic, but he doesn’t mind.

“You get locals who live in this area who probably hate it, but on the other hand, why are you living in Soho if you’re going to complain about the noise?”

This isn’t the first crack-down on the beloved British pastime. Known historically as “perpendicular drinking,” con-
- suming alcohol while standing has long been a target for regulators, licensing authorities and temperance campaigners. The practice was expressly forbidden in the early 20th century as politicians tried to curb unruly behavior.

Westminster City Council insisted it wasn’t seeking to ban pubgoers from drinking while standing up. It published what it described as a “myth-busting” Q&A about the scandal.

Under a section titled, “Aren’t you being the fun police?,” the council said it supported the pub trade but that it also had to consider if new venues should allow standing outside when the surrounding streets are already full of people. “That’s just common sense,” it said.

Pubgoers aren’t so sure. They argue the neighborhood isn’t overly raucous.

“We come to the pub when we finish work, come for two, have a debrief of the day and then we go home,” said Hope Aris, 24, who works in Soho. “And the pubs definitely keep control of it.”

Enforcing the proposed regulations could prove more difficult. Harry Thomas, 30, said he couldn’t imagine pubs keeping people from drinking outside.

“I don’t think anything is going to stop British people going to pubs,” he said.
- CLOCKWISE FROM TOP LEFT: ALEXANDRA CITRIN-SAFADI/WSJ; SUSAN SIMPSON; KYLIE GREEN

ARTS IN REVIEW

MUSIC REVIEW | MARK RICHARDSON

Finding Depth in the Details

The latest album from Wild Pink features thoughtfully grounded, often comic songwriting and a sturdy rock sound

Singer-songwriter John Ross of the band Wild Pink operates at a high level artistically while remaining somewhat obscure. Since the release of the New York-based outfit’s self-titled debut album in 2017, critics have gravitated to his work, and you might see his group’s records showing up on year-end lists. And yet, if his band comes through your town, he’ll probably be playing for somewhere between a few dozen and a few hundred people. Mr. Ross writes sturdy rock songs, has a strong ear for tunes, and has earned the respect of peers like Julien Baker of Boygenius and genre legends such as J Mascis of Dinosaur Jr., but he seems comfortable following his muse where it takes him even if it means operating on a smaller scale.

From the first few notes on “Box Store,” the track that opens the sixth Wild Pink album, “Still Coming Down” (Fire Talk), out Friday, it’s apparent that this is the band’s biggest-sounding release by far. Buzzing slabs of distorted guitar collide with piano, accordion and harmonica, filling all available sonic space. Mr. Ross’s wry observations—low-key, grounded and personal—contrast with the blown-out mix.

Earlier Wild Pink LPs had folkier arrangements that leaned more on acoustic guitar, and Mr. Ross often sang in a whisper. This album finds him in a more rollicking frame of mind, as if performing in a roadhouse where the crowd is a few beers deep. He has expressed admiration for the band the War on Drugs, who often channel the sound of ’80s Bruce Springsteen and Tom Petty, but Mr. Ross has a less finicky approach to record-making, favoring sounds that get his point across simply.

Like Isaac Brock of Modest Mouse, Mr. Ross has a way of transforming the mundane details of suburban life into something profound. The shop of the first song’s title is a place in a strip mall where he recently picked up his air conditioner and television. “I watch old movies from the late ’90s,” he sings, “When casting directors loved William Fichtner.” This level of detail is the essence of his songwriting—by singling



John Ross of the band Wild Pink; its new album, out Friday, is ‘Still Coming Down.’

out the character actor from films like “Contact” and “Armageddon,” he shows how we fixate on ephemera as a way of avoiding existential terror.

On “Round of Applause at the End of the World,” whose meaty guitar riff and tinkly piano evoke the E Street Band, he touches on John F. Kennedy, his brother Robert, Jack Ruby, Sirhan Sirhan and conspiracy theories, musing on the absurdity of studying the currents of history when your own life

doesn’t amount to much. Mr. Ross processes his voice with a bit of distortion to make it sound like a bullhorn, fusing his vocals with the guitars and typically keeping his singing low in the mix. The fuzzy, overloaded production accentuates one of the record’s main themes, which is that we’re constantly doing battle with the thick cloud of distractions that hangs over all our heads, and sometimes we’re content to disappear into it. Mr. Ross’s sensibility is self-

deprecating and humanist. He never seems to judge the actions of others too harshly, because he knows what it means to struggle to be a decent person. The title track is one of several cuts featuring guitarist Meg Duffy of Hand Habits, who specializes in subtle harmonic accents that enrich a song’s meaning. “I used to be pure,” he sings over the crunchy riff, continuing, “I just try to be good now.” He emphasizes the point by revealing that he gave another driver a

thumbs-up after being given permission to turn in a busy intersection.

By zeroing in on specifics, Mr. Ross arrives at many phrases and couplets that are appearing in a song for the first time. The thick rocker “Like Water” begins with “You left Bucharest in ’92 / After they killed Ceaușescu,” referring to the final leader of Communist Romania. He



seems to be addressing the song to refugees who stayed in his parents’ house when he was a kid, and the arrangement reflects the quirky narrative: an amusing series of neo-classical trills, folding in violin, saxophone and organ-like keyboard in a bridge that sounds like “Switched-On Bach.” And then his story takes a sharp left turn at the end, where he brings up the Oakland A’s general manager made famous by the book and film “Moneyball”: “Like Billy Beane before the streak / I can’t tell yet what is working.”

On “500 Is the New 250,” Mr. Ross tackles rising gas prices and inflation with characteristic humor, and then on the closing “Relaxing, Special Interests” he turns his attention to the biology behind the human mind and how our nervous system can protect us from what’s real: “Your brain is very kind / To make you think you’re warm inside / When you’re so cold / You’re dying.” It’s a gut-punch of a line, one of many on this fine record, that captures the expansive emotional range of this remarkably consistent band.

Mr. Richardson is the Journal’s pop and rock music critic. Follow him on X @MarkRichardson.

RAFAEL VASCONCELOS



TELEVISION REVIEW | JOHN ANDERSON

In ‘Lion,’ a Big Cat Comes of Age

THE 1994 ‘LION KING’ is not just a beloved cartoon, it is one of the biggest moneymakers of its kind and, to no one’s surprise, has been spun off into sequels, prequels, a Broadway musical, a TV series and a CGI remake of the original. Given Disney’s gift for recycling, and its proximity to National Geographic, a nature documentary seemed the last stone unturned. Enter “Lion.” The four-part series was executive produced by Jon Favreau, who directed the live-action “Lion King” of 2019, and Mike Gunton, of the

BBC’s Natural History Unit. The two had worked together on “Pre-historic Planet,” a show about the last days of the dinosaur told through computerized imagery—a medium with which Mr. Favreau was quite familiar (see “Iron Man,” “The Jungle Book,” “The Mandalorian”). Reportedly, when Mr. Gunton wanted to expand his “Dynasties” series about vulnerable or endangered species, and make a multi-part-doc focused on just one, he enlisted Mr. Favreau to make this documentary. (The marquee names

are Favreau and Gunton, but the producer-directors are Faith Musesmbi, Georgina Ward, Joe Treddenick and Claire Arthur.)

Everyone seems to have gotten the memo. The resulting series is a very grand, real-life chronicle of a lion cub named Kio and how he becomes a king. Or, at least, the mane man of his particular pride. And it assiduously avoids anything too gruesome. Kio, whom director Favreau and company begin following when he’s eight weeks old, is a tenacious fellow and there’s never any question that life on the savanna is harsh, severe and can be very brief. (Young lions have a high mortality rate, so the series picked the right cub.) But while survival itself is the focus of “Lion,” the “kill” is never exploited. Prey may be stalked, and chased, but the bloodshed is largely off-screen.

As a result, “Lion” is not unsuitable viewing for kids, although there will be a “Bambi” moment, if you know what I mean. And the pace is such that the youngest audience members may drift off. At least until Hans Zimmer’s music hits one of its glorious crescendos, at which point the cat will leap off the couch.

Anyone who watches nature shows with any regularity, especially those set in Africa among the Big

Five (lions, leopards, rhinos, elephants and Cape buffalo) will find that “Lion” conforms to most of the conventions, imposing a human narrative on a wild animal and whit-tling many, many hours of footage into what is here an economical storyline of approximately four hours. The conceit is novel, though, the tracking of one animal from the cradle (a protected nest in the bush) to his rightful place in the le-onine hierarchy.

But the charms of the series—and the few stabs at humor—arise mainly from the shooting and the editing (the director of photography is Sophie Darlington): an adult lion with her backside hanging out of a tree, for instance, having been chased by irate buffalo. Or a lioness in estrus, whose gyrations totally confuse Kio’s older adolescent brothers, who are clearly unequipped to teach the kid everything he needs to know. Or, more seriously, the reaction shots of various birds and mammals as the grown male lions approach, pre-

pared to assert themselves over the pride in which Kio has spent his sheltered boyhood, and whom he needs to win over out of self-preservation.

Although we viewers are told only that the setting is “East Africa,” the series was apparently shot in Kenya’s Maasai Mara National Reserve. The narration is by actor O.J. Lynch and if his lush Britishness has a viewer thinking about Jeremy Irons, they’ve both done “Lion Kings,” Mr. Irons the original, Mr. Lynch on stage. The voiceover is a bit much, actually, but so is the score, both elements meant to elevate this particular cat into something mythic. But that’s on brand. So would a making-of “Lion” special, though that might be too much, even for Disney.

Lion Begins Wednesday, 9 p.m., National Geographic

Mr. Anderson is the Journal’s TV critic.



Lion cub Kio, right, and a scene from the four-part documentary series, executive produced by Jon Favreau, above.

FROM TOP: NATIONAL GEOGRAPHIC/SIMON BLAKENEY; NATIONAL GEOGRAPHIC/ROLF STEINMANN

OPINION

Democrats Can Learn From AOC



BUSINESS WORLD
By Holman W. Jenkins, Jr.

A class of ambitious Democrats could take a lesson from Alexandria Ocasio-Cortez. Her artlessness is exactly what was wanted in disowning what she called “Woke 1,” a set of policy ideas that would be death to anyone who wants a future in national politics.

Just disown it and make a spectacle of disowning it. It was a brainless detour. Forget it ever happened, she seemed to say on ABC News’s Sunday show.

I long thought the only real Democratic hopefuls in 2028 would be those who spent the past decade outside of Washington, like Andy Beshear, Josh Shapiro, Gretchen Whitmer and Rahm Emanuel. I might waive the out-of-Washington rule for Rep. Ro Khanna if he weren’t so intent on miscalculating on Jeffrey Epstein as his broom to batch-dispatch his rivals.

There’s a better way. In imitation of AOC, find a venue to say: “Of course it was wrong for Democrats to fabricate evidence of collusion. It was wrong to mobilize the CIA and FBI to lie to voters. The Biden grift? The most irresponsible thing ever. Even in hopeless contests against an FDR or Eisenhower, both parties always did their duty and gave Americans someone to vote for. Democrats failed in 2024.”



POLITICS & IDEAS
By William A. Galston

As the summer of the Democratic Socialists of America gives way to the fall’s midterm campaigns, some patterns have emerged with implications for the 2028 presidential contest. Evidence from polls and primary elections suggests that support for DSA and DSA-adjacent candidates reflects the current strengths and weaknesses of the Democratic Party. These candidates run well among younger, more educated urban voters but poorly among older voters without college degrees who live outside big cities. They do somewhat better among women than men, as the party does. And they enjoy considerably more support among white and upper-income Democrats and Democratic-leaning independents than among blacks, Hispanics and lower-income voters.

While some elements of the DSA agenda—such as Medicare for all and higher taxes on corporations and wealthy individuals—enjoy majority support, most don’t. The organization’s platform advocates government ownership of much of the economy, including food, education, energy, medicine and transportation. Americans wouldn’t have landlords or mortgages because “comfortable housing is a human right.” The DSA platform also includes the following: “Demilitarize police departments, disempower police unions, and

On day one, the media would try to ignore such a speech. On day two, the press would try to shoot it down.

On day three, a catharsis would begin like the Mississippi overflowing its banks. The speaker would benefit by wrong-footing half the Democratic firmament. He or she would become instantly votable to much of America that voted for Mr. Trump.

Why hasn’t it happened already? This was obvious when two of these hopefuls visited the Journal last year. Recall Chuck Schumer at the start of the Trump era: Don’t make an enemy of the intelligence agencies. “They have six ways from Sunday at getting back at you.”

There’s a second, subtler reason, found in “Regime Change,” a new book by New York Times reporters Maggie Haberman and Jonathan Swan.

Early on, the authors pose a mystery: How can Donald Trump be so courtly to Joe Biden in person yet so abusive on the hustings? It’s no mystery. The authors don’t give the answer—kayfabe—because they’re participants in the kayfabe.

Kayfabe is the fakeness of professional wrestling. Recall Mr. Biden’s 2024 ABC interview after his debate debacle. This is what it looks like when kayfabe takes a day off. He didn’t say, for once, that Mr. Trump was a threat to democracy—because now it would undercut his own plea to stay in the race despite lousy polls.

Between every line of Ms. Haberman and Mr. Swan’s huffing disapproval of Mr. Trump’s reckless ignorance and impulsivity is their delight in having him as a subject, a ticket to the bestseller list. Their most clunkingly dishonest passage? After the

Their party can win in 2028 by disowning its own shameful idiocies of the Trump era.

Butler, Pa., assassination attempt, they segue to Mr. Trump’s bone spurs to escape Vietnam, supposedly re-establishing his reputation for “the opposite” of “physical courage.”

I promise you: No national journalist is really so stupid—so historically, psychologically, sociologically stupid—as to imagine physical courage is what distinguished those who went to Vietnam from those who didn’t. This is purely a kayfabe assertion—to get Mr. Trump back in his baddie costume and their unsearching narrative back on track.

Ms. Ocasio-Cortez refers to the “Overton window,” which decides when outré ideas may be discussed. But as important is the emperor’s-new-clothes effect, which determines when it’s personally advantageous to ignore plainly obvious realities.

The lacuna in the Haberman/Swan book is the lacuna

in all such accounts. In 2016, Mr. Trump was the “outsider” and “disrupter” whom a surprising number of Obama voters would take a flyer on. By 2024, the Times would later admit, his enemies had metamorphosed him. He became the “righteous hero triumphing in the face of smear campaigns, relentless prosecutions and even an attempt on his life”—though it still took astonishing mismanagement of their own nomination by Democrats to return him to the White House.

Take another kayfabe tell-tale. In a hundred lifetimes, Rachel Maddow might never stop to ask how it could benefit Mr. Trump for the Russians constantly to be calling attention (as she alleges) to their support for Mr. Trump. Her disincentive is channeled directly into her \$25 million paycheck, which obviously isn’t awarded for accurate reporting and analysis.

Mr. Trump could only gawp while his enemies did these favors for him. Ditto any open-eyed citizen. Kayfabe’s derivation is uncertain but the term is strikingly similar in mouth feel to “coward,” a description repeatedly merited by the national press in the Trump era. But explain as you will the spell Mr. Trump and his enemies have cast over our politics. When a prominent Democrat finds the courage to step outside the spell, on that day America might regain hope of being able to elect a serious president for serious times.

promises he made during his 2024 campaign. Prices are rising faster than during Joe Biden’s final year in office. Despite tariffs intended to reverse offshoring, there are fewer U.S. manufacturing jobs than when Mr. Trump began his second term. The war against Iran has raised the price of gasoline, fertilizer and the diesel fuel that trucks use to transport most of the goods that Americans use every day. Against this backdrop, it’s hardly surprising that 63% of Americans—including 53% of Republicans and Republican-leaning independents—believe that the Republican Party hasn’t focused enough on the cost of living.

Democratic leaders should take no comfort from these developments. The 2024 election was more than a defeat for Kamala Harris; it was the end of an era. Democratic voters want a new generation of leaders with new ideas to take charge, and they are in no mood to accept timid incrementalism. Support for capitalism is at a low ebb among independents as well as Democrats.

As Republicans learned in 2016, a charismatic anti-status-quo candidate can win the nomination without majority support—if multiple candidates representing business as usual split the vote. If the Democratic Party’s center-left wing fails to offer an agenda voters can believe in, the door will be open for a radical faction to take charge during the presidential nomination contest, regardless of the consequences for the general election.

BOOKSHELF | By Jonathan W. Jordan

Good Men In a Crisis

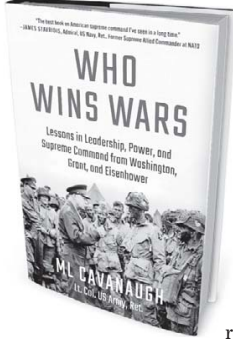
Who Wins Wars

By ML Cavanaugh
Matt Holt, 256 pages, \$30

At the height of World War II, students in Miss Lillian Craig’s fifth-grade class in Roanoke, Va., wrote to America’s top soldier, Gen. George C. Marshall: How did he select the nation’s senior generals? “What are they like that makes you know they will be good ones?”

Kings, presidents and military academies have wrestled with versions of that question for millennia. In “Who Wins Wars,” retired Army Lt. Col. ML Cavanaugh tackles the subject by studying three legendary American generals: George Washington, Ulysses S. Grant and Dwight D. Eisenhower.

The three leaders fought their signature campaigns under vastly different conditions. Washington launched his Delaware River attack in 1776 with armies marching at the foot speed of Caesar’s legions. Grant used the destruction of railroads and logistical networks, and superior manpower, to smother the Confederacy during his 1864 Wilderness Campaign. Eighty years later, Eisenhower owned the skies over



Europe and leveraged the power of a vast coalition to conquer Hitler’s Fortress Europe. Mr. Cavanaugh reviews their thinking from the strategic heights and asks, “who wins wars, and what can we learn from those who do?”

In 1776, Washington was an insurgent leader who understood that survival meant victory. After the disastrous Battle of Long Island in August, Washington faced a tough decision: defend New York, burn it to keep it out of British hands or simply retreat? “Washington had to think

about more than just winning battles,” Mr. Cavanaugh writes. “He had to keep the army together and maintain support from the people and Congress.” The Founding Father worked closely with the Continental Congress and balanced the conflicting demands of military officers and civic leaders. “By handling these disagreements carefully, he gained the trust he needed from Congress and kept his officers loyal,” Mr. Cavanaugh writes. “In short, Washington listened.”

His surprise move against Trenton, N.J., at Christmas did more than notch a local victory against King George’s Hessians. It “broke the idea that the British couldn’t be beaten,” we are told, and “helped the colonists believe in the rebellion again.”

Grant’s strategy against the Confederacy in 1864 was, the author says, “not only military—it was political, too. Victories needed to boost Union morale, but they couldn’t be so costly that the public turned against the war.” Though at first Grant suffered more casualties than Robert E. Lee, “Grant didn’t stop. He kept moving forward.”

While Grant remained aloof from politics, he “believed strongly that politics matters at war.” With Lincoln’s re-election prospects teetering in the fall of 1864, Grant, Mr. Cavanaugh writes, “viewed the election as a potential battlefield opportunity.” He provided his soldiers access to the voting process, and ensured that the men were shielded from the pressures of political harangues or campaigning.

The Union won, Mr. Cavanaugh writes, “because Grant listened, learned, and adjusted his approach. Because he chose constant, multifront pressure. Because he was persistent after setbacks. And because Grant wore Lee’s Confederates down.”

Eisenhower’s path to victory was more overtly political. He pushed back, when necessary, against political leaders, including Winston Churchill, Franklin D. Roosevelt and Charles de Gaulle. Eisenhower’s agonizing responsibilities required him to make many critical decisions: Launch D-Day on June 6, 1944? Drop paratroops behind enemy front lines? Bomb French railroads before D-Day? Capture Berlin, Prague and Vienna—or leave them for the Red Army?

We can “learn a great deal from Eisenhower’s strategic leadership—particularly, some of the traits he demonstrated,” Mr. Cavanaugh observes. “Like humility. One of Eisenhower’s early biographers was struck by how Eisenhower never saw power as belonging to him personally (in contrast with Hitler). Instead, he treated it as something he was responsible for—but not entitled to.”

As generals Washington, Grant and Eisenhower demonstrated expert strategic judgment in vastly different military circumstances.

What do these generals teach us? “When it comes to strategy, it’s not whether strategic leaders win or lose a given battle, but how they change the game,” Mr. Cavanaugh writes. “The aim of all strategic leadership is the application of superior judgment.”

Technology is a part of war’s landscape; it separates the 21st century from the eras of the Brown Bess musket, the bronze cannon and the M-1 Garand rifle. Noting the ubiquity of drones on the battlefields of Ukraine and Russia, one general consulted by Mr. Cavanaugh asked, “how many senior leaders have drones in their home? Little drones they play with?” The author adds: “Which of our senior strategic leaders are experimenting, getting hands on, developing a fingertip feel for this new warfighting tech?” Mr. Cavanaugh concludes: “Curiosity is a strategic advantage here.”

Humility also counts, he adds. “When you’re spending human lives—part of a system that orders some into extreme risk—it matters that you actually believe the lives you’re spending are as important as your own.” Yet optimism must counterbalance humility and realism. “Hope must be in the strategic leader’s DNA—without it, the whole enterprise would rot from the top down.”

“You can never learn how to ‘win wars.’ You can only hope to win the war you’re in,” Mr. Cavanaugh argues. “But we can create a ‘variety’ of experiences that ensures we find someone better than anyone on the other side of the field. All roads lead to the mountaintop—you’ve just got to be smart enough, strong enough, and brave enough to make the climb.”

These are sensible prescriptions. The difficulty is that “Who Wins Wars” seldom ventures far beyond them. Its strategic lessons—balance differing viewpoints, understand politics, remain humble and optimistic, change the game—are difficult to argue with, because they operate at such a high level of generalization.

Which brings us back to Miss Craig’s fifth graders. Eight decades later, their deceptively simple question—“What are they like that makes you know they will be good ones?”—remains harder than it looks.

Mr. Jordan is the author of “Ike and Winston: World War, Cold War, and an Extraordinary Friendship.”

No One Got Rich Singing About Money

By Gregg Opelka

Everyone wants to be a millionaire—except songwriters. In 1964 the Beatles reminded us that money “Can’t Buy Me Love,” and there have been other examples of that sentiment in numerous pop songs. Mentions of the actual word “millionaire” in popular music are relatively rare. Let’s look at some examples.

An early instance I found was in an Italian opera, Rodolfo’s famous aria “Che gelida manina” from Puccini’s “La Bohème” (premiere 1896). The impoverished poet tells his neighbor and new acquaintance Mimi, “Per sogni, per chimere e per castelli in aria / L’anima ho milionaria” (“Through my dreams, my fantasies and castles in the air, / I have the soul of a millionaire.”) “La Bohème,” which inspired the Broadway musical “Rent,”

may be the quintessential “Can’t Buy Me Love” opera. But at the time of his death in 1924, Puccini had a fortune of an estimated \$200 million in today’s dollars, placing him among the 1%.

In 1931, Harry Warren, Billy Rose and Mort Dixon published their song “I Found a

If the lyrics include the word ‘millionaire,’ it is usually in expressing a preference for love.

Million Dollar Baby (in a Five and Ten Cent Store),” which was an immediate hit. Warren (1893-1981) wrote largely for films. Among his more than 800 songs, hits like “You’ll Never Know,” “Chattanooga Choo Choo” and “Only Have Eyes for You” likely made him a millionaire by his 40s.

In the 1949 musical film “In the Good Old Summertime,” Judy Garland resurrected the 1905 vaudeville song “I Don’t Care,” popularized in 1922 by Eva Tanguay. Garland’s recording included words absent from the Jean Lenox (lyrics) and Harry O. Sutton (music) original: “I don’t care / if he’s a clerk or just a millionaire,” the clever interpolation yet another variation on the “Can’t Buy Me Love” theme.

Cole Porter’s 1956 tune “Who Wants to Be a Millionaire?” shares its name with the future ABC game show. Porter, born and raised amid great wealth, became a millionaire through his songwriting brilliance. His song answers its own question with “I don’t—‘cause all I want is you.” Again, love, not wealth, conquers all.

The trope’s early prominent 21st-century pop iteration can be found in Kelis’s

2003 song “I’m a Millionaire,” with the lyric: “Papa, I’m a Millionaire, but Saks Fifth Ave. don’t sell affection.”

Chris Stapleton’s 2017 megahit “Millionaire” continued the tradition. In it, he avers that, thanks to his beloved, “when my pockets are empty and my cupboard is bare, I still feel like a millionaire.” Mr. Stapleton’s net worth? About \$25 million.

Ironically, most contestants on “Who Wants to Be a Millionaire?” didn’t become millionaires, whereas Cole Porter, the Beatles and others who wrote about the supremacy of love over money did. Seems if you truly want to become a millionaire, you stand a far better chance by writing a love song denouncing the idea than guessing at multiple-choice questions.

And that is my final answer.

Mr. Opelka is a musical-theater composer-lyricist.

OPINION

REVIEW & OUTLOOK

Disney Strikes Back Against the FCC

Remember how conservatives cried foul when the Biden Administration weaponized government power to silence critics? Now the politics have flipped, as Federal Communications Commission Chairman Brendan Carr seeks to punish Walt Disney Co.’s ABC for getting crosswise with President Trump. But the network isn’t taking it lying down.

ABC sued the FCC on Tuesday for “coercing and retaliating” because it “refuses to bow to the Administration’s demands.” The lawsuit says the government has violated its First Amendment rights “by launching pretextual regulatory investigations and threatening the Stations’ valuable broadcast licenses.”

Mr. Carr has threatened to yank the licenses of ABC’s broadcast stations, sought to impose political control over guests on its daytime program “The View,” and launched an investigation into its employment practices. Warning to broadcasters: Don’t criticize the President. Mr. Trump’s beef with ABC goes back to his first term, when he complained that its news coverage was unfair. Most TV networks lean left, ABC included. But Mr. Trump thinks any criticism is unfair.

Last August Mr. Trump called for revoking the broadcast licenses of ABC (and NBC) because they “ARE SIMPLY AN ARM OF THE DEMOCRATIC PARTY,” as he wrote on social media. The President renewed the threat against ABC after its late-night comedian Jimmy Kimmel made a thoughtless remark about Charlie Kirk’s assassination.

“We can do this the easy way or the hard way,” Mr. Carr said, mob-boss style. “These companies can find ways to take action on Kimmel, or there is going to be additional work for the FCC ahead. . . . They have a license granted by us at the FCC, and that comes with it an obligation to operate in the public interest.”

Federal law gives the FCC authority to regulate the public airwaves based on “public convenience, interest, or necessity.” The political left has cited this in the past to push for racial preferences in broadcast licensing. Mr. Carr is using it against Mr. Trump’s antagonists.

In March 2025, Mr. Carr announced an investigation into whether Disney or ABC had violated the agency’s equal employment opportunity regulations with their policies on diversity, equity and inclusion. “Numerous reports indicate that Disney’s leadership went all in on invidious forms of DEI discrimination a few years ago,” Mr. Carr said.

Conservatives have long criticized Disney as “woke,” and it’s possible the company has given preferences to racial minorities. But Mr. Carr

appears to be using the DEI probe as a pretext. He cited the DEI investigation in April to justify an early review of the broadcast licenses for the eight local broadcast stations that ABC directly owns and operates. None of its licenses expire before 2028. The FCC

has never simultaneously demanded an early review of a group of station licenses owned by a single broadcast network.

Revoking ABC’s licenses would ignite a legal battle, but Mr. Carr’s goal may be to use the threat to pressure it to toe the President’s line. That also may be one goal behind the FCC’s decision to revisit its exemption for “The View” from its equal-time rule, an artifact of the 1934 Communications Act.

The antiquated rule requires public broadcasters, if they provide air time to one political candidate, to give comparable time and placement to other candidates running for the same office. Congress later exempted “bona fide” newscasts, interviews, documentaries and events to ensure the rule wouldn’t suppress political coverage.

The FCC has loosely enforced the rule in recent decades and in 2002 gave “The View” an exemption. Congress ought to repeal the rule (and kill the FCC itself) since it makes little sense in today’s diverse media marketplace. It notably doesn’t apply to other forms of media, including cable networks, podcasts and social media.

* * *

The rule also violates the First Amendment by letting the FCC interfere in editorial judgments and suppress disfavored content and viewpoints. ABC’s lawsuit says the FCC’s pressure has resulted in it “passing on further consideration of booking several political candidates,” and none have appeared on the program since February.

The original rationale for the law was to prevent media gatekeepers from influencing the outcomes of elections by having one political candidate on all the time. Now Mr. Carr is playing gatekeeper, though not long ago he was reviling the left’s censors.

In 2020 he lambasted a progressive media group for petitioning the FCC to censor broadcasts of Mr. Trump’s Covid press conferences, calling it a “dangerous and sweeping attempt by the left to weaponize the FCC.” It’s a shame Mr. Carr won’t defend ABC’s free-speech rights today.

The Economic Case for European AC

Europe has sweltered through one heat wave after another this summer, and its green disavowal of air conditioning comes at an economic cost. As the mercury rises, business productivity suffers along with the workforce.

Many European offices and apartment buildings were designed to retain heat, and air-conditioning penetration averages 19%, compared with some 90% in the U.S., according to a report this year by Allianz Research, an arm of the insurance company. One result: Even “indoor workers are not insulated” from the misery.

The economic consequences extend beyond discomfort. Heat stress hurts workers’ sleep, cognitive function, decision-making and performance, the report says. Allianz estimates workers’ hourly output declines by \$1.30 for every degree between 30 and 35 Celsius (86 and 95 Fahrenheit). That makes European businesses less profitable and less competitive.

Allianz examined productivity during unusually hot years, and it concludes that heat waves cost between 0.3% and 0.5% of European GDP overall, and more than 1% of GDP in heat-prone southern regions. This translates to lower tax revenue, too. That’s especially bad news for France, where “heat stress could worsen an already high expected fiscal deficit,” the report warns.

Europe will face economic costs related to warming “even if ambitious climate mitigation goals are met,” says a report last year from Assessing Climate Change Risk in Europe, a European Union-funded research effort. But the continent can reduce the harm by better adapting. That study found broader AC adoption could have annual economic benefits of €40 to €60 billion (\$46 billion to \$69 billion) by 2050. An “important co-benefit” would be fewer heat-related fatalities. Crank up the cooling.

High Anxiety in the Bond Market

Apparently “rout” is the new word for interest rates returning to a historical norm. That’s one impression from the freakout now attending a repricing in global bond markets that’s resetting the global financial system to its pre-2008 level.

Note the dates here. The 30-year U.S. Treasury yield on Tuesday touched 5.339%, its highest since 2007. The 10-year at about 4.7% is near its highest level since early 2025. The benchmark French 10-year, at about 4.1%, is its highest since 2008. The 10-year German bund, at about 3.26%, has returned to its level of 2011. None of these moves upward have been sudden, despite the hubbub in market commentary this week.

In other words, yields finally are reverting to normal after the low-rate era following the 2008 financial panic and European sovereign crisis. The outlier is Japan, and it’s telling. There the 10-year government bond, at about 2.93%, is now at its highest yield since 1996. But Japan embarked much earlier on the extreme monetary and fiscal policies that became common elsewhere after 2008. This too is a story of unwinding abnormal conditions.

The upward rate trend might signal faster economic growth ahead. Tech companies have an insatiable appetite for capital, especially to fund artificial-intelligence investments. Such borrowing stands at \$200 billion so far this year, according to Nomura Securities, which is about 25% of the U.S. Treasury’s net debt issuance in that period. Companies are willing to pay higher rates for capital in line with their hoped-for returns. Investors in turn are recalibrating the

yields they’ll demand to hold stodgy government debt.

A return to pre-2008 interest rates isn’t cause for financial panic.

While it sounds frightening to say rates are higher than they’ve been in nearly 20 years, the past two decades are the era that was abnormal. The U.S. economy has survived—thrived, actually—during periods of higher interest rates. The return of

normality augurs well for the productive allocation of capital, which is good for growth and job creation.

This isn’t to ignore the two more worrying reasons for higher yields. Concerns about future inflation may explain some of the rise, and the fiscal mess of most Western governments should push up yields.

In the U.S., federal debt held by the public has ballooned to 100% of GDP from 32% in 2008. Rising rates create new budgetary stresses. Net interest on the debt is on track to cost the Treasury more than \$1 trillion this fiscal year, the second- or third-largest line item in the federal budget behind Social Security and, possibly, Medicare. Those risks aren’t new, however, and were at least partly baked into yields before the surge of recent days.

Other financial risks have built up during the era of low rates. Britain’s gilt crisis in September 2022 and the Silicon Valley Bank collapse in March 2023 were warnings that some investors or institutions might experience distress during the transition back to normal yields. Borrowers of all stripes will have to adjust—not least the Western governments that have spent and borrowed as if near-zero interest rates would last forever.

LETTERS TO THE EDITOR

Iranians Admit Trump’s Blockade Is Working

Your editorial “Trump’s Blockade Keeps the Economic Pressure on Iran” (Aug. 11) makes the right call: keep the blockade on. What’s remarkable is that Tehran keeps proving your point for you.

Majid Reza Hariri, who heads Iran’s own Chamber of Commerce with China, told the outlet Khabar-online that shipping a container overland now costs \$12,000 by land versus \$3,000 by sea, an extra \$9,000 a box across roughly two million containers a year—or about \$18 billion in added costs. He said Iran’s \$50 billion in non-oil exports produces only \$10 billion in profit, so the blockade surcharge alone can wipe that out. His verdict: The 40-day war did less damage to Iran’s economy than the blockade is doing now.

Iranian President Masoud Pezeshkian admitted on Aug. 8 that the naval blockade has cut off Iran’s import

routes and that the government lacks the resources to import gasoline. Iranian economic journalist Ata Hosseini echoed the warning days later, tracing the fuel shortages and long gas-station lines directly to the blockade.

Having spent years as a senior sanctions official at Treasury, I’ve seen how rarely a target state’s own officials hand you this kind of confirmation. When the head of a state trade body and the president himself can’t hide the reality anymore, and concede this much pain, it is the clearest evidence yet that \$435 million a day in lost activity is achieving what airstrikes never fully did.

President Trump should tune out Tehran’s escalating demands and let the blockade keep working.

MIAD MALEKI
Senior fellow, Foundation for
Defense of Democracies
Washington

Medicine’s Covid Reckoning Is Long Overdue

Regarding your editorial “Fauci, Covid Vaccines and Miscarriages” (Aug. 14): You write, “Sen. Johnson . . . claims the data actually documented an 82% rate.” It wasn’t my claim. I was citing testimony and an open letter to the American Board of Obstetrics and Gynecology sent by Dr. James Thorp—a board-certified OB-GYN who has cared for women for more than 40 years and has firsthand experience treating pregnant women harmed by the Covid injection.

By arguing over one particular interpretation of what your editorial called a “sloppy” study, fact checkers and other Anthony Fauci apologists are missing the main point: Dr. Fauci withheld information from pregnant women that they had the right to know. His claim that there were no red flags is refuted by his acknowledgment of “significant cytokines storm and fever” and my May and April reports.

The question isn’t what the actual percentage of miscarriage risk is—we probably will never know because of grossly inadequate and negligent, if

not corrupt, safety surveillance. The question should be why federal health officials consistently withheld information on safety signals, thereby depriving the public of fully informed consent.

Dr. Fauci isn’t alone in refusing to answer for his role in our miserably failed response to Covid. The media that continues to cover up for their participation in silencing dissenting voices and not rigorously pursuing the truth should engage in serious self-reflection.

The latest example is the media news blackout of my report, “Unmasked: How Biden Health Officials Purposely Turned a Blind Eye Toward COVID-19 Vaccine Safety Signals.” Not one major newspaper or broadcast news network has covered this major scandal as a news story. Until we have a thorough Covid reckoning, trust in media, health agencies, doctors, hospitals, “experts” and science will continue to plummet. And deservedly so.

SEN. RON JOHNSON (R., Wis.)
Oshkosh, Wis.

Government Authority Isn’t Medical Evidence

Your editorial is exactly right to warn that President Trump’s vaccine order will feed public anxiety (“Trump Jabs at Vaccines for Children,” Aug. 12).

What troubles me most isn’t simply what the administration recommends, but how it is reaching medical conclusions. Neither President Trump nor Robert F. Kennedy Jr. is a physician. That does not disqualify them from making health policy. But it should make them especially reluctant to substitute personal judgment for

an evidence-based medical process.

Calling the MMR vaccine “quite lethal” without supporting evidence isn’t a scientific argument. Nor is substantially rewriting the childhood immunization schedule without new evidence demonstrating that the existing schedule is unsafe or inferior.

The medical profession has hardly been silent. The American Academy of Pediatrics, American Medical Association, American College of Physicians and Infectious Diseases Society of America, among others, have objected and emphasized that vaccine recommendations should rest on rigorous evidence and expert review.

Presidents properly make policy. Physicians and scientists properly debate medical evidence. But political authority can’t convert an unsupported assertion into a medical fact. When government speaks about children’s health, evidence should come before conclusions—not the other way around.

ARIE BLITZ, M.D.
Weslaco, Texas

Oregon Has a Student Crisis

Your editorial “Youngkin Goes to Bat for School Choice” (Aug. 12) rightly warns that states refusing to step up to the plate on federal tax-credit scholarships will leave their students behind. Oregon is fast becoming that cautionary tale.

Despite the Nation’s Report Card placing our state last in fourth-grade reading and math, Gov. Tina Kotek announced this June that she will not opt Oregon into the federal Education Freedom Tax Credit program.

Last November I joined fellow legislators in urging Gov. Kotek to participate. This program requires zero new state taxes. It simply allows people to claim a federal tax credit of up to \$1,700 for donations to scholarship organizations—funds that cover private-school tuition, tutoring, special-needs services, and vital support for public-school students.

Oregon must open doors for struggling students, not slam them shut. During the 2027 legislative session, I will introduce statutory legislation to bypass this executive roadblock and formally opt our state in.

Until then, keep an eye on Oregon this November. Voters will decide if playing politics with our children’s future in a failing educational system finally carries a price at the ballot box.

STATE REP. DWAYNE YUNKER (R., ORE.)
Grants Pass, Ore.

CORRECTION

An Aug. 13 art review, “Laying Down the Line,” named only two curators of the exhibition “Willem de Kooning Drawing.” The show has three: Kevin Salatin, Mel Becker Solomon and Charlotte Healy.

Letters intended for publication should be emailed to wsj.letters@wsj.com. Please include your city, state and telephone number. All letters are subject to editing, and unpublished letters cannot be acknowledged.

Pepper ... And Salt

THE WALL STREET JOURNAL



“We couldn’t travel last year so we decided to build a moat.”

OPINION

The Young MAGA Socialists Are Here

By Emil Barr

Fifty-three percent of self-identified conservatives under 40 support government-run grocery stores. Not Democrats, conservatives. Take that in.

I run a company that tracks layoffs caused by artificial intelligence, and every month I look at spreadsheets that show my generation losing entry-level jobs faster than anyone anticipated. So when the polling says young Americans have soured on capitalism, I'm not surprised by the anger.

I am surprised by who is angry, because the rise of socialism among young Americans is no longer only a Democratic story. Young conservatives who grew up hearing that government was the problem are increasingly asking why the

Many conservatives in Generation Z think the American Dream is gone. Some of us are building it.

government isn't doing more to make their lives easier, which in 2026 simply means more affordable. They are increasingly comfortable with taxing billionaires, expanding government programs and blaming some outside group for the sense that the American Dream is further away than it was for their parents.

The left is embracing socialism openly, but we should worry about how the right is arriving at many of

the same conclusions by a different route.

In a 2025 survey of young likely voters, 42% of conservatives said they would like to see a democratic socialist win the presidency in 2028. Among 2024 Trump voters, the figure was 35% in another poll. A March 2026 poll found 77% of all voters support raising taxes on billionaires, including 65% of Republicans, 75% of independents, and 91% of Democrats. It also found 62% of voters are more likely to back a candidate who supports an increased billionaire tax, versus 12% more likely to support a candidate who opposes it.

These aren't disciples of Karl Marx, but they believe the economy is rigged against them, and they increasingly believe the government should step in and fix it.

A July 2026 Fox News poll found that 61% of Republicans view capitalism favorably, down from 72% in 2019, while the share who feel strongly favorable has fallen from 54% to 41%. The share who say the system is rigged toward the wealthy has climbed from 30% in 2018 to 42%.

I'm 23, and I understand why my generation is frustrated. Unaffordable housing is one of the clearest reasons. The striking part of Zohran Mamdani's win in New York is that the language he used—affordability, rent regulation, hostility to concentrated wealth—now sounds completely normal to millions of young Americans who would never call themselves socialists.

I am not going to tell my generation that everything is fine, but I believe we are making a fundamental mistake when we take a real eco-



Mayor Zohran Mamdani displays discounted subsidized bananas.

nom ic problem and turn it into an argument against capitalism.

Capitalism is failing young Americans, but it isn't the reason young Americans are failing.

On the left, the villain is usually the billionaire or the corporation. On the right, it might be China, immigrants, Israel or whichever group is being blamed that month for why we can't afford what our parents could at our age. The targets of blame change, but the logic stays the same: somebody else took what should have been mine, and whoever it is should pay to give it back.

This is where the argument gets uncomfortable.

Ask young Americans whether they want universal healthcare, free college, cheaper housing or more government assistance and you will find plenty of support, but when you ask who should pay for it, suddenly

the revolutionaries get quieter.

We want the Nordic welfare state without the Nordic tax bill. We want the government to spend more money while somehow charging none of us for it, which sounds more like a wish list than an economic model.

I think my generation is getting capitalism completely wrong, because those of us who are actually building companies are showing that opportunity hasn't disappeared nearly as completely as some young people believe.

For the first time on record, 2025 saw Gen Z entrepreneurs starting more new businesses than baby boomers, accounting for 9% of new business starts in 2025 against 5% for boomers. Most of those founders used AI to get started; it has never been cheaper to try to be an entrepreneur.

Reform and Open China on America’s Terms

By Jeremy Furchtgott

The debate over U.S. trade policy toward China is based on a false choice between openness and restrictions. There is a third option: America can decide which parts of China it do business with.

Under Xi Jinping, China closes itself off to the outside world. In April, China's State Council issued two sets of rules that took effect immediately—Regulations on Industrial and Supply Chain Security and Regulations on Countering Improper Extraterritorial Jurisdiction by Foreign States. The regulations give Beijing new ways to shield Chinese entities from foreign export controls, sanctions and regulatory investigations.

China has already used those tools. In May the Justice Ministry invoked its new anti-extraterritorial-jurisdiction rules for the first time, forbidding Chinese entities from cooperating with the European Commission's investigation, under the Foreign Subsidies Regulation, into Chinese security-equipment maker Nuctech. China's Commerce Ministry backed the move, condemning the EU probe as an

“unjustified suppression on Chinese enterprises.” Beijing thus signaled to Chinese companies that cooperating with a foreign regulator could be a violation of Chinese policy.

Western governments are moving in the opposite direction, demanding more information about Chinese supply chains. America's Uyghur Forced Labor Prevention Act requires companies to establish that goods imported from China weren't made with forced labor from Xinjiang. The EU's Corporate Sustainability Due Diligence Directive, or CS3D, requires large companies to investigate risks throughout their global supply chains.

These rules assume companies can get reliable information about what happens inside China—an assumption Beijing increasingly challenges. The result isn't simply that Chinese companies might evade Western regulations, but that U.S. companies trying to comply face significant liability because Beijing makes compliance impossible.

Some argue that America should reduce our economic ties with China in response. Efforts to do so are under way, but in some sectors may

take a decade or longer to show results. In the near term, U.S. regulatory policy is toothless.

America can neither abandon the commercial relationship nor force China to be transparent. So rather than try to change China—as Western missionaries once sought to do—U.S. policy should reward the parts of China that are willing to make themselves open to U.S. business.

The U.S. should offer cities and businesses access to our markets in exchange for being transparent.

To willing partners in China, America should offer terms seeking transparency into ownership and supply chains, cooperation with foreign regulatory investigations, compliance with U.S. sanctions and export controls, and reciprocal access for American companies. Chinese companies and jurisdictions that meet those standards should be rewarded with preferential

treatment in the U.S. market.

There are precedents for this approach. Recognizing that China isn't a monolith, Deng Xiaoping's “Reform and Opening Up” didn't attempt to transform China's entire economy at once. Beijing designated Special Economic Zones—Shenzhen, then a fishing village, became the most famous—where foreign investment could enter and commercial experimentation could proceed under different rules.

Reform and Opening 2.0 would revive that concept with a twist: This time, Washington would set the terms. Chinese companies and localities could decide whether they wanted to meet them. An underperforming coastal city like Shantou—one of the original SEZs, with a large diaspora and an international orientation—might jump at the opportunity.

The administration can begin with tools it already has. A county that opens its supply-chain records to U.S. auditors might receive expedited export-license treatment, streamlined customs processing and more student visas; a jurisdiction like Xinjiang, where Beijing has

So which is it? Are we a generation that believes the government needs to rescue us from the economy, or are we a generation capable of building our own way out?

My mother brought me to America from Russia when I was 3 because she believed that her son would have more opportunity here, and she was right.

I was able to scale successful businesses as a teenager, negotiate my way through free college, and build a personal net worth of over \$20 million all before turning 23. I didn't do that because the government handed me a check, but because America gave me room to try.

There are real barriers making opportunity harder to reach, and the government built most of them. Housing supply is restricted by zoning. Licensing keeps capable people out of professions they could otherwise enter. Permitting turns projects that should take months into years-long exercises.

If those barriers are making life harder for young people, the answer is to remove them. It isn't to convince an entire generation that capitalism itself is the barrier.

Capitalism tells young Americans that the answer is to build something, learn a skill, start a business, take responsibility and create value. The alternative is to become convinced that every economic problem has an external villain and every solution has to come from Washington. That's a dangerous idea, regardless of which party adopts it.

Mr. Barr is the co-founder of Flashpass and founder of Step Up Social.

Russia Burns Books and Sacks Libraries in Ukraine

By Emily Hamilton

Bibliocide—attacks on the written word—is a common tactic of totalitarians and terrorists. The Nazis burned books in Germany in the 1930s, as did the Khmer Rouge in Cambodia in the 1970s. Bosnian Serbs destroyed Sarajevo's National and University Library in 1992, and in 2015 ISIS devastated Mosul Central Library.

The Ukrainian Culture Ministry says Russia has damaged or destroyed 906 libraries since 2022. Numerous cases of book burning and library sacking have been documented. Among them: In 2022 the Petro Mohyla Church library was burned in Mariupol. Books were burned in Rovenky in 2023. Yulia Kakulia-Danyliuk, a librarian in Kapytolivka, has described the destruction in that village: “Everything was smashed and broken, books were scattered everywhere. There was filth.”

Kapytolivka holds particular significance, having been home to Volodymyr Vakulenko, a poet and

children's book author, who was abducted and murdered by Russian troops in 2022. When the librarian returned after the village's liberation, only 4,500 of 16,500 books remained. She found books on Ukrainian culture and history in the toilets, covered in human waste. “All of them had been soiled. That was done deliberately.”

Anehlina Vietrova is a librarian in the Kherson Library system. While under Russian occupation, she welcomed Svitlana Pekaliuk, head of Oleksandrivka's library, into her home. While living together, they operated a clandestine library. “People would come to borrow books. As the librarian, Svitlana would register books, check them out, and people would return them. In my home, an impromptu library existed during the occupation.”

After Oleksandrivka's liberation, Pekaliuk returned home to a destroyed library there. She set up a small mobile library to take its place, but died soon after. “Now there is no library,” Ms. Vietrova says.

Before the occupation, Ms. Vietrova

worked at the Kherson Regional Children's Library: “It was a beautifully renovated building with a huge hall where children read and held parties. It was damaged multiple times and hit directly and deliberately. They were clearly striking it on purpose.”

The same happened to the large, modern Oles Honchar Library in the city of Kherson. “It's splendid,” Ms. Vietrova says. “They targeted it deliberately. You could see it was intentional—the building stands alone, and it's obviously a library. They destroyed it.”

The East SOS Foundation, a Ukrainian humanitarian and human-rights organization, has gathered testimony from librarians and teachers who saw books destroyed. According to a teacher from Luhansk, “the occupiers confiscated books from people and forced children to bring them back to the school library. Then Russians destroyed everything they seized. They took it to the boiler room and burned it there. Not only textbooks, but all the Ukrainian literature in the library was burned.”

Ukraine is no stranger to biblio-

cide, says Maria Mezentseva-Fedorenko, a member of Ukraine's Parliament: “Our books have been the target of dictatorships in the past. Throughout the 20th century, Ukrainian authors were persecuted and our texts censored. This large-scale destruction isn't just about books. It's about robbing our children's future.”

Oleksandra Matviichuk, head of

Bibliocide—attacks on the written word—was a tactic of Nazi Germany, the Khmer Rouge and ISIS.

the Center for Civil Liberties (which was awarded the 2022 Nobel Peace Prize), describes the destruction of books as “part of a broader genocidal policy of Russia. We know from history that the burning of libraries accompanied genocides throughout the centuries as an erasure of someone else's identity. Putin openly says

Notable & Quotable: ‘Woke 1.0’

From “Woke 1.0 is over. But what did progressives do wrong?” by Nesrine Malik in the Guardian, Aug. 18:

Woke 1.0 . . . was about concrete problems: policing of minority communities, the right of women not to be sexually harassed or violated, the systemic racism and sexism that damaged both. And it was about reforming the cultural structures that created and perpetuated those systems. . . . None of this is “crazy.” . . .

An altogether more serious—and shallow—allegation is that it was all “crazy” because this is what the left does. Given a chance, the left will

waste capital by descending into infighting, radicalism and alienation. It is rarely acknowledged that this left never has political power, and so its energies become trapped in the realm of culture. This is not to excuse excesses, but to point out a mundane matter of physics. When a political movement is deprived of executive means, by way of democratic systems in which money and establishment interests are arrayed behind the right and the centre right, it becomes trapped outside policy and exercises its power in the only venues it can. It is a feature of weakness, not strength.

that there is no Ukrainian nation, no Ukrainian language, no Ukrainian culture.”

The destruction extends to Ukraine's publishing industry. On Sunday Russian drones and ballistic missiles hit the Pochayna Book Market, one of Kyiv's most popular spots for back-to-school shopping. On Aug. 1, Russia launched a strike on a depot of books in Ukraine and hit the logistics and distribution center of the publishers RNK-Ranok and the KnyhoLand bookstore chain in Kharkiv. Eight million books were destroyed in the blaze that followed, including 600,000 school textbooks. As many as 9.65 million books have been destroyed since May, according to the Ukrainian magazine Chytomo.

Kharkiv, the country's publishing capital, has endured several attacks, including one in May 2024 at Faktor-Druk, one of the largest printing houses in Ukraine, where seven employees were killed. “Immediately, people mobilized to rebuild,” says Sergii Polituchyi, founder and president of Faktor Cos. Group. Now his mood is bleak. Just days after millions of books were lost, on August 5, Russia destroyed the warehouse complex of Ukraine's largest online store and marketplace, Rozetka. “The only way forward,” Mr. Polituchyi says, “is to stop Russia. They want to destroy our imagination.”

Russia is up against a dogged enemy. Lt. Oksana “Ksena” Rubaniak is a 23-year-old poet. “As a soldier,” she says, “I defend our land. As a poet, I defend the written word. Because words outlive even ruins. While every destroyed book is an attempt to silence a generation, the Ukrainian voice cannot be burned or erased.”

Ms. Hamilton is producer of four documentaries on Ukraine featuring and directed by Bernard Henri-Lévy.

THE WALL STREET JOURNAL.

PUBLISHED SINCE 1889 BY DOW JONES & COMPANY

Lachlan Murdoch

Executive Chairman, News Corp

Rupert Murdoch

Chairman Emeritus, News Corp

Emma Tucker

Editor in Chief

Liz Harris

Managing Editor

David Crow

Deputy Editor in Chief

Aja Whitaker-Moore

Deputy Editor in Chief

Sarah Ball

Features

Elena Cherney

Senior Editor

Dan Colarusso

Business, Finance, Economics

Chip Cummins

News

Taneth Evans

Digital

Gordon Fairclough

World

Alex Martin

Print & Writing

Bruce Orwall

Enterprise

Damian Paletta

Washington

Christopher S. Stewart

Investigations

Paul A. Gigot

Editor of the Editorial Page

Gerard Baker

Editor at Large

DOW JONES MANAGEMENT:

Jason P. Conti

General Counsel

Dianne DeSevo

Chief People Officer

Artem Fishman

Chief Technology Officer

Lisa Fitzpatrick

General Manager, Dow Jones Industries

M. Scott Hovens

Chief Growth Officer

Dan Shar

EVP, General Manager, Wealth & Investing

Ashok Sinha

Chief Communications Officer

Josh Stinchcomb

EVP & Chief Revenue Officer

WSJ | Barron's Group

EDITORIAL AND CORPORATE HEADQUARTERS:

1211 Avenue of the Americas, New York, N.Y., 10036

Telephone 1-800-DOW-JONES

DOW JONES

News Corp

SPORTS

He Only Throws Fastballs. Hitters Are Still Baffled.

In a breaking-ball era, New York Yankees pitcher Cam Schlittler is dominating with 90% heaters



Yankees pitcher Cam Schlittler has been a revelation this season, posting an American League-best 2.19 ERA to emerge as a Cy Young front-runner.

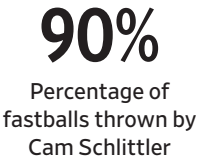
By JARED DIAMOND

Like so many of his peers these days, New York Yankees ace Cam Schlittler throws ridiculously hard. He boasts a fastball that sits at 98 mph and often reaches triple digits, blistering speeds that would have been unimaginable a decade ago. But in one weird way, Schlittler is different from all the other major-league pitchers who have lightning coursing through their veins: He actually uses it. Schlittler has been a revelation this season, posting an American League-best 2.19 ERA to emerge as the Cy Young front-runner. He has accomplished this by completely disregarding what has become one

of the defining trends of modern baseball. At a time when teams are increasingly relying on spin over raw power to bamboozle opposing hitters, Schlittler has found overwhelming success by doing the opposite. He throws a fastball a whopping 90% of the time, more often than any other starter in the sport. It's an unorthodox formula that has turned him into a monster. "He's the outlier," Yankees director of pitching Sam Briend said. "It's what allows him to use his fastball in an age where guys would love to see a fastball." The prevailing strategy for how to pitch in 2026 is a bizarre and counterintuitive paradox. The average heater in 2026

travels at a record 94.8 mph, up 3 mph from when MLB began consistent tracking in 2008. And yet, in an era when 100 mph has gone from transcendent to routine, pitchers are using that unprecedented heat less frequently than at any other point in recorded history. It isn't hard to understand why. Batters are collectively hitting .262 against fastballs. Against curveballs and sliders, that number plummets to .220. Then there's Schlittler. He is different, in large part because he doesn't just throw one fastball. He

throws three. The 25-year-old Schlittler turns to his traditional four-seamer about 44% of the time, firing it harder than just about anybody in MLB not named Jacob Misorowski. He is able to throw it with enough spin that it appears to defy gravity and mystically rise as it crosses the plate. A quarter of the time, Schlittler unleashes his cutter. He experimented with the grip the day before a Double-A start last year at the advice of coaches, liked how it felt and brought it with him into the game. It's a bit slower, at just



under 95 mph, but it features a devastatingly sharp, late break away from right-handed hitters. Meanwhile, Schlittler's sinker, which he throws 20% of the time, veers aggressively downward and toward righties. Three fastballs, all with decidedly different movement patterns. Together, they present a near-impossible challenge for hitters—because nobody can tell which one is coming until it's too late. "They don't look different," Detroit Tigers infielder Kevin McGonigle said. "That's the problem." The craziest part of Schlittler's journey is that he is perhaps the least likely pitcher to emerge as the fastball king. When the Yankees drafted him with little fanfare out of Northeastern in the seventh round in 2022, he could hardly dream about throwing 100. His average fastball then was around 88 mph. But Schlittler was tall, standing a 6-foot-6, and he had other physical and mechanical characteristics that led the Yankees to believe he could throw harder. The Yankees encouraged him to put 20 pounds on his rail-thin frame. It didn't take long for his velocity to climb. "Any coach would look at him and say, 'Man, there's more in the tank there,'" Northeastern coach Mike Glavine said. What the Yankees didn't foresee was that Schlittler would ultimately gain 8 miles per hour on his average fastball, a remarkable jump from just a couple of years prior. They also didn't envision him throwing almost nothing else. In the minors, Schlittler had a more conventional arsenal. He toyed around with sliders and curveballs and change-ups and even a splitter in the hopes of finding an off-speed option to complement his ever-improving fastball. Schlittler had to, the Yankees thought, because it is well established that MLB hitters will eventually catch up to any amount of heat. "A lot of times you just get constrained by these invisible rules and you just think, 'Oh, he has to throw the breaking ball,'" Briend said. According to the Yankees' models, some of those secondary pitches seemed like they should have been effective. The problem was that they never actually translated on the field. It was his fastball that kept getting hitters out. So the Yankees decided to try something new. Schlittler would become a fastball pitcher—almost exclusively. He has barely been hit since. "You have to be OK saying, 'Hey, this guy's different,'" Briend said. "If you're not willing to take those shots, you might miss the guy who's extremely special."

JIM MCISAAC/GETTY IMAGES

Soccer's 'Special One' Is Plotting One Last Coup

By JOSHUA ROBINSON

JOSÉ MOURINHO had spent two decades at the pinnacle of soccer building a reputation as a serial winner. Never mind that this salt-and-pepper-haired coach with the Portuguese accent had also constructed a reputation as a sore loser, a bitter complainer, and raging egomaniac. He also came with a nasty habit of getting fired. But the world's most prestigious clubs—Chelsea, Inter Milan, Real Madrid, and Manchester United—were prepared to forgive all of that, just as long as he brought home trophies. The only problem is that it doesn't happen with quite the same frequency anymore. Mourinho, 63, hasn't picked up a domestic league title in over a decade. And he hasn't won silverware of any kind since 2022. Since then, he has been sacked by Roma and made one-year stops at Fenerbahce in Turkey and Benfica in Portugal. The coach known as the Special One was beginning to look like the Finished One. That's when the biggest club on the planet came calling again. As the European season begins, Mourinho is back in the dugout at Real Madrid, where he previously spent three years as one half of Spanish soccer's most ferocious rivalry. Thirteen years since leaving the Bernabeu Stadium, he is older, greyer, and perhaps a little wiser. What Mourinho certainly isn't is any mellow. That much became clear in a new Netflix documentary about him in the style of "The Last Dance." The difference with this one is that Mourinho, who claims 26 major honors, makes Michael Jordan seem like a happy-go-lucky guy who wasn't terribly bothered about winning or losing. "Where is the documentary about the guy that won nothing in football?" Mourinho asks. "I don't

know." To Mourinho, everything was personal. During his early days as an assistant at Barcelona, he took mortal offense to being known as "The Translator"—though one of his primary duties did involve repeating his English manager's instructions in Spanish. At Chelsea, he refused to speak to players who weren't available to practice, even if they were out due to injury. Journalists were a constant source of aggravation.

And during one stretch at Inter, when he returned to face Chelsea in the Champions League in 2010, he found himself motivated purely by revenge. After all, Chelsea's owner, the Russian oligarch Roman Abramovich, had been the man who fired him after winning two league titles three years earlier. "Honestly, I was playing against Roman that game," Mourinho says in the documentary. "I was not playing against

Chelsea. I was not playing against the boys. I was playing against him." Naturally, Mourinho won. Abramovich later brought Mourinho back for another Premier League-winning stint in 2013. And he wouldn't be the last to do so. When in doubt this summer, Real Madrid president Florentino Perez pulled exactly the same move. Mourinho might be a loose cannon—or a tabloid villain, de-

pending on whom you ask—but he is a known quantity. Plus, he's prepared to drop a grudge occasionally when it suits him. "Fundamentally," Mourinho says, "I need to feel that I'm loved." Perez hasn't publicly explained why he has reverted to the coach he let go in 2013. When the club announced Mourinho's return in June, it was without fanfare, in a 54-word *comunicado oficial*. But it doesn't take much to see that these are desperate times in Madrid. Last season, the club finished a distant second to Barcelona and slumped out of the Champions League in the quarterfinals. It has since brought in six new players, spending over a quarter of a billion dollars.

And if Mourinho has proven himself capable of one thing, it's extracting commitment from his team. He demands excellence at every turn. His training sessions are famously more intense than the matches. "I would leave the pitch in a coffin for him," former Chelsea captain John Terry said. Mourinho knows that anything less than a league title will be considered a failure. At Real, a two-year dry spell constitutes a full-blown crisis. Just a few weeks into preseason, however, he is giving *Madridistas* reason for cautious optimism. "The team has started to look like a team," he said after an exhibition victory over Schalke last week. Not just any team: a Mourinho team. Which means there are really only two outcomes. He could turn Real back into a juggernaut, or it could all blow up in a firework of recrimination and newspaper headlines. And even the supremely confident Mourinho can't be sure which way it will go. "When it goes wrong," he says, "it goes wrong."



José Mourinho is back at Real Madrid, where he previously led the Spanish giants from 2010 to 2013.

BERNADET SZABO/REUTERS

KKR Makes \$9 Billion Bid for UGI



Propane retailer AmeriGas is among UGI's assets.

Surge in demand from AI providers increases allure of power distributors

By Lauren Thomas and Miriam Gottfried

Natural-gas and electricity distributor **UGI** recently received a roughly \$9 billion takeover offer from **KKR**, according to people familiar

with the matter. The private-equity firm offered to buy UGI for \$42.50 a share, the people said. UGI shares rose 9.5% to \$38.41 Tuesday, giving the company a market value of around \$8.2 billion. It couldn't be learned if UGI will be receptive and there are no guarantees of a sale to KKR or any other buyer, the people said. The surge in demand for steady, reliable sources of

electricity from artificial-intelligence data centers has made natural-gas power producers an attractive target after years of investor neglect. Natural-gas company **Calpine**, which private-equity firm **Energy Capital Partners** sold to **Constellation Energy** earlier this year, is set to become the most profitable private-equity deal of all time. Natural-gas prices have fallen recently, thanks to

strong U.S. production and high storage surpluses. Shares of UGI are up less than 2% over the past year compared with 20% for the S&P 500. Based in King of Prussia, Pa., UGI operates natural-gas and electric utilities, the propane retailer **AmeriGas** and a network of natural-gas pipelines and storage facilities. The company also distributes liquified-petroleum products in Europe.

OpenAI's Sales Lag Behind Its Rival Anthropic's

By Berber Jin and Corrie Driebusch

OpenAI told investors its revenue grew by 18% from the first to the second quarter, while its losses deepened, results that disappointed some shareholders who had hoped the startup would show more progress catching up to its rival, **Anthropic**. The company said its revenue grew to \$6.7 billion in the three months ended in June, up from \$5.7 billion in the first quarter. Meanwhile, its operating margin sank further into the red, pushing the company further away from profitability ahead of a much-anticipated initial public offering, people familiar with the matter said. Anthropic more than doubled its revenue to \$11.6 billion in the same period, marking the first time its sales surpassed its older rival. The company also swung to a small operating profit.

The two companies' diverging fortunes show just how drastically the artificial-intelligence race has shifted since the beginning of the year. A slowdown in the growth of ChatGPT, combined with the success of Anthropic's hit coding tool, Claude Code, has put OpenAI on its back foot, forcing the company to pivot its business and overhaul its leadership team.

Last week, the company replaced its chief revenue officer, Denise Dresser, after she spent less than a year on the job. Her departure followed a string of other exits, including former Chief Operating Officer Brad Lightcap and Fidji Simo, once *Please turn to page B2*

Medicare Plans Are Coming To Costco Stores

By Anna Wilde Mathews

Costco sells its members everything from travel packages to gasoline. Now the retail giant is gearing up to enter a huge new market: Medicare. The warehouse chain plans a limited rollout of Costco-branded Medicare plans, working with SCAN Group, a nonprofit insurer. Nationally, Medicare is a more than \$600 billion business for insurers, but the two companies said they would start by selling their jointly named Medicare Advantage products in two states, and a Medicare supplement in a third. SCAN and Costco executives said the three target markets include around five million Medicare enrollees but declined to disclose exact locations or timing, citing regulatory limits on disclosure pending approval by the Medicare agency. SCAN is based in Long Beach, Calif., and Southern California is a core market for the nonprofit, which focuses on Medicare and has about 460,000 members. SCAN offers Medicare Advantage plans in Arizona, Nevada, New Mexico, Texas and Washington state. Sachin Jain, chief executive *Please turn to page B2*



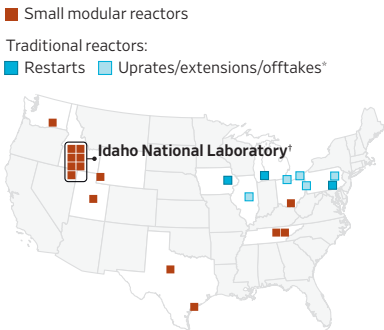
AI is fueling a renewed interest in nuclear power. Work at the Idaho National Laboratory's desert campus.

Race Is On to Build U.S. Reactor

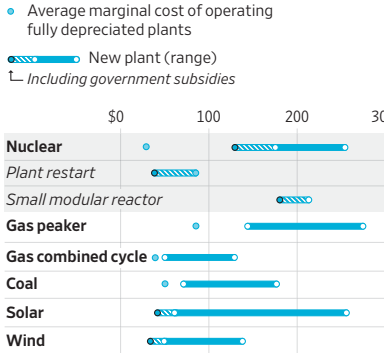
By Jennifer Hiller

BUTTE COUNTY, Idaho—One of the most hyped projects in the energy market is an excavation pit scattering dust in the high desert of the Snake River Plain, where nuclear startup **Oklo** is building one of America's first new reactors in a generation. Renewed interest in nuclear power is colliding with mania over artificial intelligence here at the Idaho National Laboratory's desert campus, a remote site that spans an area nearly twice the size of Los Angeles. Oklo and rival developers hope to drive an AI revolution and nuclear renaissance that powers the American economy for decades to come—but they have much to prove. No developers outside China and Russia have yet completed a commercial version of what's known as a small modular reactor, or SMR. "We're finally in build mode and not kind of playing games around the edges," said Jacob DeWitte, Oklo's co-founder and chief executive. Success in Idaho is a crucial step toward Oklo's first major commercial project: sending electricity to the grid to support data centers operated by Facebook parent **Meta Platforms**. Eventually, Oklo plans to build more than a dozen reactors at an Ohio campus that could generate up to 1.2 gigawatts. *Please turn to page B2*

Select nuclear projects underway or planned

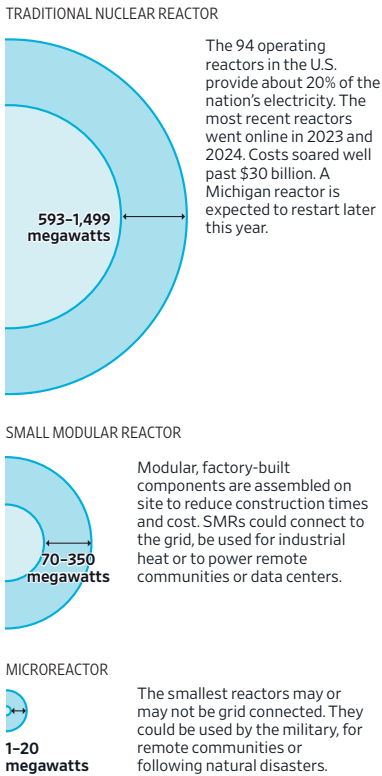


Plant construction and operating costs per MWh†



*Upgrades are increases to the maximum power level of a nuclear plant. Extensions increase the lifetime a reactor can operate. Offtakes are agreements for electricity purchases. †INL reactors include five private, one lab and one military. ‡Compares the total cost of building and operating a power plant against the power generated over its expected lifetime, on a price per megawatt-hour basis. Solar and wind figures are for utility production (solar) and onshore production (wind) and include electricity storage costs. Gas peakers run during high demand. Combined cycle plants are designed for continuous use and capture waste heat to generate more electricity. Sources: Staff reports (nuclear projects); Energy Department, World Nuclear Association, Government Accountability Office (generating capacity); Lazard, U.S. Energy Information Administration (construction and operating costs)

Generating capacity



AIRLINES
American plans to add seat-back screens to more than 800 planes. **B3**

PROPERTY REPORT
New housing law increases the prospects for factory-built homes. **B6**

Gen Z Discovers the Premium Rewards Credit Card

By Oyin Adedoyin and Elyse Gonçalves

Kevin Lin got an \$895-a-year credit card before he graduated college. He was planning trips across three continents and after researching premium credit cards, he concluded the **American Express** Platinum card would pay for itself with its travel perks and sign-on bonus. "I feel like a lot of people now, especially our age, are into our own personal finances," said Lin, who paid for the card himself. Lin's fellow Gen Zs, as well

as millennials, are taking to premium credit cards at a rapid pace. They accounted for 65% of American Express's new consumer accounts globally in the second quarter, and more than three-quarters of Amex's premium credit card sign-ups in the U.S. Amex's average new U.S. Gold card user is 29 years old, and its average new Platinum user is 33. Squeezing the most out of premium cards requires a commitment to juggling the increasingly unwieldy series of perks, points and redemption schedules. But many

young Americans are entering a "happy medium" where they have time and money to spend, said Michele Raneri, head of U.S. research and consulting at TransUnion. In return for the hours spent tracking the perks—often with spreadsheets—they are earning rewards for things like DoorDash purchases, access to airport lounges and the chance to buy tickets to concerts and other events. Credit-card issuers are eager to sign up people they hope will remain loyal as they become more affluent. Young



Esha Desai, above on vacation in Peru, has had an American Express Platinum card since she was in her early 20s. *Please turn to page B10*

CEOs Get Second Chances Despite Misconduct

By Chip Cutter and Lauren Weber

L3Harris Technologies' chief executive is out because of misconduct allegations, and it isn't the first time: More than a decade ago, Christopher Kubasik resigned from **Lockheed Martin** because he was accused of having a relationship with a subordinate. His trajectory highlights a familiar pattern: Far from experiencing a career-ender, executives accused of code-of-conduct violations sometimes go on to land new leadership positions at different companies. Witness the two CEO roles Brian Krzanich has had at smaller companies since resigning as **Intel** CEO in 2018 after the company said he'd had a previous relationship with a co-worker. Or Mark Hurd's tenure at **Oracle**, after claims of misconduct while leading Hewlett Packard. As L3Harris is now encountering, looking past misconduct allegations at previous employers can backfire. The defense contractor's stock fell nearly 5% Monday on the news of the unceremonious exit, though the company didn't specify the reason and emphasized that it wasn't due to issues regarding the company's financial reporting or operational performance. "If you're a board, and you're trying to make a decision, you will look past things," said Peter Crist, chairman of executive-recruitment firm Crist Kolder Associates. Yet even when corporate boards are tempted to draw a line between an executive's personal issues and pro- *Please turn to page B2*

BUSINESS & FINANCE

OpenAI Sales Trail Rival’s

Continued from page B1
seen as the heir apparent to CEO Sam Altman.

OpenAI has told investors that its growth rate has picked up since the launch of a set of new models in July, the people said.

For many startups, nearly \$7 billion in quarterly revenue would be extraordinary, but the expectations are different for OpenAI. The company has sold investors on a stratospheric pace of growth and signed large computing deals premised on its ability to soon generate hundreds of billions of dollars in revenue every year. The performance of Nvidia, Oracle and other tech giants hinges on OpenAI’s abil-

ity to make good on its commitments to them.

OpenAI’s sequential rate of growth was slower than **Palantir’s** over the same period and behind other AI highfliers such as **CoreWeave** and **Micron**.

OpenAI recently released a “super app” that integrates its coding tool, Codex, with ChatGPT and a web browser and has said that the new product is attracting users quickly. In recent months, its co-founder and president, Greg Brockman, has also taken a more active role leading the product and business divisions in an effort to reaccelerate growth.

The operating loss widened from \$9.3 billion in the first quarter to \$12.3 billion in the second quarter, outpacing its revenue growth. Anthropic, by contrast, managed to eke out

an adjusted profit, telling investors that it had made progress in how efficiently it uses computing resources.

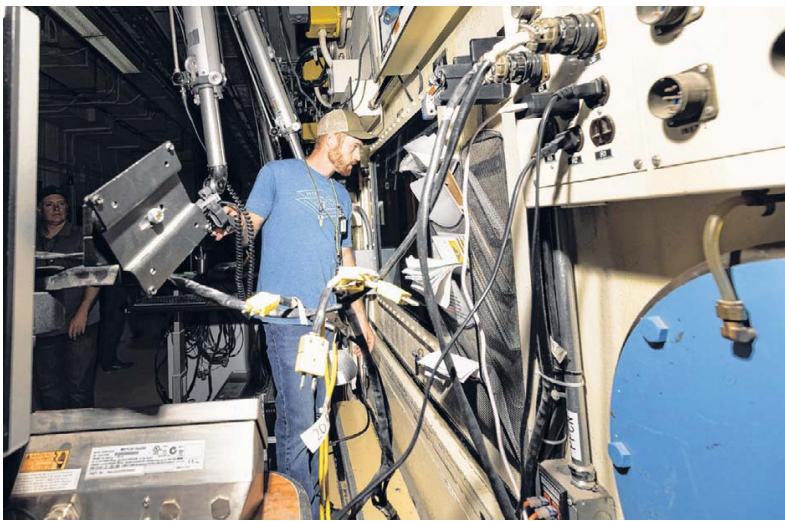
It is unclear what methods Anthropic, which isn’t yet a public company, used to calculate its adjusted profit, although in past communications with investors, it has excluded stock-based compensation from the figure.

OpenAI subsidizes hundreds of millions of users who don’t pay for ChatGPT and also cut the prices for two of its latest

models after corporate customers began to grow more cautious about their spending on AI tools and shifted more tasks to cheaper

News Corp. owner of The Wall Street Journal, has a content-licensing partnership with OpenAI.

The diverging fortunes show how drastically the AI race has shifted this year.



NATALIE BEHRING FOR WSJ

The U.S. is rusty at building nuclear plants. Its last new reactors came online in 2023 and 2024.

Race Is On To Build Reactor

Continued from page B1
watts of electricity, enough to power 1,200 Wal-marts.

Oklo—which was backed by OpenAI’s Sam Altman, who took the company public in 2024—is part of a noisy and crowded field. Its Idaho site is one of 22 active reactor projects in the U.S., according to think tank Third Way. The World Nuclear Association tracks more than 130 SMR designs in development globally.

The hurdles are high. Revenue from power generation remains years away, and when it comes to building nuclear plants, the U.S. is rusty. America’s last new reactors came online in 2023 and 2024 around \$20 billion over budget and seven years behind schedule.

Many of the small reactors under development are backed by big technology companies trying to solve one of the most daunting challenges of the AI boom: how to secure power for data centers that can guzzle as much power as a city.

In addition to its deal with Oklo, Meta plans to buy electricity from TerraPower, a reactor developer founded by Bill Gates almost 20 years ago. Google has paired with Kairos Power. **Amazon.com** invested in, and is a customer of, **X-energy**, which went public earlier this year.

Carolyn Campbell, the former head of clean technology innovation at Meta, and her team oversaw a request-for-proposal process in late 2024 that eventually led to the pairings with Oklo and TerraPower. She said Meta’s goal is to help developers reach “cost competitiveness sooner rather than later, were it not for our involvement.”

Amazon’s 2024 deal with X-energy was a turning point for the sector, said Michael Johnson, managing director for JPMorgan Chase’s security and resiliency initiative.

“It was private capital formation and offtake and real support from Amazon that had people believe not just in the future of X-energy, but in the future of small modular reactors,” he said.

Shares of the only two SMR firms that were publicly traded at the time, Oklo and **NuScale**, “took off,” Johnson added. “That was the wake-up call.”

Capital has surged into the

once-sleepy sector. PitchBook tracked \$2.9 billion in venture-capital fundraising at fission companies last year, up from \$103 million in 2020. Startups that once struggled to secure funding have turned to the public markets.

Oklo said it grossed around \$307 million in its public debut and has since raised around \$3.2 billion in stock sales. At least 10 other reactor designers, including X-energy, have gone public—or plan to do so. Some investors describe the excitement around the sector as a moment of peak hype.

Skeptics say that presents its own risks. Shares of Oklo, NuScale and X-energy have fallen sharply this year. Oklo’s market value swelled above \$30 billion at its peak last fall and has since fallen to about \$8.2 billion.

Guggenheim Securities analysts say Oklo could have 1.1 gigawatts of assets by 2032, though they say free cash flow will likely be “further off as long as the company continues to add assets.”

Watch a Video



Scan this code to see video of a visit to the Idaho National Laboratory.

CEOs Get Second Chances

Continued from page B1
fessional capabilities, “you can’t divorce them,” he added.

Neither L3Harris nor Kubasik responded to requests for comment. At the time of his Lockheed Martin departure, he expressed remorse for his actions: “I regret that my conduct in this matter did not meet the standards to which I have always held myself,” he said in a 2012 statement.

Despite the greater accountability that boards have come to hold CEOs to over the years—especially with workplace relationships—those standards can be fuzzier for incoming CEO candidates. Some boards are willing to tolerate prior indiscretions, depending on the industry and specific circumstances, executive recruiters and corporate governance experts say.

Often boards will ignore past mistakes if they think the executive won’t create messes on their own watch, said Janine Yancey, an employment lawyer and founder of HR compliance firm Emtrain. Their bigger worries are whether the executive has been involved in business malfeasance or behavior that harmed the company’s financials or reputation.

“A relationship with a subordinate is so garden-variety, it’s not going to influence that many board members other



JAE CHONG/AP



LUCY NICHOLS/SONA/REUTERS

Brian Krzanich and Mark Hurd landed new leadership roles after misconduct allegations by their previous employers.

than for them to say, ‘Let’s give this person a warning.’” she said. Boards “don’t act based on behaviors. They act when those behaviors create enterprise risk for the business,” she added.

Several executive recruiters said boards are more inclined to appoint a CEO with a less-than-pristine employment history when they believe there is a limited pool of candidates with the right experience.

In 2018, Krzanich resigned from Intel after the chip maker said an internal investigation found he had had “a past consensual relationship.” That violated the company’s nonfraternization policy, it said. Krzanich went on to become CEO of a smaller company, technology provider CDK Global. In 2024, he was named CEO of publicly traded AI company **Cerence**, where he remains today.

Cerence didn’t comment or make Krzanich available for comment, and Krzanich didn’t respond to a separate query.

Technology executive Mark Hurd left Hewlett-Packard in 2010 amid claims of misconduct involving a relationship with a

female contractor. He soon re-emerged as an executive at database giant Oracle. Hurd had been tennis buddies with Oracle co-founder Larry Ellison, who publicly criticized HP’s decision as “the worst personnel decision since the idiots on the Apple board fired Steve Jobs many years ago.”

Though the Hewlett-Packard board found Hurd didn’t violate the company’s policy regarding sexual harassment, it determined he had submitted inaccurate expense reports to conceal the relationship.

A spokesman for Hurd, who would become Oracle’s co-CEO, said later that there was nothing untoward or improper about Hurd’s relationship. Hurd’s 2019 death left Safra Catz as Oracle’s sole CEO.

In the case of L3Harris’s Kubasik, the longtime defense-industry executive and Lockheed CEO-elect resigned in 2012 for engaging in a “lengthy, close personal relationship” with a subordinate, according to the company. Lockheed Martin awarded him a \$3.5 million separation payment.

INDEX TO BUSINESSES

These indexes cite notable references to most parent companies and businesspeople in today’s edition. Articles on regional page inserts aren’t cited in these indexes.

A	G
Alibaba.....B4	Goldman Sachs.....B6
Allstate.....B11	H
Amazon.com.....B2	Hartford Insurance.....B11
American Airlines.....B3	Home Depot.....B3
American Express.....B1	Hugo Boss.....B3
Anthropic.....B1	I
B	Intel.....B1
Baidu.....B4	J
Beijing Bytedance Technology.....B4	JPMorgan Chase.....B10
BP.....B11	K
C	KKR.....B1
Cerence.....B2	Klarna.....B4
Constellation Energy.....B1	L
CoreWeave.....B2,B11	L3Harris Technologies.....B1
Costco Wholesale.....B1	Lockheed Martin.....B1
CXMT.....B4	M
D	Meituan.....B4
Delta Air Lines.....B3	Meta Platforms.....A3,B1
E	Micron Technology.....B2
Exxon Mobil.....B11	N
F	News Corp.....A9,B1
Frasers.....B3	NuScale.....B2

INDEX TO PEOPLE

A	H	N
Agrawal, Nitin.....B11	Huang, Sonya.....A1	Neglén, Nicolás.....B4
Altman, Sam.....B2	Hurd, Mark.....B1	R
Ashley, Mike.....B3	I	Raneri, Michele.....B1
B	Iger, Bob.....A8	Reagan, Chris.....B10
Bloom, Nick.....A10	J	S
Brockman, Greg.....B2	Johnson, Michael.....B2	Sandström, David.....B4
C	K	Shields, Meyer.....B11
Campbell, Ann-Marie.....B3	Kalhans, Lisa.....B10	Siemiatkowski, Sebastian.....B4
Catz, Safra.....B2	Krzanich, Brian.....B1	Solomon, David.....B6
Crist, Peter.....B1	Kubasik, Christopher.....B1	Stephens, Richard.....B2
D	L	Sun, Wei.....B4
Deering, Suzy.....B3	Lerner, Keith.....A2	T
DeWitte, Jacob.....B1	Li, Kangyuxiao.....B4	Tillman, Michael.....B6
E	Li, Robin.....B4	Tipp, Robert.....A1
Ellison, Larry.....B2	Li, Susan.....A3	W
G	M	Wachen, Robert.....A5
Gates, Bill.....B2	McPhail, Richard.....B3	Y
Gohil, Chai.....B11	Medina, Victor.....A9	Yun, Lawrence.....A2
Griffiths, Zach.....A2	Moore, Gideon.....A10	

THE WALL STREET JOURNAL.

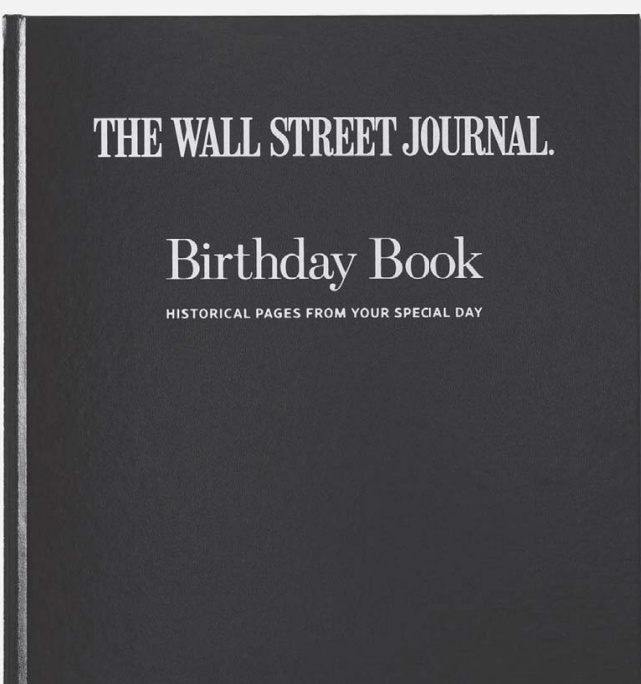
Make Their Birthday Newsworthy

Looking for a thoughtful gift? The WSJ Birthday Book is the perfect keepsake, curated for that special someone.

—

BUY NOW

WSJ Birthday Book @ Uncommon Goods



THE WALL STREET JOURNAL.

Birthday Book

HISTORICAL PAGES FROM YOUR SPECIAL DAY

©2026 Dow Jones & Co. All rights reserved 6BJ0579

BUSINESS NEWS

Home Depot’s Sales Increase in Quarter

Retailer also backs its full-year outlook as earnings come in above analyst views

By CONNOR HART

Homeowners took on smaller spring maintenance projects during the recent quarter despite continuing economic uncertainty, driving **Home Depot’s** sales higher and giving the company confidence to back its full-year outlook.

Chief Financial Officer Richard McPhail said consumers took on a variety of spring-focused do-it-yourself projects, such as re-mulching their landscaping and upgrading their patios, while professional contractors completed decking, electrical and plumbing jobs.

Still, steep interest rates and continued inflation continue to keep homeowners from taking out debt to tackle larger, monthslong renovations, he added.

“They are engaged in

smaller projects, but we haven’t yet seen that combination of factors that unlocks larger projects,” McPhail said.

Home Depot is focusing on what it can control while operating in a dynamic environment, he said. The company has made changes to its stores, evolving its staffing model and launching new technology, including artificial intelligence, to better support its business.

The company also is investing in its fulfillment network, working to provide consumers with the quickest possible delivery service and contractors with greater control over delivery timing. The company has expanded its express delivery service nationwide, meaning nearly everything in its store can be delivered in three hours or less, McPhail said.

Comparable sales, which account for store openings and

closings, grew 1.7% in the second quarter, topping the 0.9% increase that analysts polled by FactSet expected. Net sales climbed 5.7% to \$47.86 billion, also ahead of Wall Street models.

Profit increased to \$4.77 billion, or \$4.79 a share, for the three months ended Aug. 2, from \$4.55 billion, or \$4.58 a share, a year earlier. On an adjusted basis, earnings of \$4.92 a share topped analyst views for \$4.73 a share.

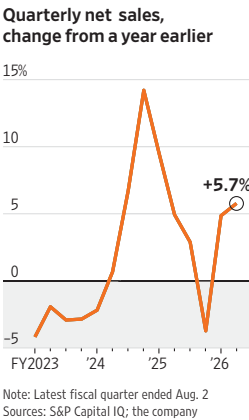
The increases exceeded the company’s expectations and came as a welcome surprise for Home Depot, which—along with other home-improvement chains—has struggled against an essentially frozen housing market for the past several years, McPhail said.

Home-improvement retailers rely on housing turnover to drive sales, since homeowners often undertake re-

Steep interest rates and inflation weigh on homeowner projects.



Comparable sales grew 1.7% in the second quarter, topping the 0.9% increase that analysts polled by FactSet expected.



modeling projects before selling or after buying a home.

There are three components of housing affordability: home prices and appreciation, income growth and mortgage rates. “We haven’t seen mortgage rates move in our favor, but we do know that incomes are growing faster than home-price appreciation,” McPhail said. “So, there is a little bit of progress there.”

The progress gave Home

Depot the confidence to reaffirm its outlook for the year, which calls for net sales to climb 2.5% to 4.5% and for comparable sales to be flat to up 2%. The company said tariff refunds would help offset higher fuel and production costs.

The quarterly results come after Home Depot last week said Ted Decker, its chief executive, would take a temporary medical leave of absence.

McPhail, alongside Ann-Marie Campbell, the senior executive vice president of U.S. stores and operations, will oversee operations during his absence.

“We wish Ted a quick recovery, and we look forward to welcoming him back within the next few months,” McPhail said. “Ann-Marie and I have worked together for more than 20 years, and we’re here to cover for Ted until he returns.”

Bill Rasmussen, Co-Founder of ESPN, Dies at 93



LAND O’ LAKES, Fla.—Bill Rasmussen, who co-founded TV sports giant ESPN after hatching the idea for the world’s first all-sports cable network with his son, died Tuesday. He was 93.

ESPN historian Mike Soltsy said Rasmussen died at his Florida home from the effects of Parkinson’s disease. Rasmussen announced in

2019 that he had been diagnosed with the degenerative disease in 2014.

“Bill was a remarkable man—a visionary and an innovator who conceived the idea of a network entirely devoted to sports,” ESPN chairman Jimmy Pitaro said in a statement.

Rasmussen and his son Scott came up with the idea

of a network carrying sports around the clock. But the Rasmussens didn’t stick around long. They were forced out after only a year by ESPN majority owner Getty Oil.

ESPN was launched on Sept. 7, 1979. George Grande welcomed viewers to the first “SportsCenter” broadcast before the network’s first live

event, a slow-pitch softball game between the Kentucky Bourbons and the Milwaukee Schlitz.

“Bottom line was Bill Rasmussen was the true purveyor of the original American dream, and he gave us all something very special that we still have today,” Grande said.

—Associated Press

American Adds More Seat-Back Screens

By ALISON SIDER

American Airlines plans to install screens at every seat as part of a cabin overhaul that includes adding more rows in first class and extra legroom in narrow-body planes.

The new interiors are part of American’s plan to attract more premium revenue and catch up to **Delta** and **United**, its more profitable rivals. Major airlines invested heavily in onboard experiences in recent years as they vie for passengers’ loyalty.

In addition to retrofitting its Airbus A319 and A320 fleets to add an extra row in first class, American has coming deliveries of Boeing 737 MAX 10 planes that will feature two dozen first-class seats and its A321neo fleet will be reconfigured to include more first-class seating. The carrier is expanding the number of extra-legroom seats.

American said it plans to boost the share of premium seating on narrow-body departures to 40% from about 25% currently. It previously announced plans to add Starlink Wi-Fi on hundreds of narrow-body planes starting next year.

American’s 140 long-haul jets already have seat-back screens. Adding them to more than 800 single-aisle jets that operate most domestic flights

will be an expensive undertaking. American hasn’t disclosed how much it plans to spend.

Adding seat-back entertainment is a reversal for an airline that less than a decade ago was ripping screens off its planes. While seat-back screens remain a stalwart feature on planes that fly lengthy international journeys, many airline executives for years were convinced they weren’t worth having on domestic fleets. Screens are bulky and heavy, adding to airlines’ fuel bills. They break and require maintenance. Carriers reasoned that most passengers brought their own phones and tablets anyway.

But Delta remained committed to screens. A few years ago, United started installing them again, reasoning that they would be a differentiator.

Airlines have realized that seat-back screens present an opportunity to show passengers personalized content. United in recent years started showing personalized ads on seat-back screens.

Screens will be included on American’s newly delivered Boeing and Airbus planes starting in 2028. Retrofits will start later that year, and American said it expects screens to be installed across its full fleet by early in the next decade.

Kelce and Publicis Team Up

By KATIE DEIGHTON

Publicis Sports is teaming up with Kansas City Chiefs tight end Travis Kelce to tackle the Wild West of college-athlete endorsements.

The **Publicis Groupe** unit unveiled Tekta, a name, image and likeness business to help brands select, structure and measure partnerships with student athletes and schools. Kelce will serve as an adviser, while the talent-management firm that represents him, 3 Arts Sports, steps in as strategic operating partner.

“We have several brands that have entered into the space that

we know have run into so many challenges,” Publicis Sports CEO Suzy Deering said. “And then we have several brands that are sitting on the sidelines, that want to enter the space, but don’t know how to navigate it.”

Corporate spending on NIL marketing has exploded since the NCAA opened the door for student-athletes to profit from their likenesses in 2021. College-level NIL spending will climb to \$4.5 billion in the 2026-27 season from \$3.6 billion last year, according to projections from NIL technology platform Opendorse. Big talent agencies like WME, whose parent sold the sports agency

160over90 to Publicis this year, have been building up their rosters of the youngest talent.

But compared with the buttoned-up, institutionalized dealmaking within the NFL and the NBA, the NIL world still looks like a scramble. While many states require NIL agent registration, enforcement is lax and there is no unified certification program, which opens the field to practically anyone. Talent often comes saddled with a high-school temperament and watchful parents. And brands face a challenging multitude of athletes, teams, schools, sports and agents looking for deals, Deering said.

Marketers often select talent based on “whether whatever agent is doing a good job,” according to Deering. Brands, she said, “have no way to then really monitor or measure the output, because they’ve had to go in with a patchwork approach, and it doesn’t always ladder to what their ultimate strategy is.”

Publicis promises to create a more structured system. Publicis Sports will hone clients’ strategies, then hand them over to Tekta to identify promising athletes and schools based on those brand objectives. Kelce, who balances his NFL career with a podcast, a beer brand, a steakhouse and a sportswear line, will advise at a high level.



Kansas City Chiefs’ Travis Kelce will serve as an adviser to Tekta, a name, image and likeness business.

Katie Deighton writes for WSJ Leadership Institute’s CMO Today.

Fraser’s Hugo Boss Stake Is Up to 48%

By MICHAEL HENNESSEY

Fraser’s Group said it now holds almost 48% of shares in **Hugo Boss**, after the acceptance period for its offer ended Thursday.

The British retail company, founded by Mike Ashley, said Tuesday that it received acceptances for 12.2 million Hugo Boss shares, or about 17.62% of the German company. This takes Fraser’s total direct stake in Hugo Boss to 33.05 million shares, or 47.89%.

In June, Fraser’s launched an offer to buy the stake in the premium fashion company it didn’t already own for 1.93 billion euros, or \$2.24 billion.

Hugo Boss’s managing and supervisory boards unanimously recommended that shareholders reject the offer, saying it undervalued the group.

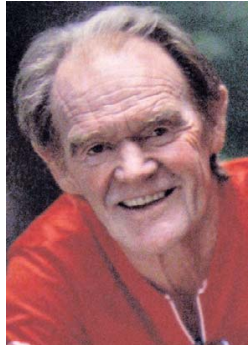
Hugo Boss acknowledged the results of the voluntary public takeover offer, and said it would maintain a constructive relationship with Fraser’s as its largest shareholder.

Fraser’s shares closed up 1.8% at 808.5 pence in London Tuesday. Hugo Boss shares edged down 0.4% to €37.96 in German trading.

In Memoriam

For more information: [wsj.com/inmemoriam](https://www.wsj.com/inmemoriam)

Brian Dyson



ATLANTA, GA. — DYSON, Brian Guillermo, 90, of Atlanta, Georgia died peacefully on August 9, 2026 following respiratory complications from pneumonia. Brian is survived by his wife of 59 years, Penny; his daughter Tania; his daughter Susie and her husband Milo Cogan, and his grandsons Finn and Will. He was an international businessman, entrepreneur, author, farmer, athlete, mentor, husband, father, grandfather and loyal friend to many.

Brian was born in 1935 in San Eduardo, Santa Fe Province, Argentina and was raised on Estancia La Susana his family’s 140-year-old family farm on the eastern Pampas, which remained centrally important to him throughout his life. He graduated from St. George’s School in Buenos Aires and earned a degree from Facultad de Ciencias Económicas at the University of Buenos Aires while performing his compulsory military service. He later attended Harvard Business School.

Brian had a long and successful career with The Coca-Cola Company that began when he joined the company in Venezuela in 1959. He worked for many years in South America, the Caribbean and Mexico and moved to Atlanta in 1978 when he

became President of Coca-Cola North America and Senior Vice President of The Coca-Cola Company. In 1983, he became President of Coca-Cola North America, with responsibility for the company’s entire North America portfolio. In 1986 he became President and Chief Executive Officer of the newly formed Coca-Cola Enterprises and brought the company public.

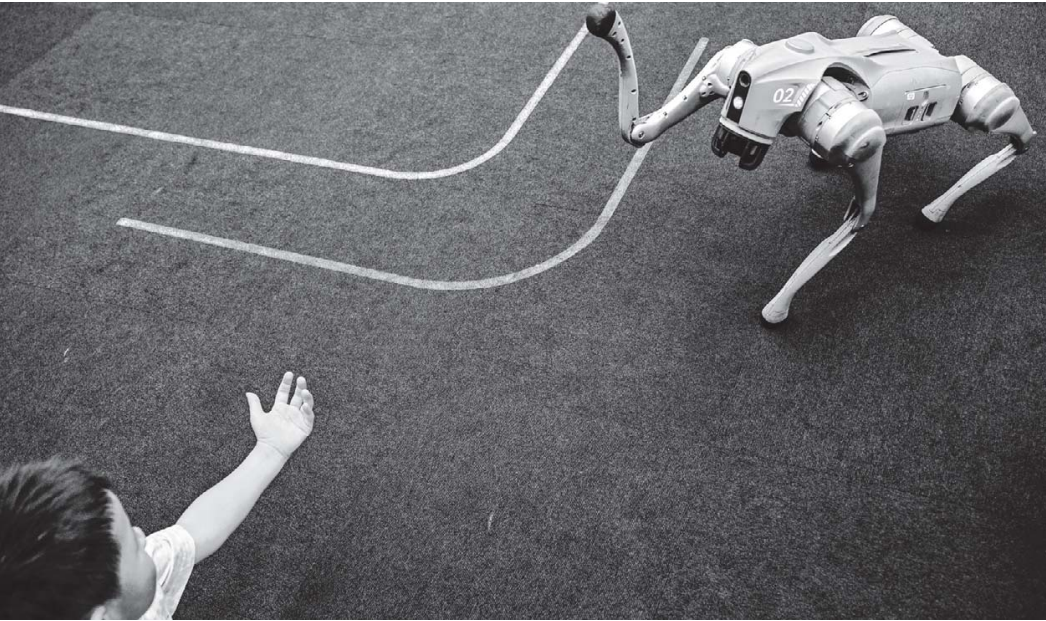
He retired in 1994 and founded Chatham International Corporation, a private business and international consulting firm. He continued as a consultant to the company, and from 2001 to 2003 he came out of retirement to accept the role of Vice Chairman and Chief Operating Officer of The Coca-Cola Company. Brian always remained active in business through Chatham International and on numerous boards, including The Latin-American Company.

A lifetime lover of sports and exercise, Brian served on the President’s Council of Fitness and was a nationally ranked squash player and triathlete, along with being an enthusiastic skier and hiker well into his 80’s. He also had a deep love of writing: he published a novel in 1996, a memoir in 2020, and many short stories in between. He was also a powerful speaker, best known for his Five Balls commencement speech from 1991 at Georgia Tech.

Brian was a citizen of the world and lived a full life characterized by consistent hard work, good luck, a focus on family and fun, plenty of exercise, good food and great wine. He made his mark on every step of his journey - San Eduardo, Buenos Aires, Rio de Janeiro, Mexico City, Atlanta, Telluride and many places in between. His upbringing in Argentina forged his independence, toughness, resilience, imagination and dimensional thinking, and his connection to the family estancia remained constant throughout his life.

A Celebration of Life is being planned for September 4, 2026 in Atlanta. In lieu of flowers, donations in Brian’s name may be made to A+ Squash (www.atlantacommunitysquash.org) and the Shepherd Center (www.shepherd.org).

TECHNOLOGY



A child interacted with a remote-controlled robot made by Unitree Robotics in Shanghai earlier this month.

Unitree IPO to Mark a First For China’s Robotics Sector

Humanoid-robotics company is set to go public in Shanghai on Wednesday

By Tracy Qu

A coming listing by humanoid-robot startup Unitree could unleash a fundraising frenzy across China’s robotics sector, with the debut serving as a key test of market appetite.

Hangzhou-based Unitree, officially known as **Yushu Technology**, is set to become the first humanoid-robotics company to trade on the mainland when it goes public on Shanghai’s Nasdaq-like STAR Market on Wednesday.

“Unitree’s IPO is significant because it provides an important A-share valuation bench-

mark for embodied AI and humanoid robotics,” Morningstar analyst Kangyuxiao Li said.

The offering has drawn huge demand and could pave the way for more IPOs.

Retail investors have rushed to secure shares, submitting 9.8 million orders—more than memory chip maker **CXMT**’s blockbuster offering drew last month.

Unitree said the retail tranche of its offering was more than 5,500 times subscribed.

Other Chinese robotics firms trade in Hong Kong, but Unitree’s listing gives mainland investors direct exposure to one of the sector’s leading companies, Li said, adding that it could influence the valuations of future robotics IPOs and private companies.

About 20% of Unitree

shares on offer have been allocated to strategic investors including AI lab DeepSeek, and the investment arms of major state-owned enterprises such as China Southern Power Grid.

As Beijing channels resources into sectors like robotics, Unitree has emerged as a homegrown champion in humanoid robots.

Backed by tech heavyweights like **Meituan** and venture-capital firm HSG, the startup captured national attention when its humanoid robots performed a folk dance during a Lunar New Year Gala broadcast last year.

Unitree has raised \$900 million after pricing shares at 150.80 yuan apiece, implying a valuation of about \$9.1 billion.

Founded in 2016, the company specializes in developing robots that walk and run like

humans. On Monday, it announced its latest creation: the “SuperMan Robot”, which can jump 2 meters (more than six feet) from a standstill and hit a peak running speed of 12.66 meters per second, both surpassing human world records.

Unitree has been steadily growing revenue and profits over the years, but its bottom line has come under pressure from ballooning research-and-development expenses.

Revenue surged 68% in the first quarter of this year, while adjusted net profit slumped more than 50% because of R&D costs.

Unitree’s profit is likely to drop further in the near term as it invests more to develop “brains” for robots, an area it hasn’t poured much money into yet, Counterpoint Research’s Wei Sun said.

Klarna’s Shares Decline as It Cuts Its Forecast

By Connor Hart

Klarna cut its outlook for a key metric as it expects softness in consumer spending to continue, particularly in Germany, its largest market by volume.

The payments company said it is searching for a new finance chief; Niclas Neglén plans to step down from the role early next year.

Shares tumbled nearly 23% on Tuesday, extending their decline to roughly 47% year to date.

Klarna expects gross merchandise volume, which measures the total monetary value of all completed purchases over its network, of \$149 billion to \$151 billion for the year, down from a prior forecast of at least \$155 billion.

Analysts polled by FactSet had expected gross merchandise volume of \$155.68 billion.

Neglén said on a call with analysts that the lower outlook includes a \$600 million impact from currency translations, as well as softer-than-expected discretionary spending among German consumers.

“This is consistent with what you have heard across German retail this season,” he said. “Our guidance simply assumes Germany stays softer, rather than recovering.”

U.S. volume assumptions remain unchanged, and the U.S. is still Klarna’s fastest-growing region, Neglén said. Overall, the company is winning over more customers and merchants. Klarna ended the

latest quarter with about 120 million active customers, up 8% from a year earlier, while its merchant network grew 54%, to about 1.21 million.

Klarna’s buy now, pay later loans continue to drive growth, while the expansion of higher-engagement products, such as longer-term installment loans and the Klarna Card, are providing a boost to transaction margin dollars, Chief Executive Sebastian Siemiatkowski said.

Transaction margin dollars, or total revenue less total transaction costs, grew 42% during the latest quarter. The company set its full-year forecast for transaction margin dollars to between \$1.62 billion and \$1.65 billion, compared with a prior outlook of at least \$1.61 billion.

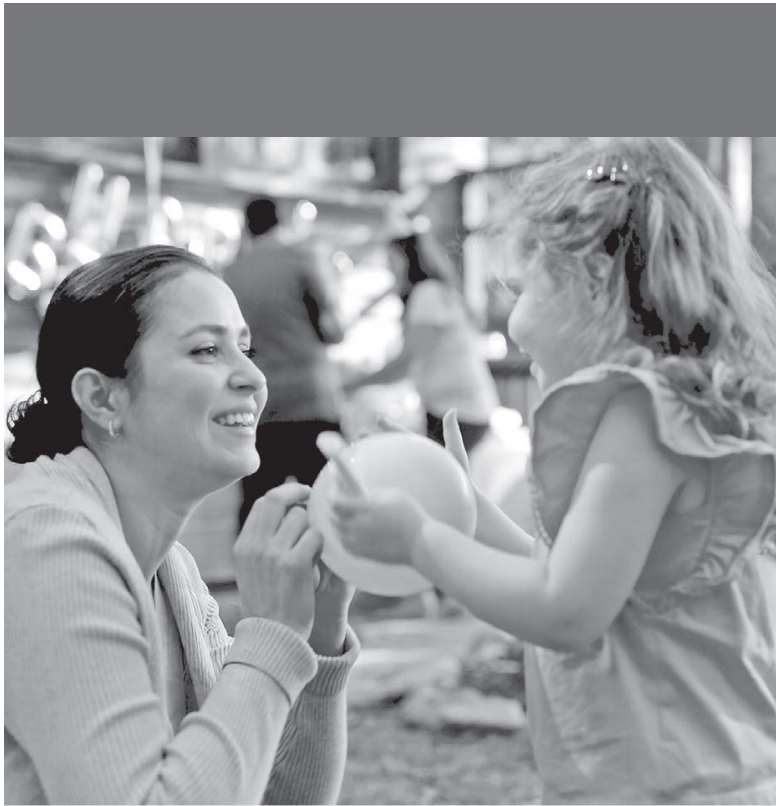
For its three months ended June 30, Klarna swung to a profit of \$9 million from a loss of \$53 million a year earlier. On a per-share basis, quarterly earnings of 1 cent came in ahead of analyst expectations for a quarterly loss of 5 cents.

Total revenue jumped 27% to \$1.04 billion, ahead of Wall Street models for \$996.5 million. Gross merchandise volume climbed 18% to \$36.65 billion.

Klarna said it expects revenue of \$940 million to \$980 million in the current quarter, below Wall Street models for \$1.11 billion.

Klarna also on Tuesday said its chief marketing officer, David Sandström, plans to step down early next year.

The U.S. is still Klarna’s fastest-growing region, CFO Niclas Neglén said.



The sooner you recognize the signs of autism, the sooner you can help.

ScreenforAutism.org



Baidu’s Profit and Revenue Falter Amid Its Pivot to AI

By Tracy Qu

Baidu’s financial performance continued to deteriorate in the second quarter as the Chinese internet titan works to remake itself into an artificial-intelligence company.

The Beijing company, once considered China’s answer to Google, has been pouring money into AI, autonomous driving and chip design even as its bread-and-butter advertising business has continued to shrink. The investments have been slow to show results: Net profit more than halved for the third consecutive quarter, while revenue declined for more than a year.

Baidu reported a 68% drop in second-quarter net profit to 2.32 billion yuan, equivalent to \$344.2 million. Revenue

came to 31.32 billion yuan, down 4.2% from a year earlier.

The soft showing comes as Baidu’s Hong Kong-listed shares have shed more than one-fifth of their value this year, underperforming the broader market as the company’s legacy business continued to drag its outlook. Investors, meanwhile, are keeping a close eye on the listing progress of its chip unit, Kunlunxin, expected in Hong Kong within this year.

Baidu is pinning its hopes on its core AI-powered business, which the company said continued to account for half of general business revenue.

Fitch Ratings last week downgraded its long-term issuer default rating on Baidu to A-minus from A, citing the structural decline in the com-

pany’s search ad business. It said it expects emerging AI search and competing chatbots to weigh on Baidu’s search business monetization.

Baidu faces stiff competition in China from tech titans such as **Alibaba** and **ByteDance**, as well as startups such as DeepSeek and Moonshot AI in the AI sector.

For the three months ended June, Baidu’s core AI-related business generated 25% revenue growth year over year, though the figure declined 8% from the prior quarter.

Our AI-powered business is now “firmly established as the core of Baidu,” said Robin Li, the company’s co-founder and chief executive. “We are strengthening the foundations for our next phase of AI-driven growth.”

Competition, Costs Weigh On Xiaomi

By Jiahui Huang

Xiaomi reported another soft quarter as higher memory costs and intense competition weighed on its bottom line, and it remained unclear whether its fast-growing electric-vehicle business can translate sales growth into sustainable profitability.

The results highlight the headwinds Xiaomi faces, with pricier memory chips still pressuring smartphone margins, and reduced consumer subsidies adding to already subdued demand in China’s consumer-electronics market.

Hurt by higher component costs and weaker sales, overall gross margin fell to 19.8% in the three months ended June from 22.5% a year earlier, the Beijing company said.

Net profit dropped 20.5% to 9.46 billion yuan, equivalent to \$1.40 billion, while revenue fell 6.1% to 108.92 billion yuan.

Smartphone revenue fell 7.5% to 42.1 billion yuan. Shipments slumped 26.5% to 31.2 million units, partly because it reduced shipments of mid- and low-end models. Weaker



Smartphone revenue fell 7.5% to 42.1 billion yuan.

global demand amid rising component costs was also a factor. A shift toward more expensive models helped cushion the decline, as average selling prices jumped 26% to a record 1,351 yuan.

The premiumization strategy wasn’t able to fully offset higher component costs. Xiaomi’s smartphone gross margin fell to 8.5% from 11.5% a year earlier and 10.1% in the first quarter.

Sales in Xiaomi’s Internet-

of-Things and lifestyle products segment, which includes vacuums and other appliances, dropped 19% to 31.3 billion yuan on lower revenue in the mainland market resulting from reduced national subsidies, the company said. The division’s gross margin fell to 20.1% from 22.5% a year earlier.

The EV business bucked the trend. Revenue climbed 16% to 23.9 billion yuan as higher vehicle deliveries offset weaker selling prices.

THE PROPERTY REPORT

New Law Gives Factory-Built Homes Lift

Legislation makes them cheaper and easier to build, but obstacles remain

By Lily Belle Poling

Homes built in factories have long been stuck at the fringe of the U.S. housing market. Now, supporters are cheering a new federal housing law that should make it easier and cheaper to build modular and manufactured homes.

Modular homes are built in pieces at a factory and assembled on site, and they often appear quite similar to traditional stick-built houses. Manufactured homes—often referred to as mobile homes or trailers—are built entirely at a factory and shipped whole to their destination.

The new law aims to slash some of the red tape associated with both these alternative housing types.

One provision, which removes the requirement that manufactured homes come with the permanent steel frame used for transporting the houses, means that they can be built for roughly \$5,000 to \$10,000 less than before, according to Andrew Justus, a housing policy researcher at the Niskanen Center.

For some homes, those savings to home buyers could equal more than 10% of the original cost.

Other provisions in the bill direct the Department of Housing and Urban Development, or HUD, to identify financing barriers to modular housing and study the utility of implementing a federal standardized building code for modular housing, similar to what exists for manufactured homes.

Modular construction often receives outsize attention compared with its relatively small footprint because some housing analysts suggest that its mass production could offer a solution to America's housing crisis. The new law provides a glimmer of hope that the federal government was moving to streamline that production.

“America’s really, really behind, and this is a huge, huge opportunity in America, especially with the roughly around seven million home-unit shortage that the country faces right now,” said Mark Turnbull, the founder and chief executive of St. Louis-based Module Building Systems.

According to U.S. Census Bureau data, 102,700 units of manufactured housing were shipped last year, and 37,528



One provision of the new federal housing law means that factory-manufactured homes can be built for \$5,000 to \$10,000 less than before.



modular units were completed in 2024.

Modular housing tends to look quite similar to traditionally built homes. But some buyers remain wary about living in a house that was built in a factory, especially because they often confuse modular homes with the manufactured ones more commonly called mobile homes.

“I would’ve never guessed it was modular until I got inside,” said Tom Schmitt, a 44-year old appraiser who has lived in a modular home in Pennsylvania for 16 years. “It was a nice big house, had some nice amenities and stuff with it, so that was really the appeal.”

Schmitt only realized the house was modular after go-

ing down to the basement, where he could look up and see where the modules of the house were connected together.

Still, even with momentum from the new housing law, many industry leaders say this federal assistance won’t go far enough. National housing policy can only do so much in a country made up of a patchwork of disjointed state and local building regulations.

The law doesn’t create a national building standard for modular construction, the type of overhaul experts say is necessary for the U.S. to scale factory-built housing. Instead, it directs HUD only to study the idea, with no deadline or requirement that a

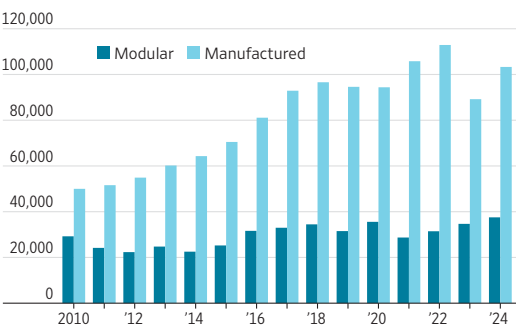
standard actually result.

Countries like Sweden and Japan have succeeded at producing modular housing at scale, largely thanks to standardized building codes that allow factories to run at high volume without customizing units for every town boundary.

In contrast, the U.S. off-site construction market remains stunted, with its national market share flattening at just 3% of completions.

“Every city, every municipality has a different code. That fragmentation prevents the scale economics from taking off,” said Michael Tillman, CEO and co-founder of real-estate developer PTM Partners, which works on modular projects. “You look at Ger-

Factory-built housing completions



Note: Modular homes completed per year, and manufactured homes shipped per year
Source: U.S. Census Bureau

many, look at Japan, look at Sweden—they have a national code, and that national code standard lets you actually run the modular factory at volume because what you build in Kyoto is approved in Osaka.”

In the apartment business, the largest operator is experimenting with modular projects. Greystar Real Estate Partners is developing apartment buildings with modular construction in Pennsylvania and Massachusetts.

And alternative construction methods, from modular to 3-D printing, have gained some traction with victims of hurricanes, wildfires or other disasters, from California to the Southeast. Some of these displaced homeowners can be desperate to rebuild, but their insurance payouts are often well short of what is needed to cover traditional construc-

tion costs.

But developers can still run into challenges financing modular housing. Traditional bank loans only pay out money step by step as a house is built on site, while modular factories need a large portion of the cash upfront just to buy materials and start assembly. On top of that, because these homes are less common, cautious banks don’t know how to price them and often treat them as higher risk.

The new law includes a provision meant to resolve some of those financing hurdles. The act directs HUD to identify barriers to financing programs for modular housing.

“My read of it is it’s really a study and rule-making directive. It’s not a policy change,” Tillman said. “I think it’s signal, not substance.”

Goldman Sachs to Buy Real-Estate Investment Firm

By Gareth Vipers

Goldman Sachs said it had reached an agreement to buy private real-estate investment firm LCN Capital Partners in a deal worth up to \$410 million.

LCN, which manages roughly \$3 billion in assets, is a commercial real-estate investor that specializes in sale-leaseback transactions.

Under sale-leasebacks, LCN buys properties from other companies and rents it right

back to them, with the tenant paying taxes and other expenses.

Goldman will pay about \$260 million upfront for the firm, with an additional \$150 million contingent on its future performance, the company said Tuesday. Roughly 80% of the total consideration will be paid in stock.

The deal is expected to close by the end of the year.

LCN targets investments ranging from \$20 million to

\$400 million across North America and Europe, according to its website. The company focuses on properties that include industrial, office, retail and special purposes.

The New York-based firm was co-founded in 2011 by Ed LaPuma, who previously ran W.P. Carey’s international arm.

The deal sees Goldman targeting a fast-growing segment of the real-estate market that has drawn asset managers

seeking a blend of property ownership and corporate credit. In a net-lease investment, the investor owns the property while the tenant pays rent and typically covers expenses such as taxes, insurance and maintenance.

“LCN’s differentiated platform is highly attractive for our asset and wealth-management clients who want diversified sources of returns and offers corporate clients innovative capital solutions,” Gold-

man Chief Executive David Solomon said.

The deal marks the Wall Street bank’s second acquisition in a week, after agreeing to pay up to \$2.25 billion to buy NEOS Investments, a provider of actively managed exchange-traded funds with \$30 billion in assets.

Goldman also acquired active ETF manager Innovator Capital Management in a deal valued at about \$2 billion earlier this year.



Goldman CEO David Solomon

Read the Paper You Love on Any Device

Access your daily paper anytime, anywhere with our Print Edition app or website. Enjoy convenient access to full-page articles for easy reading and more.

WSJ subscribers have exclusive access. If you haven't yet, activate your digital account today at [WSJ.com/connect](https://www.wsj.com/connect) to start exploring.

DOWNLOAD THE APP

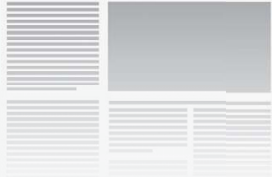
[WSJ.com/printapp](https://www.wsj.com/printapp)



VISIT ON DESKTOP

[WSJ.com/ereader](https://www.wsj.com/ereader)





THE WALL STREET JOURNAL.

©2025 Dow Jones & Co. Inc. All rights reserved. 60J0219

Futures Contracts

Metal & Petroleum Futures							
	Contract				Open interest		
	Open	High	hi lo	Low	Settle	Chg	Open interest
Copper-High (CMX) -25,000 lbs.; \$ per lb.							
Aug	6.5490	6.5490			6.4825	-0.1215	2,102
Dec	6.7075	6.7160			6.5900	-0.1260	123,083
Gold (CMX) -100 troy oz.; \$ per troy oz.							
Aug	4415.20	4434.10		4330.70	4366.00	-51.80	364
Sept	4423.00	4443.40		4340.40	4372.20	-52.20	5,266
Oct	4439.00	4459.30		4352.00	4387.80	-52.30	53,133
Nov	4460.60	4464.40		4376.80	4405.00	-52.70	644
Dec	4473.40	4493.10		4383.30	4420.60	-53.10	313,060
Jan'27	4444.00	4444.00		4432.30	4439.80	-53.30	409
Palladium (NYM) - 50 troy oz.; \$ per troy oz.							
Aug	1370.00	1378.00	▲	1363.50	1291.20	-42.90	3
Sept	1331.00	1338.50		1285.50	1293.60	-43.30	10,535
Platinum (NYM) -50 troy oz.; \$ per troy oz.							
Aug	1612.10	1632.90	▼	1612.10	1726.40	-55.10	
Oct	1784.10	1793.40		1717.70	1733.80	-55.10	47,768
Silver (CMX) -5,000 troy oz.; \$ per troy oz.							
Aug	65.250	65.250		63.605	63.941	-2.180	143
Sept	65.895	66.685		63.270	64.037	-2.194	56,097
Crude Oil, Light Sweet (NYM) -1,000 bbls.; \$ per bbl.							
Sept	84.98	85.94		84.57	84.94	0.44	73,006
Oct	84.10	85.07		83.77	84.06	0.32	262,972
Nov	82.79	83.63		82.33	82.72	0.31	154,805
Dec	80.93	82.03		80.69	81.20	0.37	209,143
Dec'27	74.67	75.30		74.35	74.80	0.30	136,163
Jan	72.04	72.55		71.78	72.04	0.19	151,803
NY Harbor ULSD (NYM) -42,000 gal.; \$ per gal.							
Sept	4.4400	4.4924	▲	4.3955	4.4501	.0130	37,529
Oct	4.3057	4.3555	▲	4.2701	4.3228	.0156	58,437
Gasoline-NY RBOB (NYM) -42,000 gal.; \$ per gal.							
Sept	3.2839	3.3272		3.2630	3.3017	.0316	50,784
Oct	2.9905	3.0285		2.9750	3.0081	.0305	79,503
Natural Gas (NYM) -10,000 MMBtu; \$ per MMBtu.							
Sept	2.702	2.796		2.692	2.776	.086	139,720
Oct	2.743	2.822		2.722	2.803	.074	242,907
Nov	2.941	3.009		2.915	2.990	.069	212,602
Dec	3.474	3.568		3.474	3.542	.054	149,909

Bonds | wsj.com/market-data/bonds/benchmarks

Tracking Bond Benchmarks

Return on investment and spreads over Treasurys and/or yields paid to investors compared with 52-week highs and lows for different types of bonds

Total return close		YTD total return (%)		Index		Yield (%)			Total return close		YTD total return (%)		Index		Yield (%)		
						Latest Low High									Latest Low High		
Broad Market Bloomberg Fixed Income Indices																	
2241.06	-0.3			U.S. Aggregate	4,940	4,160	5,000										
U.S. Corporate Indexes Bloomberg Fixed Income Indices																	
3422.02	-0.7			U.S. Corporate	5,450	4,680	5,470										
3395.89		0.5		Intermediate	5,120	4,330	5,180										
4310.12	-3.1			Long term	6,210	5,370	6,230										
6333.63	-2.1			Double-A-rated	5,370	4,410	5,370										
9426.26	-0.2			Triple-B-rated	5,610	4,860	5,640										
High Yield Bonds ICE BofA																	
631.55		2.3		High Yield Constrained	7,196	6,489	7,668										
631.31		0.5		Triple-C-rated	13,944	11,438	14,184										
4203.77		2.0		High Yield 100	6,317	5,828	7,136										
550.76		2.6		Global High Yield Constrained	6,917	6,317	7,438										
402.93		2.0		Europe High Yield Constrained	5,559	4,820	6,198										
U.S. Agency Bloomberg Fixed Income Indices																	
1971.83		0.6		U.S. Agency	4,530	3,830	4,650										
1751.75		0.9		10-20 years	4,450	3,750	4,590										
3650.57	-1.7			20-plus years	5,370	4,580	5,380										
Mortgage-Backed Bloomberg Fixed Income Indices																	
2253.11		0.2		Mortgage-Backed	5,230	4,380	5,300										
2216.04		0.5		Ginnie Mae (GNMA)	5,280	4,420	5,340										
1331.87		0.1		Fannie mae (FNMA)	5,220	4,370	5,290										
2042.88	-0.3			Freddie Mac (FHLMC)	5,060	4,160	5,170										
619.90		0.3		Muni Master	3,645	3,037	3,682										
439.97	-0.5			7-12 year	3,417	2,596	3,455										
500.83		0.2		12-22 year	4,233	3,608	4,533										
471.92		1.1		22-plus year	4,785	4,432	5,050										
Global Government J.P. Morgan'																	
552.64	-1.1			Global Government	4,307	3,500	4,307										
844.70		0.4		Canada	3,684	3,070	3,699										
362.19	-0.8			EMU\$	3,771	3,117	3,771										
651.19	-1.0			France	4,105	3,350	4,105										
460.45	-0.8			Germany	3,360	2,650	3,360										
242.65	-4.2			Japan	3,176	2,090	3,176										
503.08	-0.7			Netherlands	3,476	2,860	3,476										
807.20	-1.7			U.K.	5,333	4,560	5,381										

BIGGEST 1,000 STOCKS

How to Read the Stock Tables

The following explanations apply to NYSE, NYSE Arca, NYSE American and Nasdaq Stock Market listed securities. Prices are consolidated from trades reported by various market centers, including securities exchanges, Finra, electronic communications networks and other broker-dealers. The list comprises the 1,000 largest companies based on market capitalization.

Underlined quotations are those stocks with large changes in volume compared with the issue's average trading volume.

Boldfaced quotations highlight those issues whose price changed by 5% or more if their previous closing price was \$2 or higher.

Footnotes:
1-New 52-week high; 1-New 52-week low; **dd**-indicates loss in the most recent four quarters.

Stock tables reflect composite regular trading as of 4 p.m. ET and changes in the official closing quotation as of 4 p.m. ET the previous day.

Tuesday, August 18, 2026			Net Chg				
Stock	Sym	Close	Chg	Stock	Sym	Close	Chg
A B C							
AES	AES	14.74	-0.02	AppliedOptoelect	AAOI	131.41	-23.48
Aflac	AFI	121.73	-0.75	AppLovin	APP	307.26	-4.72
AGNC Invnt	AGNC	10.92	-0.03	ArvinMeritor	ARV	127.11	-0.90
APA	APA	42.37	0.79	Armark	ARMK	60.50	-1.30
AES Tech	ASX	36.41	-3.50	ArcoMittal	ACM	72.00	-1.80
ASML	ASML	180.28	-80.14	ADM	ADM	82.45	-1.16
AST Space	ASTS	60.77	-4.07	AresMgmt	ARES	140.31	-1.03
AT&T	ATI	24.90	0.22	argenx	ARGX	99.29	0.51
Abbott Labs	ABT	112.68	2.21	ArcaNetworks	ANET	127.11	-0.90
Abvie	ABV	259.82	8.59	Arm	ARM	253.32	-18.11
Abvax	ABVX	118.94	-1.79	ArrowElec	ARW	213.51	-6.85
Accurate	ACN	17.93	2.95	Aroclor	ARW	87.90	-0.80
Acuity	AYI	345.59	-14.81	Arks	ARKS	56.56	-1.04
Adobe	ADBE	263.14	1.90	AscendisPharma	ASND	248.85	1.45
AdoDrainageSys	WMS	144.10	-3.85	Assurant	AIZ	280.07	-0.44
AdveEnergyInds	AEIS	314.47	-34.20	AsterisLabs	ALAB	304.48	-16.73
AdvoMedDevices	AMD	484.39	-21.61	Astrazeneca	AZN	160.10	3.21
Aegion	AEG	9.41	-0.03	Atlasian	TEO	170.01	4.66
AerCap	AER	149.62	-0.83	AtmosEnergy	ATO	16.53	0.61
AffiliatedMrgs	AMR	366.57	-7.83	Auroresalmov	AUR	6.15	-0.82
Affirma	AFRM	73.56	-0.96	Autodesk	ADSK	246.79	5.15
AgilentTech	A	348.44	-0.21	ADP	ADP	269.31	3.20
AgioPharm	AGIO	186.94	-1.84	AutoZone	AZ	307.26	53.90
AirProducts	APD	303.23	2.37	AveryDenison	AVY	127.11	-0.90
Airbnb	ABNB	183.25	3.96	AxonEnterprise	AXON	61.89	-0.58
AkamaiTech	AKAM	115.20	-0.77	AxomeeTherap	AXSM	219.65	15.53
AlamosGold	AGI	32.90	-1.09	BCE	BCE	23.36	0.01
Albermarle	ALB	132.71	-1.28	BGP Group	BGP	89.09	0.72
Alcoa	AA	50.02	-0.69	BJSWholesale	BJ	92.69	-1.47
Alcon	ALC	73.55	-0.06	BP	BP	43.41	0.56
Alibaba	BABA	128.15	3.44	BKV Tech	BKV	165.01	-6.26
AlightTech	ALIG	167.91	-3.25	BKR	BKR	61.67	-0.49
Allergan	ALLG	159.83	-2.27	BBVA	BBVA	28.79	-0.01
AlliantEnergy	LNT	69.98	-0.37	BancoBadesco	BBSA	30.1	0.01
AllisonTransm	ALSN	125.45	-1.66	Bancorp	BAN	127.11	-0.90
Allstate	ALL	261.15	-3.85	BancSanBris	BSBR	5.40	-0.11
AllyFinancial	ALLY	43.63	0.02	BancoSantander	SAN	14.24	-0.35
AlnylamPharm	ALNY	226.61	4.01	BankofAmerica	BAC	64.23	3.61
Alphabet A	GOOG	34.20	0.20	BankofMontreal	BMO	18.257	-0.21
Alphabet C	GOOG	34.28	-0.17	BankNY Mellon	BNY	163.93	-0.34
Altria	MO	65.19	1.23	BankNovoScotia	BNS	90.13	-1.22
Amazoncom	AMZN	259.45	-1.86	Bard	B	27.43	-0.43
Amazon	AMZN	259.45	-1.86	BarrickMining	B	42.09	-0.43
Amcor	AMCR	45.86	0.33	BaxterIntl	BAX	25.94	0.03
Amers	AS	33.62	-0.05	BedfordDickson	BDX	108.77	-1.32
Ameren	AEE	109.67	0.20	BendingSystms	BSY	38.75	0.25
AmericaMovil	AMX	23.63	-0.05	BentleySystems	BS	34.64	-0.10
AmeriAirlines	AAL	14.05	-0.38	BeOneMed	ON	36.15	0.64
AEP	AEP	126.35	-1.93	Berkley	WKS	70.17	0.42
AmerExpress	AXP	338.52	2.31	BerkHathaway	BKRK	50.296	4.73
AmerPharm	APF	145.59	-1.01	BerkHathaway	BRKA	7536006200.00	
AmerHlthCareRET	AHR	54.42	-0.26	BestBuy	BBY	87.27	1.83
AmHomesREIT	AMH	33.67	0.04	Bio-Techne	TEC	72.22	-0.17
AIG	AIG	76.12	0.31	Bio-RadLab A	BIO	35.269	-2.54
AmerTowerREIT	AMT	172.33	0.10	Biogen	BI	212.55	3.40
AmerWaterWorks	AWK	136.27	1.92	Biopharm	BI	66.95	0.35
AmerEnergy	AME	92.85	-1.45	BioTech	BNTX	92.75	1.15
Ametel	AME	249.99	-4.18	BitMinerMining	BLMR	18.28	-0.45
Amgen	AMGN	425.28	5.90	BlackRock	BLK	1154.35	7.24
AmkorTech	AMTK	54.84	-6.46	Blackstone	BS	104.59	0.02
Amphenol	APH	195.7	-11.30	Block	XYZ	73.47	-0.77
Amrize	AMRZ	44.63	-0.99	BloomEnergy	BE	200.01	-23.15
AnalogsDev	ADI	376.63	-13.65	BluebirdCapital	OWL	11.59	-0.07
AnalystGoldASH	AG	97.85	-1.45	Boeing	B	223.66	-2.83
Am Inbev	AB	124.73	-0.23	Booking	BKNG	208.25	3.49
AnnalyCap	NLY	23.40	0.03	BorgWarner	BWA	67.95	-1.95
AntaresMidstream	AM	22.69	0.54	BostonSci	BSX	50.47	-0.96
AntaresResources	AR	37.04	0.64	BridgBioPharma	BIO	82.98	3.90
Aon	AON	343.20	-0.02	BrightSpring	BTSG	55.90	-0.88
API Group	APG	42.78	-1.94	Brinkert	BRK	238.65	-6.04
ApogeeTherap	APGT	132.57	-0.42	BristolMyers	MY	66.05	1.42
ApogeeBioMgmt	APB	133.85	-0.49	BroadbandAmob	BVI	56.38	0.05
Apple	AAPL	310.03	4.44	BritishAmc	ATG	38.00	-12.43
AppliedTechInd	ATI	35.435	-4.43	BroadridgeFinl	BR	169.86	2.02
ApplMaterials	AMAT	514.33	-20.98				

Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg
ComcastSystems	FIX	179.88	-142.10	Eriendormity	ERIE	256.95	9.20	Haleon	HLN	9.72	0.14
SABESP	SBS	4.55	-0.03	EssentialAir	WTRG	40.35	0.55	Halliburton	HAL	34.66	-0.07
Compass	COMP	12.30	-0.09	EssexProp	ESS	283.71	0.05	HolzymeTherap	HALO	104.89	1.89
ConocoPhillips	CP	129.72	0.16	EsteelAurore	EL	84.27	-0.07	HarmonyGold	HMY	19.28	-0.75
ConEd	ED	109.16	2.17	Eversource	EVER	298.66	-4.52	Hartfordins	HMF	138.96	2.25
ConstBrands A	STZ	131.00	0.44	Everest	EG	367.38	2.23	Hasbro	HAS	93.99	-1.06
ConstellationEne	CEC	266.83	-10.94	Evergy	EVRG	83.42	-0.19	HealthPeakPro	HOC	20.44	-1.42
Cooper	COO	75.76	-0.46	EverNorth	ENR	117.48	-0.57	HiclimMining	ITW	284.66	2.82
Copart	CPT	31.51	-0.19	EversourceEner	ES	72.22	0.31	Heico	HEI	36.01	-0.27
CorceptTherap	CORT	118.10	0.93	Exelkis	EXEL	52.12	0.80	HeilaCo	HEI	268.78	-1.82
CorebridgeFin	CRBG	33.12	-0.06	Exelon	EXC	45.31	-0.26	HenrySchein	HSIC	89.23	-0.29
CoreWeave	CRWV	93.17	-12.83	ExpandEnergy	EXP	95.45	1.28	Hershey	HSY	182.45	2.39
Corning	GLW	159.90	-13.31	Expedia	EXPE	321.42	2.92	HewlettPackard	HPE	55.69	-1.92
Corpay	CPAY	406.82	-0.80	ExpeditorsInt	EXPD	185.95	-2.32	Hilti	HT	327.74	1.62
Corteva	CTVA	77.91	1.90	ExoatmoMobil	COM	165.56	4.10	HimeDepot	HIM	237.49	-0.39
Costar	COSI	31.38	0.03	ExoatmoMobil	COM	165.56	4.10	HondaMotor	HMC	31.95	0.05
Costco	COST	961.35	7.85	F5	FFIV	393.62	-1.92	HoneywellAero	HON	160.76	-0.80
Coupage	CPNG	15.58	-0.14	FTAI Aviation	FTAI	211.50	-15.93	Honeywell	HON	227.71	-1.74
Crane	CR	21.94	-3.61	Fabrinet	FN	482.59	-115.99	HormelFoods	HRL	24.34	0.32
Credicorp	CAP	368.44	-9.44	FactSet	FIS	285.41	8.65	DR Horton	DHI	145.68	-2.66
CredoTech	CRDO	245.97	-36.85	Faistac	FICO	108.12	13.71	HST Hotels	HST	22.92	0.11
CrownStirling	CRWD	212.92	-0.98	Fastera	FAST	51.27	0.04	HowmetRevol	HWM	292.65	2.52
CrownCastle	CCOI	74.03	-0.41	FederalRealty	FRT	117.48	-0.57	Hubbell	HUBB	483.86	2.04
CrownHoldings	CRH	116.61	0.62	FedEx	FDX	328.38	-3.11	HuhtSpot	HUS	226.24	11.07
Cullen/Frost	CFR	167.31	-0.93	FedExFreight	FDX	139.23	-4.59	HudbayMinerals	HBM	26.41	-1.03
Cummins	CM	620.81	-20.35	FergusonEnts	FERG	244.47	-0.51	Humana	HUM	38.20	-2.01
Curtiss-Wright	CW	69.65	-0.40	Ferrari	RACE	412.44	-4.66	JHunt	JHNT	274.19	-9.18
Cytokinetics	CYTK	76.10	0.23	Ferrovial	FER	63.40	-0.52	HuntingtonBchs	HBAN	17.66	-0.29
D E F				FidNatFinl	FNF	48.47	-0.66	Huntingingals	HUT	10.63	-0.73
DTE Energy	DTE	140.21	-0.94	FifthThirdBank	FTIB	57.29	-0.31	HyattHotels	H	10.78	-7.25
DT Midstream	DTM	135.71	0.71	Figma	FIG	26.01	1.02	ICIICI Bank	IBN	29.16	-0.23
Darden	DHR	199.58	-3.05	FirstCitizBschA	FCBA	220.7	-6.51	IDEX	IEIX	234.63	6.23
Darwin	DR	213.86	-1.62	FirstHorizon	FHN	25.82	-0.20	IdeoxLab	IDXX	553.32	7.23
Darlingdng	DRD	68.34	-0.67	FirstMajorSilver	AG	18.48	-1.09	IES Holdings	IESC	738.79	-95.17
Datagoo	DDOG	246.00	-1.32	FirstSolar	FSR	220.01	2.16	ING Groep	ING	35.49	-0.22
DaVita	DAV	177.91	1.21	FordHealth	FIS	47.26	-0.16	InscoSteelWks	INS	26.05	-2.32
DeckersOutdoor	DECK	89.09	-1.34	Fiserv	FISV	51.72	-0.49	Invesco	INV	32.38	-0.19
Deere	DE	588.72	-11.20	FlexBelov	FVB	238.51	-0.05	IOVIA	IOV	240.03	-1.21
DELL	DELL	488.65	-11.16	Flex	FLEX	120.24	-9.76	IREN	IREN	42.00	-1.21
DeLcBio	DAL	33.80	-1.89	Fluor	FLU	78.79	-2.18	ITT	ITT	216.7	-0.21
DeutschBank	DB	38.09	-0.43	Fluorite	FLTS	92.89	-3.50	IAG	IAG	18.19	-0.86
DevonEnergy	DVN	47.83	0.26	FEMSA	FMF	117.31	0.03	IGT	IGT	63.63	-0.28
DexCom	DXCM	89.60	0.84	FederalRes	FED	117.48	-0.57	Icon	ICN	167.05	-2.40
Diageo	DGE	90.98	-0.84	Perpetual	PPP	117.48	-0.57	Ilumina	ILMN	188.29	-4.85
DiabetesMedkEn	FANG	210.02	3.73	Fortinet	FTNT	158.01	2.16	Immuno	IMO	135.70	0.82
Dicks	DKS	191.52	-4.72	Fortis	FTS	56.47	0.03	Incyte	INCY	123.47	-0.03
DigitalRealty	DLR	195.25	-0.98	Fortive	FTV	59.45	-1.19	Infy	INFY	11.83	0.21
DigitalOcean	DOCN	125.25	-10.03	FoxA	FOXA	69.03	-0.16	IngersollRand	IR	80.77	-1.54
Disney	DIS	103.95	0.45	FoxB	FOXB	61.23	-0.26	Insmid	INS	22.46	-0.83
Docusign	DOCU	60.01	0.19	Fraxco-Nevada	FRX	232.96	-5.60	Intact	PODD	140.83	3.33
DollarGeneral	DG	120.84	0.76	FranklinTemp	BEN	33.99	-0.20	Intel	INTL	96.69	-0.89
DollarTree	DLTR	130.48	0.94	FreedomHolding	FRH	160.80	10.33	IntuitiveBkrs	IBKR	90.56	-3.77
DominionEner	D	68.61	-0.16	FreemoreMcCM	FCM	66.32	-2.06	ICE	ICE	156.18	-0.87
Dominor	DM	33.25	-0.28	FreemoreMedCare	FMC	23.56	0.06	IconContHlths	IGH	139.58	-0.87
Dominion	DCI	93.97	-0.71	Frontline	FRO	43.50	1.32	IBM	IBM	82.60	-3.82
DorDash	DASH	216.35	3.63	Futu	FUTU	108.58	-9.92	IFF	IFF	21.17	0.03
Dover	DOW	20.36	-0.34					IFF	IFF	21.17	0.03
DrReddy'slab	DRD	12.15	0.04					Intuit	INTU	50.41	14.81
DriftKings	DRKG	24.04	-1.26	GE Aerospace	GE	375.09	5.66	IntuitiveSurgical	ISRG	391.18	0.85
DrillTech	DTX	122.09	-0.94	GE HealthCare	GEHC	72.00	-0.16	InvitativHoms	INVH	29.72	0.03
DrillTech	DTX	122.09	-0.94	GE Vernova	GEV	145.83	-74.47	IonisPharm	IONP	96.6	
Dynalysins	DY	47.14	-18.19	GLGenLifeScience	GFL	40.47	-0.05	IonQ	IONQ	94.42	-2.72
Dynatrace	DT	49.26	1.65	GSK	GSK	51.15	0.87	IronMountain	IRM	126.67	-0.23
EMCOR	EME	824.53	-38.01	Gallagher	AGI	248.36	3.09	IteaUnibanco	ITUB	27.7	-0.09
ENI	E	55.93	-0.10	GamingLleisure	GLI	42.08	-0.17	J K L			
EGS Rscs	EOG	148.70	2.55	Garmin	GRMN	299.44	-10.06	JBS	JBS	13.66	0.22
EGM	EGM	32.14	0.13	Gartner	IT	182.07	2.88	JPMorganChas	JPM	28.82	0.32
EastWestBnk	EWBC	135.07	-0.45	Gen Digital	GEN	97.64	-0.21	JPMorganChas	JPAC	36.25	2.29
EastGroup	ETN	413.30	-24.07	GeneralCm	GNRC	21.12	1.38	Jabil	JBL	33.62	3.25
Eaton	EBAY	102.27	1.33	GeneralDmils	GIS	38.08	0.10	JackHenry	JKHY	158.12	-31.27
EchoStar	ECH	90.00	-2.51	GeneralMotors	GM	83.71	-0.66	JacobsSons	J	142.86	0.77
Ecolab	ECL	280.00	4.16	Genmab	GNAB	32.96	0.12	JamesHardie	JHX	29.9	-1.14
Electronet	ELC	17.68	0.01	GenuePartners	GPT	131.89	-0.63	JazzPharm	JAZZ	253.07	4.71
EdwardsLife	EW	90.17	0.18	GileadPharm	GILD	97.64	-0.21	JetPac	JETP	1.8	-0.1
EdwardsLife	EW	90.17	0.18	GileadSciences	GILD	14.34	-4.52	JohnsonFrog	FRG	91.60	-3.04
ElancoAnimal	ELAN	23.64	0.13	Glaucoks	GKOS	194.15	-1.47	J&J	JNJ	271.14	-8.74
ElbitSystems	ESLT	75.71	12.87	GlobalPayments	GPON	80.37	0.01	JohnsonControls	JCI	149.68	-4.24
EldoradoGold	EGO	38.71	-1.62	GlobalFoundries	GFS	49.09	-3.54	JonesLang	JL	37.03	0.72
ElementSols	ESI	37.21	-1.93	GlobalStar	GSAT	82.89	-0.14	KB Financial	KB	117.68	-0.76
ElevenHealth	ELV	398.27	0.83	GlobeLife	GL	178.08	-1.33	KE Holdings	BEKE	16.87	0.02
Emory	EMO	10.00	-0.01	GlobeMedical	GMD	27.62	-0.01	Kennedy	K	11.8	-0.1
Emerit	EMA	51.46	0.30	GoDaddy	GDDY	99.80	3.43	KLA	KLAC	194.77	-10.97
EmersonElec	EMR	157.28	-4.27	GoldFields	GFI	40.07	-0.05	Kaspiskz	KSPI	98.09	-0.96
Enbridge	ENB	51.39	0.81	GoldmanSachs	GS	104.07	-10.84	Kenvue	KVUE	18.80	0.01
EncompassHealth	EHC	122.10	11.01	Grab	GRAB	3.45	-0.13	KeurigDrPepper	KDP	30.79	0.51
EnergyTransfer	ET	21.42	0.48	Graco	GGG	81.01	-0.54	KeyCorp	K	22.79	-0.25
EnlightRenewables	ENR	83.43	-0.11	Granger	GWV	134.12	-3.56	KeyshattTech	KEYS	34.10	-20.15
Enphase	ENPH	224.00	-1.94	GrubHub	GRUB	204.63	-2.58	KnightRidg	KR	107.72	-0.19
Enpris	ENTG	150.26	-12.83	GroupGibest	CG	11.11	1.11	KnightRidg	KR	107.72	-0.19
Entergy	ETR	108.08	-0.44	GuardantHealth	GH	160.12	-1.55	KinderMorgan	KMI	32.87	0.54
EnterpriseProd	EPR	38.64	0.03	Guidewire	GWRE	177.76	5.77	KinrossGold	KGC	27.12	-0.60
Equifax	EFX	148.14	5.84	HCA Healthcare	HCA	411.73	6.75	Knight	KN	15.06	-4.45
Equinox	EQIX	108.59	-12.52	HDPC Bank	HDB	23.17	0.02	Knight-Swift	KNSR	70.77	-2.08
Equinor	EQNR	41.84	0.02	HF Sinclair	DINO	95.70	0.71	Philips	PHG	27.10	0.28
EquinoxGold	EQX	11.45	-0.34	HP	HPQ	29.93	0.56	KoreaElecPwr	KEP	11.28	-0.53

MARKETS DIGEST

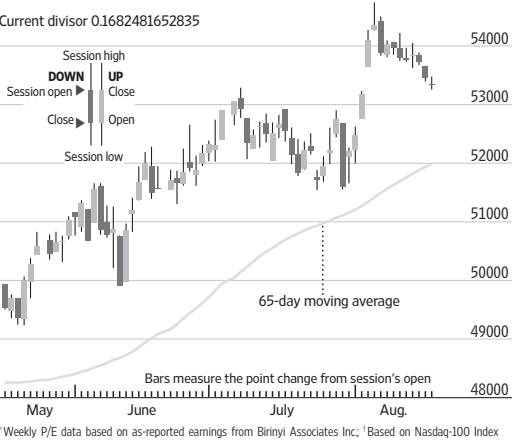
EQUITIES

Dow Jones Industrial Average

53343.40 ▼116.38, or 0.22%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio 21.92 24.70
P/E estimate * 20.60 21.46
Dividend yield 1.45 1.58
All-time high 54349.12, 08/05/26



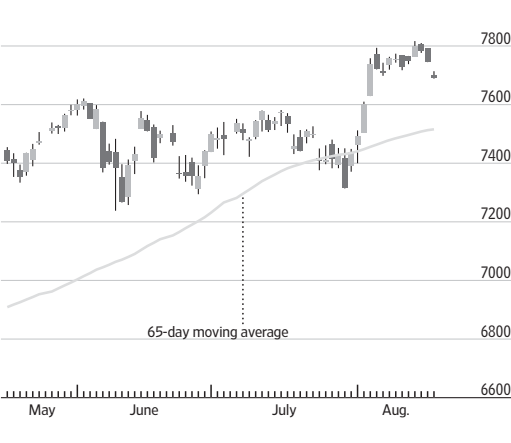
* Weekly P/E data based on as-reported earnings from Biriiny Associates Inc; * Based on Nasdaq-100 Index

S&P 500 Index

7691.76 ▼53.30, or 0.69%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio * 26.49 25.25
P/E estimate * 21.42 24.06
Dividend yield * 1.04 1.20
All-time high 7798.99, 08/13/26

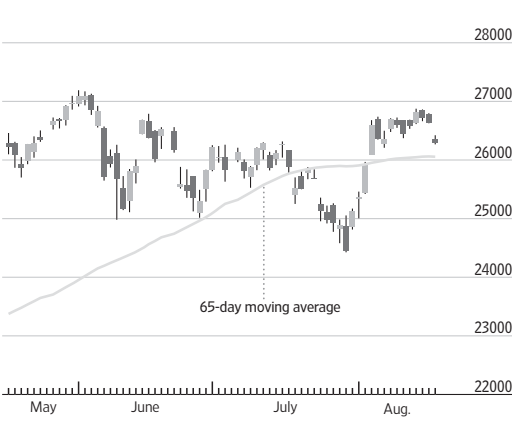


Nasdaq Composite Index

26289.71 ▼35.20, or 1.33%

High, low, open and close for each trading day of the past three months.

Trailing P/E ratio ** 35.01 33.57
P/E estimate ** 25.87 29.84
Dividend yield ** 0.53 0.65
All-time high: 27093.90, 06/02/26



Major U.S. Stock-Market Indexes

	High	Low	Close	Net chg	% chg	High	Low	% chg	YTD	% chg	52-Week	Low	% chg	3-yr. ann.
Dow Jones														
Industrial Average	53478.76	53256.34	53343.40	-116.38	-0.22	54349.12	44785.50	18.7	11.0	15.6				
Transportation Avg	21879.55	21489.23	21495.23	-349.20	-1.60	23933.14	15067.87	35.2	23.8	11.0				
Utility Average	1122.13	1107.15	1108.81	0.09	0.01	1190.23	1048.33	0.2	3.8	8.1				
Total Stock Market	76504.96	76195.15	76217.68	-611.59	-0.80	77313.23	62750.36	20.3	12.9	20.5				
Barron's 400	1675.20	1662.10	1662.12	-16.18	-0.96	1685.46	1318.70	23.2	17.6	19.1				

Nasdaq Stock Market														
Nasdaq Composite	26422.50	26266.68	26289.71	-355.20	-1.33	27093.90	20794.64	23.3	13.1	25.5				
Nasdaq-100	29677.29	29425.08	29490.96	-504.42	-1.68	30660.60	22953.38	26.1	16.8	26.1				

S&P														
500 Index	7713.95	7688.63	7691.76	-53.30	-0.69	7798.99	6343.72	20.0	12.4	20.7				
MidCap 400	3906.95	3854.41	3854.62	-62.49	-1.60	3926.98	3109.89	21.0	16.6	14.3				
SmallCap 600	1816.37	1793.40	1793.53	-26.72	-1.47	1828.54	1364.94	28.2	22.2	14.3				

Other Indexes														
Russell 2000	3049.32	3017.54	3017.89	-39.65	-1.30	3068.42	2269.35	32.6	21.6	17.5				
NYSE Composite	24629.14	24629.14	24629.14	-88.67	-0.36	24821.68	20818.60	18.3	11.9	16.1				
Value Line	696.78	689.79	689.79	-6.99	-1.00	702.60	590.50	11.6	9.8	7.2				
NYSE Arca Biotech	9078.32	9078.32	9078.32	39.54	0.44	9078.32	5936.96	51.3	26.9	20.7				
NYSE Arca Pharma	1267.67	1267.67	1267.67	30.89	2.50	1273.25	925.18	34.9	12.6	11.6				
KBW Bank	193.29	191.33	192.27	-0.70	-0.36	193.91	143.23	34.1	17.1	33.0				
PHLX® Gold/Silver	374.26	364.88	366.60	-10.87	-2.88	470.37	225.29	62.7	7.1	48.6				
PHLX® Oil Service	105.90	103.96	104.11	-1.13	-1.08	109.24	60.27	72.2	42.0	4.2				
PHLX® Semiconductor	12228.06	11828.46	11992.46	-628.54	-4.98	14634.72	5592.82	111.5	69.3	51.3				
Cboe Volatility	16.09	15.60	15.84	0.65	4.28	31.05	13.47	1.7	6.0	-2.9				

§ Nasdaq PHLX Sources: FactSet; Dow Jones Market Data

Percentage Gainers...

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Profusa	PFSa	27.48	22.95	506.62	5190.00	3.22	-99.3
IP Strategy Holdings	IPST	15.76	8.37	113.26	532.00	1.54	-92.3
Xos	XOS	4.44	2.35	112.44	8.27	1.60	42.3
Super League Enterprise	SLE	5.50	2.48	82.12	137.16	2.12	-86.1
Amylyx Pharmaceuticals	AMLX	35.11	13.68	63.84	35.39	7.63	339.4
Greenlane Holdings	GNLN	3.05	1.04	51.74	37.97	1.51	-89.3
China SXT Pharm	SXTC	5.13	1.38	36.80	83758.79	3.10	-99.97
Wetour Robotics	WETO	33.00	8.41	34.20	251.00	2.70	-82.8
Weave Communications	WEAV	7.28	1.75	31.65	8.11	4.24	-9.0
CBL International	BANL	13.55	3.20	30.92	13.66	3.46	53.6
Scribe Therapeutics Inc	SCTX	27.11	5.92	27.94	27.75	17.31	-85.8
Modular Medical	MODD	3.03	0.66	27.85	30.00	1.72	-88.8
9F ADR	JFUF	2.94	0.62	26.72	9.48	1.84	54.7
Vogenx	VOGX	19.75	4.00	25.40	20.01	12.95	77.5
Avita Medical	RCEL	9.85	1.95	24.68	10.20	3.22	77.5

Volume Movers Ranked by change from 65-day average*

Company	Symbol	Volume (000)	% chg from 65-day avg	Latest Session Close	% chg	52-Week High	Low
Eaton Vance High Yield	EVHY	882	15962	52.12	-0.25	53.63	48.57
Hartford Disciplined US	HDUS	1,284	13053	73.81	-0.55	75.12	61.34
FIS Bright Portfolios	BRIB	1,378	8377	24.98	0.75	25.78	24.71
Einride ADR	ENRD	4,696	4615	5.73	-6.98	34.00	4.63
Weave Communications	WEAV	49,361	4247	7.28	31.65	8.11	4.24
Siddhi Acquisition	SDHI	775	2650	10.50	0.19	10.50	10.10
NYLI U.S. LC R&D Ldrs	LRND	785	2594	46.30	-1.19	47.63	35.87
Eaton Vance Floating-Rate	EVLN	1,739	2299	48.83	0.07	50.12	48.08
Invsc S&P Intl Dev Lo VI	IDLV	587	2278	35.77	-0.43	36.97	32.50
T. Rowe Price Grw Stock	TGRW	296	2262	47.39	-1.59	49.72	38.83

* Common stocks priced at \$2 a share or more with an average volume over 65 trading days of at least 5,000 shares * Has traded fewer than 65 days

International Stock Indexes

Region/Country	Index	Close	Net chg	Latest % chg	YTD % chg
World					
	MSCI ACWI	1147.95	-8.65	-0.75	13.1
	MSCI ACWI ex-USA	482.42	-4.16	-0.86	14.6
	MSCI World	4971.34	-36.59	-0.73	12.2
	MSCI Emerging Markets	1694.55	-14.96	-0.88	20.7
Americas					
	MSCI AC Americas	2913.78	-20.332	-0.69	12.3
Canada	S&P/TSX Comp	36367.93	-299.99	-0.82	14.7
Latin Amer.	MSCI EM Latin America	2927.75	-19.02	-0.65	8.1
Brazil	Bovespa	166334.86	-448.71	-0.27	3.2
Chile	S&P IPSA	5634.80	19.52	0.35	3.9
Mexico	S&P/BMV IPC	63933.69	-321.29	-0.50	-0.6
EMEA					
	STOXX Europe 600	651.90	-4.51	-0.69	10.1
Eurozone	Euro STOXX	680.16	-7.61	-1.11	11.1
Belgium	Bel-20	5758.98	-3.51	-0.06	13.4
Denmark	OMX Copenhagen 20	1614.22	-3.08	-0.19	0.4
France	CAC 40	8509.36	-70.24	-0.82	4.4
Germany	DAX	26128.36	-210.25	-0.80	6.7
Israel	Tel Aviv	4176.34	1.82	0.04	15.0
Italy	FTSE MIB	53017.84	-569.14	-1.06	18.0
Netherlands	AEX	1107.32	-7.48	-0.67	16.4
Norway	Oslo Bors All-Share	2469.09	-7.48	-0.30	27.2
South Africa	FTSE/JSE All-Share	113323.45	-1349.48	-1.18	-2.2
Spain	IBEX 35	19934.90	-47.00	-0.24	15.2
Sweden	OMX Stockholm	1125.91	-5.88	-0.52	7.7
Switzerland	Swiss Market	14320.90	18.51	0.13	7.9
Turkey	BIST 100	14127.98	-4.08	-0.03	25.5
U.K.	FTSE 100	10728.04	7.74	0.07	8.0
U.K.	FTSE 250	24561.43	-142.97	-0.58	9.3
Asia-Pacific					
	MSCI AC Asia Pacific	275.96	-2.78	-1.00	21.2
Australia	S&P/ASX 200	9070.00	-3.17	-0.03	4.1
China	Shanghai Composite	3090.30	7.65	0.19	0.5
Hong Kong	Hang Seng	25471.15	17.92	0.07	-0.6
India	BSE Sensex	77235.46	-492.71	-0.63	-9.4
Japan	NIKKEI 225	67460.73	-1759.52	-2.54	34.0
Singapore	Straits Times	5701.40	-67.06	-1.16	22.7
South Korea	KOSPI	6869.83	-108.11	-1.55	63.0
Taiwan	TAIEX	45308.68	-548.59	-1.20	56.4
Thailand	SET	1621.62	-4.82	-0.30	28.7

Sources: FactSet; Dow Jones Market Data

Percentage Losers

Company	Symbol	Close	Net chg	% chg	High	Low	% chg
Zenta Group	ZTGT	1.94	-1.33	-40.67	12.25	1.09	...
SunScout Holding Cl A	SNSC	2.03	-0.97	-32.33	4.40	1.93	...
Leverage 2X Lg ClFR Dly	CIFG	4.24	-1.46	-25.61	20.84	4.08	...
Recon Technology	RCON	3.34	-1.14	-25.45	630.00	3.02	-99.4
Leverage 2X Lg BIDU Dly	BIDG	6.80	-2.31	-25.40	27.47	6.59	...
KraneSh 2x Long BIDU Dly	KBDU	11.78	-3.90	-24.87	46.99	11.53	...
My Size	MYSZ	2.32	-0.70	-24.68	11.84	2.23	-75.8
Evolution Daily KR BI 3X	KORU	17.84	-5.76	-24.21	63.99	3.76	337.7
Leverage 2X Lg CRWW Dly	CRWG	22.22	-7.07	-24.14	165.95	10.66	-70.2
NuRAIN Wireless	NUR	2.67	-0.81	-23.28	10.95	2.56	-75.7
Klarna Group	KLAR	15.06	-4.45	-22.81	57.20	12.06	...
Singularity Future Tech	SGLY	3.49	-1.00	-22.27	20.30	2.55	-73.2
Digital Brands Group	DBGI	10.91	-2.87	-20.81	720.00	8.37	-96.8
Elauwt Connection	ELWT	6.89	-1.77	-20.44	9.72	4.11	...
AIFU	AIFU	13.75	-3.50	-20.29	139.60	13.75	-86.0

CURRENCIES & COMMODITIES

Currencies

U.S.-dollar foreign-exchange rates at 5 p.m. ET

Country/currency	Tues in US\$	Tues per US\$	YTD % chg	Country/currency	Tues in US\$	Tues per US\$	YTD % chg
Americas				Vietnam dong .00003820 26177 -0.5			
Argentina peso .00071494 9793 3.0				Europe			
Brazil real	.1916	5.2189	-5.4	Czech Rep. koruna	.04785	20.897	1.6
Canada dollar	.7195	1.3899	1.3	Denmark krona	.1548	6.485	1.6
Chile peso	.001083	923.44	2.6	Euro area euro	1.1578	86.37	1.5
Colombia peso	.000322	3106.72	-17.6	Hungary forint	.003169	315.54	-3.6
Ecuador US dollar		1	unch	Iceland krona	.008140	122.85	-2.0
Mexico peso	.0586	17.0655	+5.2	Norway krona	.1062	9.4149	-6.6
Uruguay peso	.02478	40.3482	3.3	Poland zloty	.2676	3.7364	4.0
Asia-Pacific				Sweden krona	1.049	9.5340	3.5
Australi dollar	.7087	1.4110	-5.8	Switzerland franc	1.2308	81.825	2.5
China yuan	.1483	6.7434	-3.6	Turkey lira	.0209	47.9024	11.5
Hong Kong dollar	.1275	7.8444	0.8	Ukraine hryvnia	.0223	44.8300	-5.9
India rupee	.01044	95.776	6.6	UK pound	1.3533	73.89	0.4
Indonesia rupiah	.0000560	17872	7.1	Middle East/Africa			
Japan yen	.00265	156.391	1.9	Bahrain dinar	2.6520	.3771	0.03
Kazakhstan tenge	.022165	461.99	-8.9	Egypt pound	.0198	50.5283	5.5
Macau pataca	.1237	8.0823	0.7	Israel shekel	.3340	2.9938	-6.0
Malaysia ringgit	.2464	4.0587	0.02	Kuwait dinar	3.2386	.3003	0.3
New Zealand dollar	.5877	1.7015	-2.1	Oman sultanial	2.5994	3.847	-0.02
Pakistan rupee	.00360	277.570	-0.9	Qatar riyal	.2743	3.64	-0.2
Philippines peso	.0162	61.832	5.0	Saudi Arabia riyal	.2666	3.7506	-0.01
Singapore dollar	.7822	1.7875	-0.6	South Africa rand	.0615	16.2584	-1.8
South Korea won	.0007077	1412.98	-1.9				
Sri Lanka rupee	.0030122	331.98	1.7				
Taiwan dollar	.03131	31.940	1.9				
Thailand baht	.03019	33.120	5.1				

MARKETS & FINANCE

Diesel Prices Soar as Purchasers Compete for Diminished Supply

By GIULIA PETRONI

Diesel buyers are competing for shrinking supply amid disruptions in Russia and the Middle East, with the U.S. at the center of a scramble that could intensify into the winter. The squeeze across the global refined-product markets, where gasoline, diesel and jet fuel compete for the same refinery capacity, is pushing prices higher.

The benchmark price for European diesel hit \$167 a barrel late last week, compared with about \$87 a barrel a year earlier, according to data collected by price reporting agency OPIS, which is owned by Dow Jones. The diesel crack spread in northwest Europe—the premium of diesel over crude—was at around \$90 a barrel on Friday compared with an average of \$24 a barrel last year.

Russia—traditionally one of the world’s largest exporters of refined fuels—had to cut domestic fuel production and restrict diesel exports after sustained Ukrainian attacks on its refineries. That has left major buyers such as Brazil and



Disruptions in Russia and the Middle East have hit supplies.

Turkey to compete with Europe for replacement cargoes from the U.S. and India. In the Middle East, the war has curtailed flows through the Strait of Hormuz, a critical waterway that carries large volumes of Gulf oil and refined products. At the same time, China has yet to resume petroleum-product exports to Asia at normal levels because of concerns about potential shortages at home. As a result, Europe has increasingly relied on U.S. exports. American refiners are capi-

talizing on extraordinary refining margins, sending more fuel into international markets: exports of distillate fuel—which includes diesel, heating oil and other products—rose to 1.9 million barrels a day in the first week of August, the highest weekly number on record. The surge is helping fill a widening global supply gap, but it is leaving the domestic market with a thinner cushion, with inventories at their lowest level in this time of year in three decades.

“Those flows are drawing down already tight U.S. inven-

tories, the only major hub open for business, creating a global competition for fuel that is pushing diesel cracks back toward record seasonal highs,” analysts at Bank of America said.

When Iran effectively closed Hormuz after the war with the U.S. started on Feb. 28, refiners shifted production toward jet fuel amid fears of a global shortage, tightening diesel supplies in the process. That is because jet fuel and diesel are both middle distillates derived from crude oil, limiting refiners’ ability to boost one without reducing the other.

A sustained shortage can raise costs across the economy, as higher diesel prices can feed into freight rates, food prices, construction costs and consumer fuel bills.

The timing is unfavorable. The Northern Hemisphere is entering harvest season, when farmers consume large quantities of diesel to run tractors and other machinery. Heating-fuel demand typically increases as temperatures fall later in the year, while refineries will begin seasonal maintenance, temporarily taking some production capacity off-line.

perform the Gen X and boomer credit performance across all lenders. She said Amex is mostly targeting Gen Zs with the best credit scores.

The company is finding young people want in—sometimes even more than their parents. Gabrielle Beamon, 29, paid the \$395 annual fee for the Venture X card in 2024 because of the travel perks. She also got the Amex Gold card in January to maximize rewards on dining out and other regular spending. Now she has more premium cards than her parents. She has been trying to convince her mom, who re-

Investors Slam Plan To Kill Price Rule

By ALEXANDER OSIPOVICH

Trump administration regulators are trying to ax a long-standing rule meant to ensure that investors get the best price when trading stocks. Investors aren’t happy about it. Hundreds of public comments poured in to the Securities and Exchange Commission in the run-up to a Monday deadline, filed by individual investors as well as Wall Street trade groups warning that the plan would harm the U.S. stock market.

At the heart of the fight is the “trade-through rule.” The rule forbids trading platforms from executing investors’ orders at prices worse than the best available price quoted on stock exchanges. The SEC proposed eliminating the rule in June. SEC Chairman Paul Atkins, a Trump appointee and advocate of light-touch financial regulation, said scrapping the rule would “simplify market structure and reduce costs for market participants.”

Atkins, who voted against the trade-through rule as an SEC commissioner in 2005, has argued that the rule caused a range of unintended consequences. These include a proliferation of tiny exchanges:

There are now 18 stock exchanges, most of which handle less than 1% of total U.S. trading volume, up from eight in 2005, SEC data shows.

Brokerages and trading firms complained they must pay for pricing data from all of those exchanges, even small ones, to comply with the rule. Robinhood Markets told the SEC in a comment Monday that it backed scrapping the rule, saying “its costs in forced connectivity, exchange proliferation, and complexity now outweigh its benefits.”

But the SEC’s plan received pushback from pension funds and other asset managers, as well as electronic-trading giant Citadel Securities and small investors.

“The proposal contemplates one of the most sweeping changes to U.S. equity market structure in decades without adequately demonstrating that its benefits outweigh the risks,” the Alternative Investment Management Association, a hedge-fund trade group, said in a comment filed Monday. AIMA, whose members manage more than \$4.5 trillion in assets, said eliminating the rule could shift trading activity from public exchanges toward less-transparent platforms.

Premium Cards Lure Gen Z

Continued from page B1

ger Americans are building more wealth per person than boomers at the same age, according to research from the Federal Reserve Bank of St. Louis. Younger Americans have more credit cards than older generations did at the same age, according to Trans-

Union’s most recent analysis. But capturing the Gen Z market is far from guaranteed, especially in the competitive business of selling credit cards to the points-obsessed, who tend to be loyal to whoever is offering the best perks. Lin, now 22, said his friends who have premium credit cards have used their perks on dining and purchases that they might not have otherwise made. “It kind of forces you to enjoy life,” Lin said. “I do like that mindset.” Since graduating from Harvard, he realized that he doesn’t have as much time to

use travel rewards. He plans to switch to a card that is meant for everyday use, like Amex’s Gold card, which has a lower annual fee of \$325. The premium credit-card market has grown crowded in recent years, with more perks and higher prices. JPMorgan Chase raised the fee for its Sapphire Reserve card to \$795 last year. Amex raised its Platinum card fee last year. Lisa Kalhans, Amex’s executive vice president of U.S. consumer proprietary products, said the company’s lending standards are consistent, regardless of age, and that Amex’s Gen Z customers out-

cently started a business, to get one of the cards. “I’ve definitely been the ambassador for premium cards in my family,” said Beamon, who works for a public-relations firm in New York. Younger users’ expectations for the company’s products are higher than older generations, said Chris Reagan, president of Chase Branded Cards. In a recent survey commissioned by Chase, younger customers were less likely to say they were happy with their card issuer. “Millennials and Gen Z are ultrasavvy and they’ve got more tools than anyone has

had in history to choose the right product for them,” Reagan said. Esha Desai, 26, has had an American Express Platinum card since she was in her early 20s. She convinced three of her friends to get the card, too, cashing in on referral bonuses. Her parents have premium cards. But she isn’t entirely loyal to any credit-card brand. She said she has shifted away from cards in the past when their perks and conditions have changed. “I’m curious to see how my perspective on the card will shift,” she said.

Biggest 1,000 Stocks | WSJ.com/stocks

Continued From Page B8																			
Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg	Stock	Sym	Close	Net Chg
LibertyLiveA	LYVYA	100.00	-1.89	Lowe's	LOW	215.64	-0.17	MSG Sports	MSGS	401.24	-10.70	ShinhanFin	SHG	74.86	-1.06	Target	TGT	152.48	-1.47
LibertyLiveC	LYVYC	103.73	-1.97	Lumileum	LULU	119.01	3.27	MadrigalPharm	MDGL	524.37	-0.50	Shopify	SHOP	146.58	-2.07	TechCorpFMC	FTT	78.29	-1.47
LibertyOmnia	LYVYA	103.73	-1.97	Lumentum	LITE	87.31	-0.59	MolinaHealthcare	MOH	203.61	0.55	SimonProperty	SPY	220.61	-1.06	TechResourcesB	TECK	63.01	-0.93
LifeTime	LTH	45.40	0.06	LyondellBasell	LYB	65.33	-0.16	Mondelez	MDLZ	26.66	0.48	SiriusXM	SIRI	28.62	-0.50	TeledyneTech	TDY	66.90	-12.27
Elili	ELI	122.73	42.57	M N				MongoDB	MDB	434.62	-4.08	STTime	STTM	68.06	-69.38	Ericsson	ERIC	10.00	-0.08
LincolnElectric	LECO	281.97	-4.05	Macom Tech				MotorolaS	MOT	138.98	-0.03	Kyrosys	SWKS	37.66	-0.35	Veriv	VRT	37.24	-49.89
Linde	LIN	478.71	4.38	M&T Bank	MTB	215.10	-34.66	MonsterRev	MNST	47.38	1.86	Smith&Nephew	SMN	13.91	0.51	Vista	VSTA	74.02	-5.59
Littelfuse	LFUS	437.51	-34.30	MGM Resorts	MGM	43.32	-0.46	Moody's	MCO	485.79	0.86	Smuckers	SNM	118.50	0.67	Tenaris	TNS	52.95	-0.49
LifeNation	LNTN	43.51	-0.60	MKS	MKSI	300.24	-20.50	Moog A	MGA	437.71	-7.67	SmurfitWestrock	SWW	47.30	-0.51	TenentMusic	TME	8.79	-0.08
LloydsBanking	LYG	6.06	-0.09	MPLX	MPLX	59.36	0.28	MotorolaS	MOT	138.98	-0.03	Snap-On	SNA	395.71	-5.51	TenetHealthcare	TEH	270.21	65.55
LochdeMarin	LMIT	607.17	13.43	MP Materials	MP	56.67	-1.84	Myriad	MRI	522.81	-15.85	Snowflake	SNOW	325.33	-4.78	Teradyn	TER	404.29	-38.85
Loews	L	112.45	0.07	MSCI	MSCI	562.77	12.09	NRG Energy	NRG	45.53	-0.81	SOOIMCH	SOM	74.47	-0.63	Testa	TSLS	36.58	-0.42
Logitech	LOGI	98.31	-2.81	MadisonAirSols	MAIR	27.44	-2.13	NVR	NVRI	528.37	-50.46	SolsticeAdm	SOLS	60.09	-2.46	TevaPharm	TEVA	36.58	0.13
								NTRA	NTRA	311.69	-2.49	Solventum	SOLV	87.45	0.63	Thomson	THM	24.92	0.13
								NTES	NTES	124.75	0.51	Sonmigroup	SON	63.89	-1.12	ThomsonReuters	TRI	100.89	1.83
								NTW	NTW	18.43	-0.76	Sony	SONY	23.43	-0.27	ThomsonReuters	TRI	100.89	1.83
								NU	NU	34.12	-0.76	Southern	SO	92.07	-0.22	ThomsonReuters	TRI	100.89	1.83
								NUB	NUB	48.43	-20.42	SOCooper	SCCO	187.80	-0.24	ThomsonReuters	TRI	100.89	1.83
								NUC	NUC	13.17	-0.95	SouthStateB	SSB	110.09	-0.73	ThomsonReuters	TRI	100.89	1.83
								NUD	NUD	96.71	0.03	SouthwestAir	LUV	42.49	-0.38	ThomsonReuters	TRI	100.89	1.83
								NUF	NUF	14.52	0.86	SpaceX	SPXC	143.34	-2.89	ThomsonReuters	TRI	100.89	1.83
								NUV	NUV	18.74	-0.33	Spotify	SPOT	516.28	23.81	ThomsonReuters	TRI	100.89	1.83
								NUW	NUW	20.45	-0.76	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUX	NUX	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUY	NUY	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUZ	NUZ	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUA	NUA	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUB	NUB	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUC	NUC	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUD	NUD	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUE	NUE	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUF	NUF	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUG	NUG	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUH	NUH	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUI	NUI	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUJ	NUJ	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUK	NUK	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUL	NUL	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX	106.01	-1.91	ThomsonReuters	TRI	100.89	1.83
								NUM	NUM	13.17	-0.95	Starbucks	SBUX						

HEARD ON THE STREET

FINANCIAL ANALYSIS & COMMENTARY

Car Insurance Premiums Can Fall Further

The soft market is pleasing to inflation watchers but less so to shareholders

Falling car-insurance prices are helping to cool off inflation data. Looking under the hood at insurers suggests they can keep going in that direction for a while.

Insurance is a cyclical business, featuring “hard” markets of rising premium rates leading to higher profitability, followed by “soft” markets of lower rates eating into those profits, and so on. Right now, it is a softening market in auto insurance. Car insurers are dropping many rates to help them grow, after surges of premiums in the aftermath of the pandemic.

The July consumer-price index showed motor-vehicle insurance falling 4.5%, the fastest drop since 2020, when the pandemic led to a plunge in driving. It was the third month in a row of year-over-year declines, and a reversal from the double-digit rises seen from 2022 to 2025. But the question for the Federal Reserve and other inflation watchers is how long this soft-market cycle will last. Because within the CPI report was one reason to expect rate drops to be short-lived: rising auto-repair costs.

It was inflation in those costs that helped cause underwriters’ profits to drop after the pandemic, forcing them to ask regulators for big rate increases. Motor-vehicle maintenance and repair costs in the July CPI were up 6.6% from a year ago, only a small slowdown from June’s sharp 7% jump.

That rise isn’t a fluke. While some industries are anticipating tariff refunds following the Supreme Court’s decision, others—such as auto parts—can remain subject to President Trump’s levies under different legal authorities. “Section 232 tariffs are weighing on the auto sector with



The July consumer-price index showed motor-vehicle insurance falling 4.5%, the fastest drop since 2020.

higher motor-vehicle parts and equipment prices spilling over into motor-vehicle maintenance and repair, so this isn’t likely a one-off,” wrote economists at RBC.

However, there is still quite a bit of cushion for insurers to continue to lower some rates before their margins become too narrow for comfort. For insurers such as **Allstate**, **Hartford**, **Progressive** and **Travelers**, combined ratios in personal auto insurance—which measure loss costs and claims expenses as a percentage of premiums—are still in the low-to-high 80% range as of the second quarter. That is well below the 100% level that means insurers are paying out more than they take in,

and below the low-to-mid 90% range where for-profit insurers often tend to aim over time. “There is a lot of margin to consume before companies get worried,” says KBW analyst Meyer Shields.

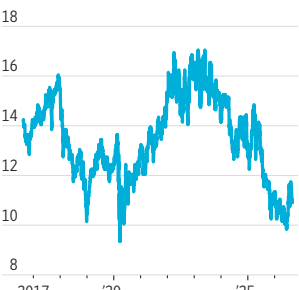
“We’re not seeing repair inflation fast enough to deter companies from still aiming to grow faster.”

For now, property and casualty insurers’ underwriting profitability—across auto and other lines—is expected to stay stable through next year. Economists at the Swiss Re Institute in July projected that overall P&C combined ratios in the U.S. would be 95% this year, up from about 94% last year. Swiss Re Institute economists project that ratio will move to just over 100%

in 2027. But the industry has run above that level for years at times in the past. Higher-for-longer interest rates could help offset lower underwriting income by boosting investment income too.

The cost of car repairs isn’t the only input into loss trends. The frequency of claims has been trending downward recently. That means policyholders are making claims less often. There are potentially several causes of lower frequency. Some analysts point to high gas prices causing people to drive less often. It can also be due to people choosing not to seek coverage because they have high deductibles and would rather pay cash than make a claim. Maybe

Average forward price/earnings ratio of selected U.S. auto insurance providers*



*Allstate, Progressive and Travelers
Source: FactSet

they also just don’t expect to get coverage at all on certain claims.

Investors still aren’t thrilled with the soft market, pricing stocks as if the margin compression will continue. The forward price/earnings ratios of three insurers with personal-auto businesses—Allstate, Progressive and Travelers—are on average around 11 right now. That ratio averaged over 13 during the past decade.

Neuberger global insurance analyst Chai Gohil estimates that, barring another unexpected surge in energy or import costs, auto rates might continue to compress for an additional 18 months or so, based on the recent pace of loss inflation and of insurers’ regulatory filings for rate changes.

If history is any guide, insurance rates will start to rise again, putting inflationary pressure on consumer prices overall. One early sign of that might be when auto insurer valuations zoom higher.

—Telis Demos

What’s Next for Oil Companies?

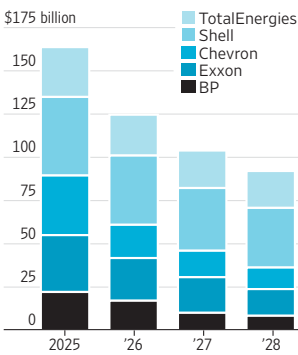
If there’s any business for which changing course really is like turning around a supertanker, it’s Big Oil.

At the beginning of this year, the Western world’s five large, integrated energy companies were talking about things like “structural cost efficiencies,” “consistent delivery” and “superior shareholder returns, despite declining oil prices.” Those are hardly words that send investors’ pulses racing.

Then, war with Iran delivered a price windfall more quickly than business plans could adjust to it. Compared with last year, the group is expected to generate about \$75 billion more free cash flow in 2026. Figuring out what to do with extra money is a nice problem to have, but still a problem. Investors tend to think of dividends and buybacks as ways of returning cash to shareholders. Paying down borrowings is an equally valid route to enhancing owners’ wealth.

BP stands out in addressing that part of its balance sheet. It was the most indebted of its peers at the beginning of this year, and new management pledged to fix that by selling assets and halting stock buybacks. During the second quarter, BP cut various financial liabilities, which include debt, hybrid debt, leases and settlement

Net debt at year-end



Source: FactSet

payments for the Deepwater Horizon disaster, by \$7 billion.

Analysts surveyed by FactSet expect net debt for the five supermajors combined to fall by \$70 billion between 2025 and 2028. The transformation at smaller pure-play drillers and refiners will be more dramatic. Expand Energy and **Valero** are seen having net cash on balance sheets by 2028.

Then what? It’s tempting to drill, baby, drill, especially with exploration costs and shale-patch break-even prices becoming more reasonable. But sinking much more money than planned into

major oil and gas projects is hard to justify unless there’s a strong case that commodity prices can stay higher for longer. And drilling too much today could produce its own bust tomorrow.

In addition to buying back more of their own shares, companies could use cash to start buying one another. Deals tend to be announced when prices are moderate rather than historically high or low.

The last big supermajor takeover was Chevron’s \$53 billion deal for Hess, an all-stock deal announced in 2023 and completed last summer. A year earlier, **Exxon** closed its \$60 billion acquisition of Pioneer Natural Resources, also for stock.

Healthy balance sheets make smaller all-cash acquisitions in the single-digit billions of dollars more likely. That may be especially tempting in the next 2½ years, before the next president takes office. It’s a window of opportunity for more consolidation while U.S. antitrust enforcement is still energy-industry friendly. One way or another, more cash is headed shareholders’ way. Some will be gradual, but expect some to arrive in big chunks amid press releases touting “synergies” and “world class assets.”

—Spencer Jakab

New Jobs for Old AI Chips

How much is an old AI chip worth? The answer to that question has significant implications. Cloud-computing player **CoreWeave** recently suggested it could be a lot more than many people have been assuming.

The company recently signed a deal renting out **Nvidia**’s A100 chips at “an attractive price” in a deal lasting into 2029, CoreWeave finance chief Nitin Agrawal said in a call with analysts last week. Those chips came out in 2020 and were produced for about three years. “Increasingly, we are seeing longer utilization at higher prices,” he said, “offering the potential for significant further upside.”

That could be a big deal because companies typically depreciate their chips over four to six years. That reduction in value has to run through their income statements, hitting profit. Yet the drag on the bottom line ceases after chips are fully depreciated. This means that selling access to old chips could come with high profit margins—as long as the price companies can charge doesn’t go down too much.

A nine-year-old chip still running and generating sales gives some credence to the idea that chips are viable assets to lend against. Banks and asset managers might be willing to extend credit to CoreWeave and other cloud-computing opera-

tions at cheaper interest rates, confident their chip collateral won’t become worthless for a while.

Of course, there are counterpoints. The first is that many AI chips fail. Data on how frequently they fail is scarce, but a Meta Platforms report in 2024 on a 54-day training run for its Llama 3 model suggested the failure rate could be about 9% a year. Assuming that rate accelerates as time goes on, a nine-year-old AI computing cluster could easily be well below half its initial size because of failures.

The viability of an old chip is increasingly questionable as the rush to build out AI data centers runs into power constraints. Newer generations of Nvidia’s chips are orders of magnitude more energy efficient than the A100. Companies may judge it more important to harvest more AI computational work from new chips than to boost profits by running old, less-efficient ones.

CoreWeave’s statement about its A100s leaves an important question unanswered: What, exactly, is it able to charge? While Agrawal described the price as attractive, it is unclear what he meant by that. “Attractive” is in the eye of the beholder. And that, more than anything, will determine what value older chips retain.

—Asa Fitch

MONEY & INVESTING

Stock Spotlight

BHP Group
The Australia-based mining company reported a 9% increase in annual net profit as prices of copper surged to record highs. Its shares rose more than 2% in Australia.

UGI
Shares rose 12% after the natural-gas and electricity distributor received a takeover offer from KKR.

Baidu
The Chinese internet company reported lower revenue and profit; its U.S.-listed shares closed down 13%.

Western Digital, Marvell Technology, Intel,

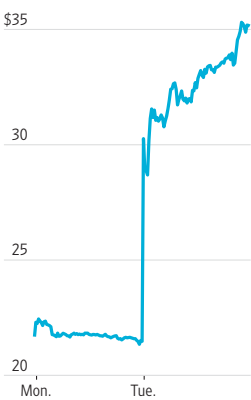
Micron Technology and Super Micro Computer
Shares in artificial-intelligence-infrastructure companies dropped amid volatility across the sector. Western Digital and Marvell dropped more than 7%. Intel declined 6.6%, Micron fell 7% and Super Micro fell 2.3%.

WEDNESDAY’S EVENTS:
◆ FOMC minutes from Fed’s July meeting
◆ EIA weekly petroleum status report
◆ IPO: Humanoid-robotics company Unitree is set to begin trading in Shanghai

EARNINGS EXPECTED:
Target
Lowe’s, TJX, Analog Devices, Estée Lauder

Amylyx Surges On Trial Results

Amylyx share-price, past two days



Source: FactSet

Amylyx Pharmaceuticals
shares rose 64% after it said its experimental treatment for a condition called post-bariatric hypoglycemia reduced the rate of significant blood-sugar crashes by 55% compared with a placebo in a late-stage trial.

PBH, which sets in after a person undergoes bariatric surgery for weight loss, causes severe blood sugar drops after eating and affects roughly 160,000 in the U.S. There are currently no treatments approved by the Food and Drug Administration. Amylyx, based in Cambridge, Mass., plans to submit the drug to the FDA for approval by the end of 2026, and is aiming for a potential commercial launch next year.

The results were “beyond anything we were dreaming of,” said Amylyx co-Chief Executive Justin Klee.

—Xavier Martinez

Fund Managers Are Ultra-Bullish

Bank of America’s latest monthly survey of fund managers has found that they remain optimistic about the AI-driven stock rally.

Among its findings: The share of fund managers who said they are overweight equities is at its highest level since November 2021.

When asked what they expected the world economy to do in the next 12 months—a soft landing (a gentle slowdown) or a hard landing (a sharper slowdown)—most respondents chose neither. Instead, a record 56% of fund managers predicted “no landing,” or continued growth.

Some 72% of respondents said they didn’t expect the Federal Reserve to boost interest rates before the November midterm elections.

The bank said it surveyed 203 panelists representing \$581 billion in assets under management, polling them over the week through last Thursday.

—Alexander Osipovich

On This Day In Market History

On this day in 1871, Orville Wright was born in Dayton, Ohio. At age seven, he started playing with a flying toy made of cork, bamboo and rubber bands. In 1903, he and his brother Wilbur made the world’s first sustained airplane flight.